

Korea Autos & Auto Parts

Hyundai, Kia & Mobis: Initiation – Atlas, mapping the route to Physical AI and unwinding circular shareholdings



Masahiro Akita
+81 3 6777 6998
masahiro.akita@bernsteinsg.com



Tomohiro Kashimoto
+81 3 6777 6975
tomohiro.kashimoto@bernsteinsg.com

*We initiate coverage of **Korea Autos & Auto Parts** sector with **Hyundai Motor (Outperform)**, **Kia (Market-Perform)** and **Hyundai Mobis (Outperform)**. We believe Hyundai Motor Group (HMG) is transitioning from a traditional automaker into a broader mobility and Physical AI ecosystem through electrification, SDVs, robotics, and potential group restructuring.*

HMG's multi-pathway strategy positions it well for an uneven electrification: We forecast xEV penetration to increase from 23% to 55% at Hyundai and from 24% to 52% at Kia between 2025 and 2030. Unlike many global peers, both companies combine strong HEV franchises with growing BEV portfolios, supporting near-term earnings growth while maintaining long-term exposure to electrification. We view HEVs as a key earnings driver over the medium term, particularly as demand remains robust in North America and other major markets.

SDVs at the core of HMG's software transformation: HMG is developing a software ecosystem centered on CODA and Pleos Vehicle OS, supported by various partnerships such as NVIDIA. The group targets highway NOA in 2027, urban NOA in 2028, and the commercialization of L4 robotaxis in the 2030s, supported by 42dot, Motional, and Avride.

Physical AI is reshaping HMG through Boston Dynamics: Following the acquisition of SoftBank's remaining stake, HMG will effectively own 100% of Boston Dynamics (BD). We forecast BD revenue to grow from USD 477 mn in 2028 to USD 14.9 bn by 2035, driven by Atlas commercialization. Planned deployment of up to 25k Atlas robots across Hyundai and Kia facilities creates a clear pathway from development to commercialization, while Hyundai Mobis is positioned to benefit through its actuator business to BD.

Group restructuring remains a significant source of optionality. HMG remains one of Korea's last major chaebols with a circular-shareholding structure. We believe a Hyundai Motor-Hyundai Mobis merger, separation of Mobis' A/S and Module/Core Parts businesses, and the eventual unwind of circular-shareholdings of Kia's stake in Mobis could unlock substantial shareholder value. Our framework implies ~31% upside for Hyundai Motor and Hyundai Mobis shareholders, while Kia could receive proceeds equivalent to ~16% of its market capitalization. A potential BD IPO could further accelerate restructuring by providing additional financial flexibility for both the Chung family and the group.

We derive PTs of KRW 570,000 (39% upside) for Hyundai Motor, KRW 640,000 for Hyundai Mobis (37% upside), and KRW 150,000 (14% upside) for Kia. We value the core automotive businesses using a P/B multiple and separately incorporate the value of BD and other robotics-related assets. We prefer Hyundai Motor for its earnings recovery, robotics exposure, and restructuring optionality, and Hyundai Mobis for its leveraged exposure to Hyundai and Kia's electrification growth and robotics actuator business opportunity. While Kia continues to demonstrate strong fundamentals and solid xEV execution, we see fewer incremental upside drivers relative to Hyundai Motor and Mobis.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	25 Aug 2026	Price Target	TTM	Reported EPS				Reported P/E (x)		
			Closing Price		Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
005380.KS (Hyundai Motor)	O	KRW	424,000	570,000	56.2%	KRW	36,088	45,675	59,417	11.7	9.3	7.1
000270.KS (Kia)	M	KRW	134,900	150,000	(3.3)%	KRW	19,382	22,178	24,535	7.0	6.1	5.5
012330.KS (Hyundai Mobis)	O	KRW	505,000	640,000	24.8%	KRW	40,861	47,588	55,510	12.4	10.6	9.1
ASIAX			1,965.49									

COVERAGE INITIATION

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We initiate coverage of **Hyundai Motor** with an **Outperform** rating and a PT of **KRW 570,000** (39% upside), **Hyundai Mobis** with an **Outperform** rating and a PT of **KRW 640,000** (37% upside), and **Kia** with a **Market-Perform** rating and a PT of **150,000** (14% upside).

VALUATION COMPS TABLE

EXHIBIT 1: Autos Valuation Comps Sheet

		Mkt Cap	EV	Cars sold	P/E			P/B			EV/EBITDA			ROE			PEG	EPS Growth	OPM	Div. Yld.
		(USD mn)	(USD mn)	(k units)	LTM	1BF	2BF	LTM	1BF	2BF	LTM	1BF	2BF	LTM	1BF	2BF	FY25-FY27	FY25-FY27	1BF	1BF
Hyundai	%	60,399	187,300	4,138	13.2x	9.0x	8.1x	0.7x	0.8x	0.7x	17.7x	14.0x	12.8x	5.4%	8.5%	8.7%	0.5x	18.0%	6.3%	2.9%
Kia	%	37,111	21,823	3,136	7.3x	5.7x	5.2x	0.8x	0.7x	0.7x	2.7x	2.1x	2.0x	11.6%	13.3%	13.1%	0.4x	14.2%	8.4%	5.4%
Hyundai Mobis	%	30,285	23,542	-	11.5x	9.3x	8.4x	0.8x	0.8x	0.7x	6.9x	6.1x	5.6x	7.4%	8.4%	8.5%	0.6x	16.4%	6.0%	1.6%
Korea Autos					10.2x	7.3x	6.7x	0.7x	0.8x	0.7x	10.2x	8.0x	7.4x	8.5%	10.9%	10.9%	0.4x	16.1%	7.4%	4.1%
Toyota	%	281,060	238,055	9,595	8.7x	9.5x	8.6x	1.0x	0.9x	0.9x	6.2x	6.1x	5.6x	12.2%	9.8%	10.3%	1.0x	9.9%	7.6%	3.5%
Suzuki	%	26,532	29,942	3,572	8.0x	9.3x	9.1x	1.2x	1.1x	1.0x	5.2x	5.3x	5.0x	15.9%	12.2%	11.5%	4.4x	2.1%	8.9%	2.5%
Honda	%	47,613	104,295	2,711	-	10.1x	7.2x	0.5x	0.5x	0.5x	14.2x	9.7x	7.8x	-1.4%	5.6%	7.2%	-	-	3.9%	4.4%
Subaru	%	11,814	2,787	896	22.2x	10.6x	9.0x	0.7x	0.6x	0.6x	1.5x	1.2x	1.1x	3.1%	6.1%	6.9%	0.2x	52.2%	3.6%	4.7%
Nissan	%	7,420	4,183	2,435	-	16.4x	7.6x	0.2x	0.2x	0.2x	0.8x	1.1x	0.9x	-8.6%	1.6%	3.3%	-	-	1.7%	0.7%
Mazda	%	4,770	2,677	1,147	7.1x	6.9x	5.9x	0.4x	0.4x	0.4x	1.7x	1.5x	1.4x	5.9%	5.8%	6.6%	0.1x	90.8%	2.8%	4.7%
MMC	*	3,433	4,386	960	47.0x	13.3x	9.8x	0.5x	0.5x	0.5x	4.2x	3.9x	3.7x	1.2%	4.0%	5.4%	0.1x	125.7%	2.8%	2.8%
Japanese OEMs					18.6x	10.9x	8.2x	0.6x	0.6x	0.6x	4.8x	4.1x	3.6x	4.1%	6.4%	7.3%	1.1x	38.8%	4.5%	3.3%
Toyota Tsusho	%	44,622	55,260	-	19.4x	16.0x	14.8x	2.7x	2.4x	2.1x	11.1x	10.6x	10.0x	15.5%	15.1%	15.6%	0.8x	20.5%	5.0%	1.8%
Denso	%	35,041	35,586	-	11.9x	11.4x	10.1x	0.9x	0.9x	0.8x	6.2x	6.0x	5.5x	8.7%	7.7%	8.3%	1.4x	8.2%	7.0%	4.0%
Aisin	%	10,258	12,668	-	10.0x	9.4x	8.0x	0.7x	0.7x	0.7x	4.2x	3.9x	3.6x	8.0%	7.6%	8.5%	1.0x	9.8%	4.9%	3.6%
Japanese Suppliers					13.8x	12.3x	11.0x	1.5x	1.3x	1.2x	7.2x	6.8x	6.4x	10.7%	10.1%	10.8%	1.0x	12.8%	5.6%	3.1%
BYD	+	117,925	131,503	4,602	26.6x	15.4x	12.6x	3.1x	2.3x	2.0x	-	6.3x	5.4x	12.1%	16.2%	17.1%	0.5x	32.5%	5.6%	1.4%
Xiaomi	+	93,523	81,387	411	19.2x	20.1x	15.8x	2.3x	2.0x	1.8x	11.6x	14.5x	11.1x	12.6%	9.9%	11.6%	-8.5x	-2.4%	6.6%	-
Li Auto	+	12,641	2,273	406	-	37.7x	15.1x	1.1x	1.7x	1.6x	35.0x	3.3x	1.6x	-6.7%	2.3%	6.0%	0.3x	119.8%	-0.4%	0.1%
XPeng	+	11,219	11,230	429	-	-	30.1x	-	2.6x	2.5x	-	68.6x	18.8x	-10.9%	-1.5%	6.6%	-	-	-1.7%	-
NIO	+	10,950	11,668	326	-	50.6x	17.0x	16.8x	8.4x	5.8x	-	7.2x	5.5x	-307.5%	31.9%	39.9%	-	-	0.7%	-
China EVs					22.9x	24.4x	18.1x	5.8x	3.4x	2.8x	23.3x	7.8x	8.5x	1.8%	11.7%	16.3%	-2.6x	15.1%	2.1%	0.8%
Geely	+	25,261	23,923	3,025	9.9x	6.9x	5.8x	1.8x	1.4x	1.2x	-	4.1x	3.6x	18.1%	20.9%	21.1%	0.3x	27.1%	5.7%	4.4%
SAIC	+	17,761	29,331	4,508	11.7x	9.6x	8.3x	0.4x	0.4x	0.4x	-	5.6x	5.0x	3.4%	4.1%	4.5%	0.5x	19.1%	2.8%	3.3%
GWM	+	16,773	15,896	1,324	10.1x	5.4x	4.6x	0.7x	0.6x	0.5x	-	5.1x	4.6x	7.0%	11.3%	11.9%	0.4x	15.1%	4.6%	5.2%
GAC	+	6,524	9,657	1,721	-	-	39.5x	0.2x	0.2x	0.2x	-	36.0x	12.5x	-8.0%	-2.3%	0.2%	-	-	-6.2%	0.4%
China OEMs					10.6x	7.3x	14.6x	0.8x	0.6x	0.6x	n.a	12.7x	6.4x	5.1%	8.5%	9.4%	0.4x	20.4%	1.8%	3.3%
Mercedes-Benz	\$	50,076	24,530	2,160	8.5x	7.2x	6.1x	0.5x	0.4x	0.4x	1.7x	1.4x	1.3x	5.5%	6.1%	7.1%	0.4x	16.9%	5.6%	7.4%
BMW	\$	41,395	29,123	2,464	5.6x	7.0x	5.6x	0.4x	0.4x	0.3x	1.5x	1.5x	1.4x	6.7%	5.7%	6.8%	-1.1x	-6.6%	5.4%	5.3%
VW	\$	42,647	41,093	8,984	7.5x	3.6x	3.0x	0.2x	0.2x	0.2x	0.9x	0.8x	0.7x	3.0%	5.1%	5.9%	0.1x	35.0%	4.7%	7.9%
Stellantis	\$	14,940	7,020	5,484	-	5.1x	3.2x	0.2x	0.2x	0.2x	-	0.6x	0.5x	-28.9%	3.6%	6.1%	-	-	2.3%	3.8%
Renault	\$	9,378	-589	2,337	8.1x	4.4x	4.2x	0.4x	0.3x	0.3x	-	-	-	4.7%	7.3%	7.3%	-	-	4.8%	8.4%
Volvo Cars	&	5,872	5,547	710	6.0x	6.3x	4.7x	0.4x	0.4x	0.3x	1.5x	1.4x	1.3x	6.5%	5.2%	6.7%	0.0x	716.5%	3.1%	0.1%
European OEMs					7.1x	5.6x	4.5x	0.3x	0.3x	0.3x	1.4x	1.1x	1.0x	-0.4%	5.5%	6.6%	-0.1x	15.1%	4.3%	5.5%
GM	*	75,750	73,720	6,184	6.5x	6.2x	6.0x	1.2x	1.1x	0.9x	4.5x	3.2x	3.1x	2.9%	18.0%	17.6%	0.1x	108.2%	8.2%	0.9%
Ford	*	55,428	52,582	4,395	8.4x	7.4x	6.9x	1.6x	1.4x	1.3x	65.5x	3.5x	3.3x	-18.3%	19.5%	19.8%	-	-	6.0%	4.4%
US OEMs					7.4x	6.8x	6.4x	1.4x	1.3x	1.1x	4.5x	3.3x	3.2x	-7.7%	18.8%	18.7%	0.1x	1.1x	7.1%	2.6%
Tesla	*	1,365,832	1,339,049	1,636	346.0x	171.5x	122.8x	15.7x	12.7x	11.6x	123.4x	85.5x	62.4x	4.6%	6.2%	7.4%	3.1x	54.5%	4.6%	-
Rivian	*	23,644	25,138	42	-	-	-	4.4x	6.2x	12.2x	-	-	-	-57.9%	-73.4%	-114.9%	-	-	-32.6%	-
Lucid	*	1,951	7,752	16	-	-	-	-	-	-	-	-	-	-160.4%	-521.8%	-837.2%	-	-	-104.2%	-
Polestar	*	1,785	4,617	60	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-17.6%	-
US EVs					n.a.	n.a.	n.a.	10.0x	9.4x	11.9x	n.a.	n.a.	n.a.	4.6%	6.2%	7.4%	3.1x	54.5%	-15.2%	n.a.
Ferrari	\$	72,624	74,588	14	38.9x	33.6x	30.8x	18.9x	12.9x	11.2x	22.5x	20.1x	18.6x	45.4%	39.9%	38.0%	2.5x	13.6%	30.3%	1.2%
Porsche	\$	45,647	51,209	279	23.8x	21.0x	16.6x	1.7x	1.6x	1.6x	7.3x	6.5x	5.8x	3.7%	7.8%	9.6%	0.2x	135.6%	7.4%	2.5%
Aston Martin	&	469	1,863	5	-	-	-	-	-	-	-	-	-	-116.6%	108.6%	138.6%	-	-	-2.6%	-
Luxury OEMs					31.3x	27.3x	23.7x	10.3x	7.3x	6.4x	14.9x	13.3x	12.2x	24.6%	23.9%	23.8%	1.3x	13.6%	11.7%	1.8%

Note: Market data as of Aug-26, 2026; \$ covered by Stephen Reitman; & covered by Harry Martin; + covered by Eunice Lee; % covered by Masahiro Akita; * not covered; outliers are excluded from the average calculation

DETAILS

PORTFOLIO MANAGER'S SUMMARY

KOREA AUTOS & AUTO PARTS: HYUNDAI, KIA & MOBIS: INITIATION - ATLAS, MAPPING THE ROUTE TO PHYSICAL AI AND UNWINDING CIRCULAR SHAREHOLDINGS

We initiate coverage of Hyundai Motor, Hyundai Mobis, and Kia with ratings of Outperform, Outperform, and Market-Perform, respectively. Our price targets are **KRW 570,000** for **Hyundai Motor**, **KRW 640,000** for **Hyundai Mobis**, and **KRW 150,000** for **Kia**, implying potential returns of 39%, 37%, and 14%, respectively, based on their close price on August 26, 2026 (Exhibit 2). Hyundai Motor, with 2025 revenue of KRW 186 tn and global sales of 4.1 mn vehicles, is the flagship automotive manufacturer of Hyundai Motor Group and one of the world's largest automakers. Kia generated KRW 114 tn in revenue and sold 3.1 mn vehicles globally in 2025, supported by a strong brand portfolio and industry leading profitability. Hyundai Mobis, the group's core automotive parts and module supplier, generated KRW 61 tn in revenue and KRW 3.4 tn in operating profit in 2025. Together, the three companies span the automotive value chain, from vehicle development and manufacturing to components, aftersales, software, and mobility solutions. Beyond automotive operations, HMG has expanded into robotics through Boston Dynamics, leveraging its expertise in Physical AI, automation, and mobility technologies to pursue long term growth opportunities.

Our investment thesis is built around three distinct growth phases, reflecting Hyundai Motor Group's evolution from an automotive-led growth story to one increasingly shaped by software, robotics, and capital restructuring (Exhibit 3).

Phase 1 (2026-2028) centers on recovery and automotive earnings growth. We expect Hyundai Motor Group to recover from temporary production disruptions, including supplier- and facility-related fire incidents that weighed on volumes during 2026. Hyundai Motor should benefit from upcoming launches of key models such as the new Tucson and Elantra, while increasing HEV penetration at both Hyundai and Kia supports top-line growth and margin expansion. Hyundai Mobis should also benefit from expanding xEV-related revenue. In robotics, Boston Dynamics is expected to continue pilot programs ahead of Atlas commercialization at HMGMA targeted for 2028.

Phase 2 (around 2028) marks the beginning of meaningful contributions from both SDVs and robotics. Within automotive, Hyundai and Kia are expected to introduce advanced NOA capabilities and accelerate SDV deployment, reinforcing software as a core competitive differentiator. In robotics, Atlas commercialization begins through captive demand from HMG's manufacturing operations, creating a new growth driver for the group, while Hyundai Mobis benefits from growing actuator demand associated with Atlas production.

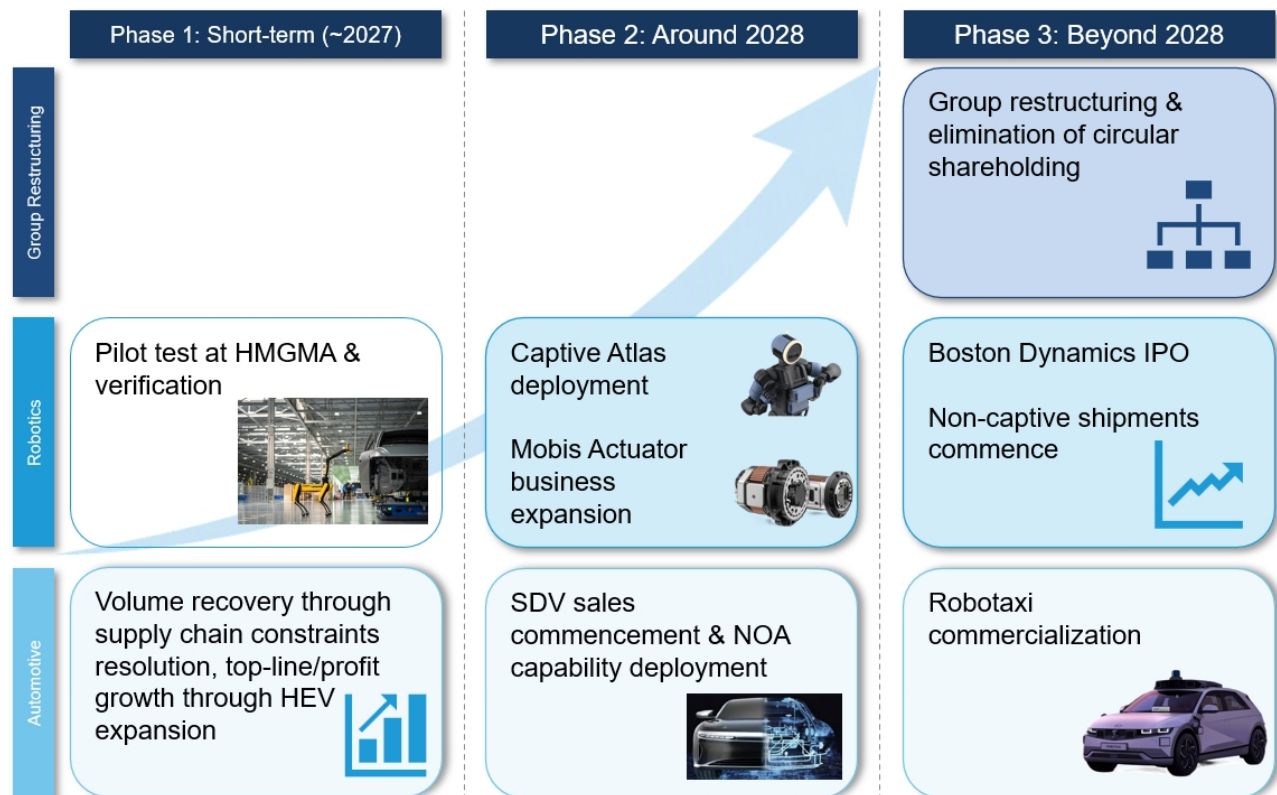
Phase 3 (2028 onward) represents the convergence of autonomous driving, robotics, and capital restructuring. On the automotive side, HMG targets the introduction of Level 4 robotaxi services. In robotics, Atlas sales are expected to expand beyond captive demand into external commercial markets, driving a significant acceleration in Boston Dynamics' revenue growth and potentially culminating in an IPO. We believe proceeds from a Boston Dynamics IPO could support succession-related obligations and facilitate broader group restructuring, unlocking additional value through the unwinding of circular shareholdings, ownership simplification, and enhanced corporate governance across HMG companies.

EXHIBIT 2: Korea Auto & Auto Parts: Investment Framework

Sector	Company	One-liner Summary	xEV Transition	SDV	Robotics	Restructuring	Earnings	Rating
Autos	 Hyundai Motor (005380 KS)	Flagship automaker leading multi-pathway xEV strategy and robotics development, with upside from group restructuring						OP
Autos	 Kia (000270 KS)	Design-led automaker delivering industry-leading profitability and accelerating xEV adoption						MP
Auto Parts	 Hyundai Mobis (012330 KS)	A clear beneficiary of Hyundai Motor Group's electrification, robotics, and restructuring opportunities						OP



EXHIBIT 3: We see Hyundai Motor Group's equity story evolving from sales recovery to SDV and Atlas commercialization, and ultimately achieving group restructuring and enhanced shareholder value



Source: Company reports, Bernstein analysis

EXHIBIT 4: Korea Autos & Auto Parts: Financial Summary

(Aug-25, 2026)		Autos		Auto Parts
		Hyundai Motor	Kia	Hyundai Mobis
Bernstein rating	OP		MP	OP
Current price		KRW 415,000	KRW 132,800	KRW 489,500
Bernstein 12-month price target		KRW 570,000	KRW 150,000	KRW 640,000
Upside/Downside potential		37%	13%	31%
Market cap (KRW Bn)		84,974	51,847	44,414
Enterprise value (KRW Bn)		260,927	30,649	35,064
Market cap (USD Bn)		61.5	37.5	32.2
Enterprise value (USD Bn)		175.1	23.8	26.1
Revenue (Reporting ccy)		KRW Bn	KRW Bn	KRW Bn
FY12/25		186,254	114,141	61,118
FY12/26E		194,233	124,947	65,081
FY12/27E		201,106	130,406	68,276
FY12/28E		207,792	134,252	71,547
FY12/29E		214,650	138,295	74,719
FY12/25-FY12/29E CAGR		3.6%	4.9%	5.2%
FY12/26E vs. consensus		0.2%	-0.1%	0.3%
FY12/27E vs. consensus		-0.9%	-0.6%	-0.9%
FY12/28E vs. consensus		-2.2%	-1.4%	-1.8%
Operating Profit (Reporting ccy)		KRW Bn	KRW Bn	KRW Bn
FY12/25		11,468	9,078	3,357
FY12/26E		12,042	10,188	3,823
FY12/27E		14,279	11,038	4,557
FY12/28E		15,169	11,875	5,017
FY12/29E		16,743	12,761	5,437
FY12/25-FY12/29E CAGR		9.9%	8.9%	12.8%
FY12/26E vs. consensus		3.6%	0.3%	2.2%
FY12/27E vs. consensus		7.6%	-1.5%	9.1%
FY12/28E vs. consensus		6.4%	-0.4%	11.0%
Operating Profit Margin (%)				
FY12/25		6.2%	8.0%	5.5%
FY12/26E		6.2%	8.2%	5.9%
FY12/27E		7.1%	8.5%	6.7%
FY12/28E		7.3%	8.8%	7.0%
FY12/29E		7.8%	9.2%	7.3%
Consensus rating				
Outperform	86%		100%	
Market-Perform	14%		0%	
Underperform	0%		0%	0%

Note: Market data as of Aug-25, 2026

Source: Bloomberg, Bernstein analysis and estimates

EXHIBIT 5: **Hyundai Motor: Bernstein vs Consensus**

Hyundai Motor: Bernstein vs Consensus	FY12/25	FY12/26E	FY12/27E	FY12/28E	FY12/29E
(JPY Bn)					
Revenue					
Bernstein	186,254	194,233	201,106	207,792	214,650
Growth YoY	6.3%	4.3%	3.5%	3.3%	3.3%
Consensus	186,254	193,812	202,999	212,525	227,580
Growth YoY	6.3%	4.1%	4.7%	4.7%	7.1%
Bernstein vs. consensus		0.2%	-0.9%	-2.2%	-5.7%
Operating profit					
Bernstein	11,468	12,042	14,279	15,169	16,743
Growth YoY	-19.5%	5.0%	18.6%	6.2%	10.4%
Consensus	11,468	11,635	13,265	14,260	16,355
Growth YoY	-19.5%	1.5%	14.0%	7.5%	14.7%
Bernstein vs. consensus		3.5%	7.6%	6.4%	2.4%
Net income					
Bernstein	9,446	10,366	12,056	12,831	13,926
Growth YoY	-24.6%	9.7%	16.3%	6.4%	8.5%
Consensus	9,446	10,148	11,474	12,402	13,858
Growth YoY	-24.6%	7.4%	13.1%	8.1%	11.7%
Bernstein vs. consensus		2.1%	5.1%	3.5%	0.5%
EPS					
Bernstein	36,088	39,562	46,043	49,003	53,187
Growth YoY	-24.2%	9.6%	16.4%	6.4%	8.5%
Consensus	36,088	42,002	47,584	52,304	60,819
Growth YoY	-24.2%	16.4%	13.3%	9.9%	16.3%
Bernstein vs. consensus		-5.8%	-3.2%	-6.3%	-12.5%
BPS					
Bernstein	568,396	586,741	622,360	654,091	688,486
Growth YoY	6.8%	3.2%	6.1%	5.1%	5.3%
Consensus	568,396	483,957	518,886	565,294	569,753
Growth YoY	6.8%	-14.9%	7.2%	8.9%	0.8%
Bernstein vs. consensus		21.2%	19.9%	15.7%	20.8%

Source: Bloomberg, Bernstein analysis and estimates

EXHIBIT 6: **Kia: Bernstein vs Consensus**

Kia: Bernstein vs Consensus (JPY Bn)	FY12/25	FY12/26E	FY12/27E	FY12/28E	FY12/29E
Revenue					
Bernstein	114,141	124,947	129,607	133,457	137,477
Growth YoY	6.2%	9.5%	3.7%	3.0%	3.0%
Consensus	114,141	125,097	131,135	136,207	146,644
Growth YoY	6.2%	9.6%	4.8%	3.9%	7.7%
Bernstein vs. consensus		-0.1%	-1.2%	-2.0%	-6.3%
Operating profit					
Bernstein	9,078	10,188	11,123	11,956	12,842
Growth YoY	-28.3%	12.2%	9.2%	7.5%	7.4%
Consensus	9,078	10,161	11,202	11,927	14,125
Growth YoY	-28.3%	11.9%	10.2%	6.5%	18.4%
Bernstein vs. consensus		0.3%	-0.7%	0.2%	-9.1%
Net income					
Bernstein	7,561	8,620	9,536	10,150	10,804
Growth YoY	-22.6%	14.0%	10.6%	6.4%	6.4%
Consensus	7,561	8,535	9,351	10,057	9,689
Growth YoY	-22.6%	12.9%	9.6%	7.6%	-3.7%
Bernstein vs. consensus	-	1.0%	2.0%	0.9%	11.5%
EPS					
Bernstein	19,382	22,178	24,535	26,117	27,798
Growth YoY	-22.1%	14.4%	10.6%	6.4%	6.4%
Consensus	19,382	21,918	24,040	25,951	30,252
Growth YoY	-22.1%	13.1%	9.7%	8.0%	16.6%
		1.2%	2.1%	0.6%	-8.1%
BPS					
Bernstein	157,456	172,213	188,203	198,120	208,219
Growth YoY	11.0%	9.4%	9.3%	5.3%	5.1%
Consensus	157,456	171,168	188,268	206,898	226,422
Growth YoY	11.0%	8.7%	10.0%	9.9%	9.4%
Bernstein vs. consensus		0.6%	-0.0%	-4.2%	-8.0%

Source: Bloomberg, Bernstein estimates and analysis

EXHIBIT 7: Hyundai Mobis: Bernstein vs Consensus

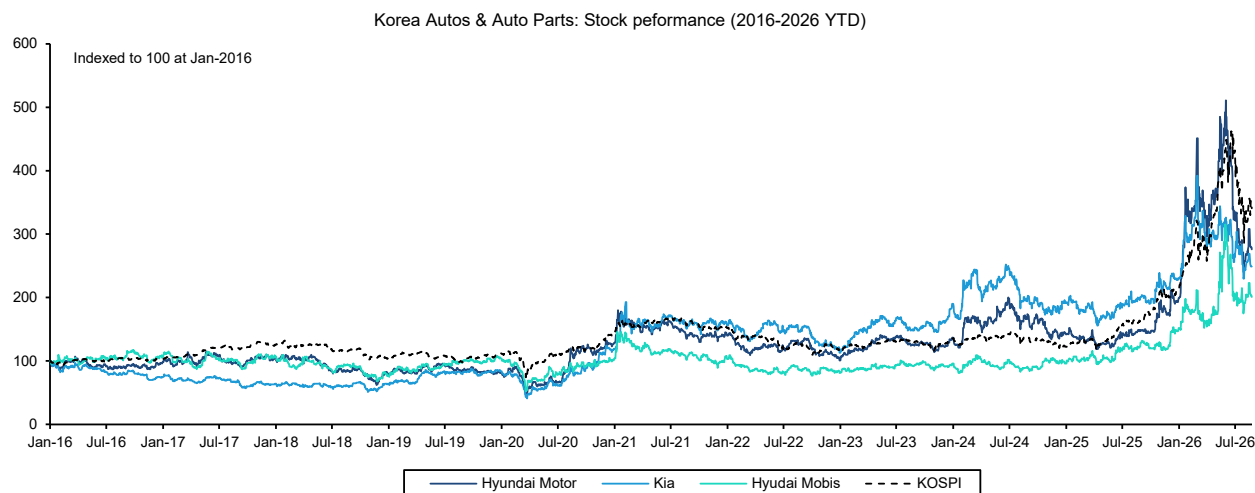
Hyundai Mobis: Bernstein vs Consensus (JPY Bn)	FY12/25	FY12/26E	FY12/27E	FY12/28E	FY12/29E
Revenue					
Bernstein	61,118	65,082	68,278	71,549	74,720
Growth YoY	6.8%	6.5%	4.9%	4.8%	4.4%
Consensus	61,118	64,932	68,929	72,910	78,555
Growth YoY	6.8%	6.2%	6.2%	5.8%	7.7%
Bernstein vs. consensus		0.2%	-0.9%	-1.9%	-4.9%
Operating profit					
Bernstein	3,357	3,819	4,551	5,014	5,438
Growth YoY	9.2%	13.7%	19.2%	10.2%	8.5%
Consensus	3,357	3,737	4,176	4,519	4,918
Growth YoY	9.2%	11.3%	11.8%	8.2%	8.8%
Bernstein vs. consensus		2.2%	9.0%	10.9%	10.6%
Net income					
Bernstein	3,656	4,231	4,935	5,351	5,946
Growth YoY	-9.9%	15.7%	16.6%	8.4%	11.1%
Consensus	3,656	4,183	4,718	5,076	5,434
Growth YoY	-9.9%	14.4%	12.8%	7.6%	7.1%
Bernstein vs. consensus		1.1%	4.6%	5.4%	9.4%
EPS					
Bernstein	40,861	47,588	55,510	60,191	66,877
Growth YoY	-9.1%	16.5%	16.6%	8.4%	11.1%
Consensus	40,861	46,529	52,766	56,882	64,526
Growth YoY	-9.1%	13.9%	13.4%	7.8%	13.4%
Bernstein vs. consensus		2.3%	5.2%	5.8%	3.6%
BPS					
Bernstein	551,349	583,532	596,516	610,598	623,429
Growth YoY	8.3%	5.8%	2.2%	2.4%	2.1%
Consensus	551,349	589,575	634,905	683,122	731,427
Growth YoY	8.3%	6.9%	7.7%	7.6%	7.1%
Bernstein vs. consensus		-1.0%	-6.0%	-10.6%	-14.8%

Source: Bloomberg, Bernstein analysis and estimates

Moving from a governance discount to a Physical AI driven re-rating

Hyundai Motor, Kia, and Hyundai Mobis all broadly underperformed the KOSPI between 2016 and 2020, reflecting concerns around the group's governance structure, earnings profile, and transition to electrification (Exhibit 8). From 2021 onward, Kia emerged as the clear outperformer, benefiting from stronger product competitiveness, improving profitability, and growing investor confidence in its electrification strategy. Hyundai Motor began to narrow the gap from 2025, likely supported by strong earnings momentum and robust hybrid demand. In 2026 YTD, all three stocks rallied on rising expectations for robotics and AI-related opportunities within Hyundai Motor Group. Hyundai Motor led the re-rating, while Hyundai Mobis also started to recover after years of underperformance, whereas Kia underperformed its group peers despite participating in the broader rally.

EXHIBIT 8: Hyundai Motor, Kia, and Hyundai Mobis all broadly underperformed the KOSPI between 2016 and 2020, and all three stocks rallied on rising expectations for robotics since Jan-2026



Source: Bloomberg, Bernstein analysis

Overview of Hyundai Motor and Kia

The global presence of Hyundai Motor Group (HMG)'s two automakers, Hyundai and Kia, has expanded significantly since the 2000s. In 2000, Hyundai sold ~1.5 mn vehicles and Kia ~0.8 mn, for a combined total of ~2.3 mn units (Exhibit 9). Their global market shares stood at 2.6% and 1.5%, respectively, giving the group a combined share of 4.1%. By 2011, Hyundai's sales had increased to approximately 3.9 million units and Kia's to around 2.7 million units, lifting HMG's combined sales volume to roughly 6.6 million units and its global market share to a record high of 8.8%. Accordingly, HMG has steadily climbed the global automaker rankings (Exhibit 10). From ninth place in 2000, it advanced to fourth place in 2010 and reached third place globally by 2025, trailing only Toyota. The group's rise reflects its successful international expansion and transformation into one of the world's leading automotive manufacturers.

HMG's market share gains from the 2000s through the early 2010s were driven by meaningful improvements in product competitiveness and quality. Following its acquisition of Kia in 1998, the group expanded its manufacturing footprint and strengthened its global sales network, creating a platform for rapid overseas growth. In North America, Hyundai and Kia introduced an industry-leading 10-year/100,000-mile powertrain warranty, roughly double the coverage offered by most competitors, helping alleviate consumer concerns over vehicle quality while enhancing brand awareness and customer trust.

At the same time, sustained investments in quality improvement led to a notable enhancement in the group's reputation and quality rankings, enabling Hyundai and Kia to establish themselves as credible global automotive brands. In addition, the aftermath of the 2008 global financial crisis boosted demand for vehicles offering strong value for money, further supporting the group's sales growth and market share expansion. As a result, Hyundai Motor Group emerged as one of the fastest-growing global automakers during this period, significantly strengthening its position in key international markets.

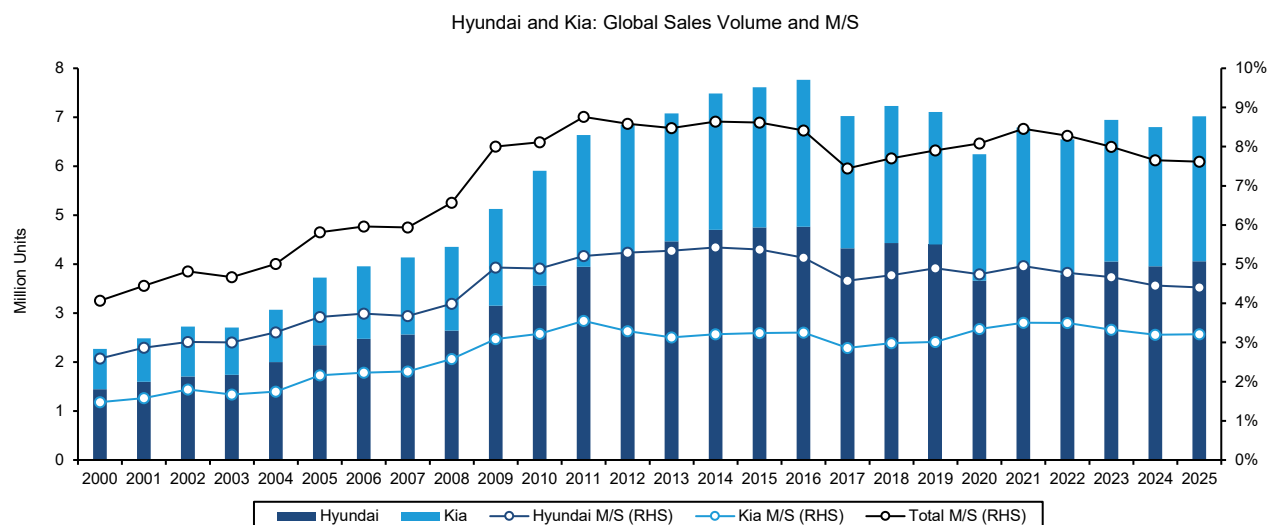
HMG's global market share entered a gradual decline after peaking at 8.8% in 2011. Competitive pressures intensified across several key markets, most notably in China, where the operating environment became increasingly challenging. In addition, the group's China operations were adversely affected by deteriorating Sino-Korean relations following the THAAD dispute,

which weighed heavily on vehicle sales in 2017. As a result, Hyundai Motor Group's global sales declined by 8% YoY in 2017. Consequently, Hyundai Motor Group's global market share fell to 7.4%, comprising 4.6% for Hyundai and 2.9% for Kia.

Thereafter, Hyundai Motor Group shifted its strategic focus from volume growth to improving profitability and brand value. The group strengthened its SUV lineup, expanded the Genesis luxury brand, and accelerated the rollout of electrified vehicles (xEVs). As a result, global sales gradually recovered, reaching approximately 6.8 million units in 2021 and 7.0 million units in 2025.

Meanwhile, the group's global market share stood at 7.6% in 2025, comprising 4.4% from Hyundai and 3.2% from Kia. As with other global automakers, Hyundai Motor Group has faced increasing competition from Chinese manufacturers in recent years, resulting in market share remaining below its historical peak. Nevertheless, the group has maintained its position as a leading global automaker, accounting for more than 7% of worldwide vehicle sales and ranking among the world's largest automotive manufacturers.

EXHIBIT 9: In 2000, Hyundai Motor sold ~1.5 million vehicles and Kia ~0.8 million vehicles, for a combined total of ~2.3 million units; in 2025 this had increased to ~4.1 million vehicles for Hyundai Motor and ~3.0 million vehicles for Kia



Source: IHS, Bernstein analysis

EXHIBIT 10: Hyundai Motor Group has steadily climbed the global automaker rankings

#	2000		2005		2010		2015		2020		2025	
	Group	Share	Group	Share	Group	Share	Group	Share	Group	Share	Group	Share
1	Stellantis*	18%	Stellantis	18%	Stellantis	12%	VW	11%	Toyota	12%	Toyota	12%
2	GM	12%	Toyota	12%	Toyota	11%	Toyota	11%	VW	12%	VW	9%
3	Ford	11%	GM	11%	VW	10%	Stellantis	10%	Stellantis	8%	HMG	8%
4	Toyota	10%	Ford	10%	HMG	8%	HMG	9%	HMG	8%	Stellantis	6%
5	VW	9%	VW	9%	GM	8%	GM	7%	GM	7%	GM	5%
6	Honda	5%	HMG	5%	Ford	7%	Ford	7%	Honda	6%	BYD	5%
7	Nissan	5%	Nissan	5%	Nissan	5%	Nissan	6%	Ford	6%	Ford	5%
8	Renault	4%	Honda	4%	Honda	5%	Honda	5%	Nissan	5%	Geely	4%
9	HMG	4%	Renault	4%	Renault	4%	Renault	3%	Mercedes	3%	Honda	4%
10	Suzuki	2%	Suzuki	2%	Suzuki	4%	Suzuki	3%	Suzuki	3%	Suzuki	3%
11	MMC	2%	Mercedes	2%	Mercedes	2%	Mercedes	3%	Renault	3%	Nissan	3%
12	Mercedes	2%	BMW	2%	BMW	2%	BMW	3%	BMW	3%	BMW	3%
13	Mazda	2%	Mazda	2%	Mazda	2%	Wuling	2%	Geely	3%	Chery	3%
14	BMW	1%	MMC	1%	Changan	2%	Mazda	2%	Wuling	2%	Renault	2%
15	AvtoVAZ	1%	AvtoVAZ	1%	Wuling	2%	Changan	1%	Changan	2%	Mercedes	2%

Note: * Stellantis figures for periods prior to the FCA-PSA merger are presented on a pro forma basis; Stellantis, VW, Renault, Mercedes, BMW covered by Stephen Reitman, Toyota, Honda, Nissan, Suzuki, Mazda, Hyundai Motor and Kia covered by Masahiro Akita, SAIC, Geely, BYD covered by Eunice Lee, rest not covered
Source: IHS, Bernstein analysis

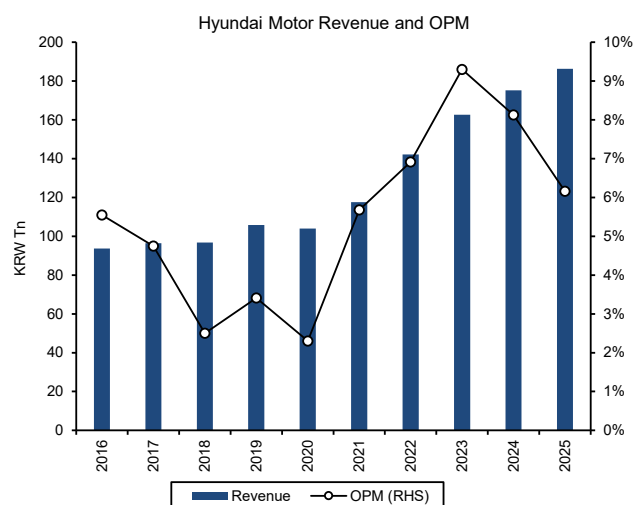
HMG benefits from one of the most geographically diversified sales footprints among global automakers. In 2025, North America was the largest market for both Hyundai and Kia, accounting for 30% and 36% of their global sales, but both companies also maintained meaningful exposure across Korea, Europe, India, and other regions. Unlike many global peers,

Hyundai Motor Group has limited exposure to China, which accounted for only 3% of sales for both Hyundai and Kia, while maintaining one of the industry's largest exposures to India, a market expected to remain a key source of long-term automotive demand growth. The group also benefits from a diversified vehicle portfolio spanning all major segments from A- to E-segment. While Hyundai has relatively greater exposure to entry-level and compact vehicles due to its stronger presence in emerging markets, Kia is more weighted toward larger vehicle segments through its higher exposure to developed markets. Together, Hyundai and Kia operate as full-line automakers with balanced exposure across both regions and vehicle segments, comparable to the broad market coverage achieved by Toyota.

Hyundai and Kia benefit from complementary strategic foundations, with Hyundai emphasizing technology leadership and Kia focusing on design differentiation. Hyundai has built its brand through continuous improvements in technology, quality, and product competitiveness, while expanding into next-generation mobility areas such as SDVs, robotics, AAM (Advanced Air Mobility), and electrification. Kia, by contrast, has differentiated itself through a design-centric approach, using product design and brand experience as key drivers of customer appeal. More recently, Kia has reinforced its future mobility positioning through EVs and PBVs. Together, the two companies benefit from complementary strategic foundations, with Hyundai emphasizing technology leadership and Kia focusing on design differentiation.

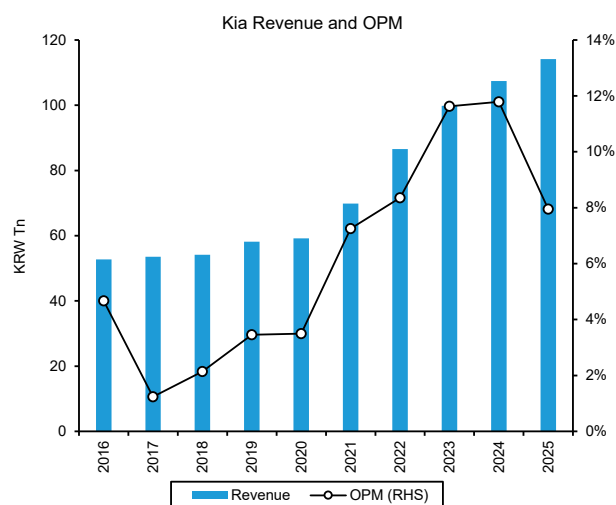
Over the past five years, Kia delivered stronger revenue growth than Hyundai (14.0% CAGR vs. 12.4%), supported by higher volume growth, greater exposure to the resilient US market, a more aggressive EV rollout, and an earlier product cycle. Kia also maintains a clear profitability advantage, with a current OPM of 8.0% versus Hyundai's 6.2% in 2025. However, Hyundai is entering a new product cycle from 2H26 and expanding its Genesis HEV lineup, which should support earnings growth and margin improvement over time (Exhibit 11, Exhibit 12).

EXHIBIT 11: Hyundai's revenue grew at a CAGR of 12.4% over the past five years, while OPM is currently 6.2%



Source: Company reports, Bernstein analysis

EXHIBIT 12: Kia's revenue grew at a CAGR of 14.0% over the past five years, while OPM is currently 8.0%



Source: Company reports, Bernstein analysis

Overview of Hyundai Mobis and HMG

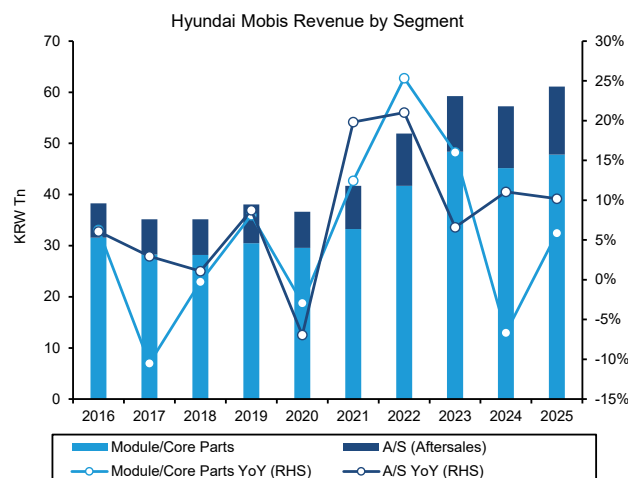
Hyundai Mobis evolved from a diversified industrial manufacturer into Hyundai Motor Group's core automotive supplier following the group's post-Asian Financial Crisis restructuring. The company combines a stable earnings base from its aftersales parts business with leading positions in modules, components, and automotive electronics. Today, Hyundai Mobis is one of the world's largest automotive suppliers, with technology capabilities spanning electrification, autonomous driving, connectivity, safety systems, semiconductors, and SDVs. Looking ahead, the company aims to expand beyond traditional auto parts into broader mobility solutions, including robotics and UAM (Urban Air Mobility).

Hyundai Mobis generates ~80% of revenue from Module/Core Parts and 20% from A/S (Aftersales) (Exhibit 13). While Module/Core Parts remains the key top-line growth driver, the A/S business generates the majority of operating profit, supported by exclusive rights to supply genuine replacement parts for Hyundai and Kia vehicles globally (Exhibit 14). The company is expanding its non-captive business with global automakers while growing its electrification portfolio. Improving profitability in Module/Core Parts, particularly through greater scale in electrification products and higher non-captive sales, remains a key

driver of future earnings growth.

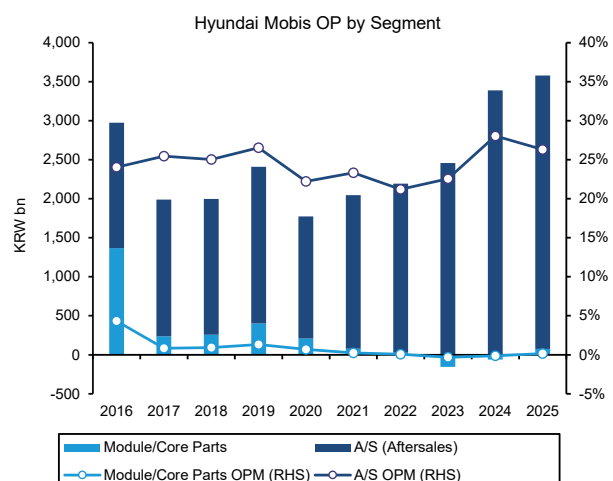
Hyundai Motor Group operates across a wide range of industries, including automotive, parts, software, steel, construction, logistics, finance, and defense. However, Hyundai Motor, Hyundai Mobis, and Kia remain the core of the group's automotive operations and ownership structure. The group continues to maintain a circular shareholding structure centered on these three companies, while members of the founding Chung family retain direct stakes in several key affiliates. As a result, Hyundai Motor Group's governance remains characterized by a combination of cross-shareholdings among major group companies and ownership by the founding family.

EXHIBIT 13: Hyundai Mobis revenue growth has been primarily driven by the Auto Modules and Parts business



Source: Company reports, Bernstein analysis

EXHIBIT 14: However, OP has been supported mainly by the After Sale Service business



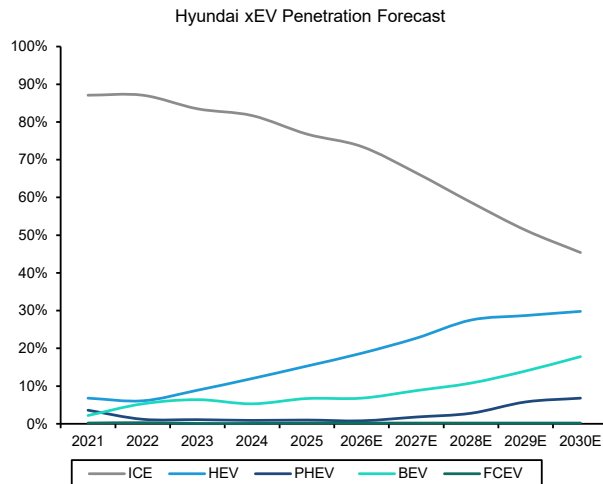
Source: Company reports, Bernstein analysis

Electrification, Hyundai and Kia well positioned under a 'multi-pathway' strategy

Hyundai and Kia pursue a multi-pathway electrification strategy spanning HEVs and BEVs, while Hyundai also maintains exposure to FCEVs. We believe this provides greater flexibility than a pure-BEV approach given the uneven pace of electrification across regions. xEVs accounted for 23% of Hyundai's sales and 24% of Kia's sales in 2025, and we forecast these figures to exceed 50% by 2030, reaching 55% and 52%, respectively (Exhibit 15, Exhibit 16). Growth will be driven by both HEVs and BEVs, with Hyundai's HEV mix rising to 30% in 2030 from 15% in 2025 and BEV mix increasing to 18% from 7%. Similarly, Kia's HEV mix is forecast to expand to 28% from 15%, while its BEV mix increases to 18% from 8% over the same period. Importantly, much of the growth is expected to come from HEVs, where both companies have established strong positions and should benefit from continued demand growth in markets where BEV adoption remains gradual.

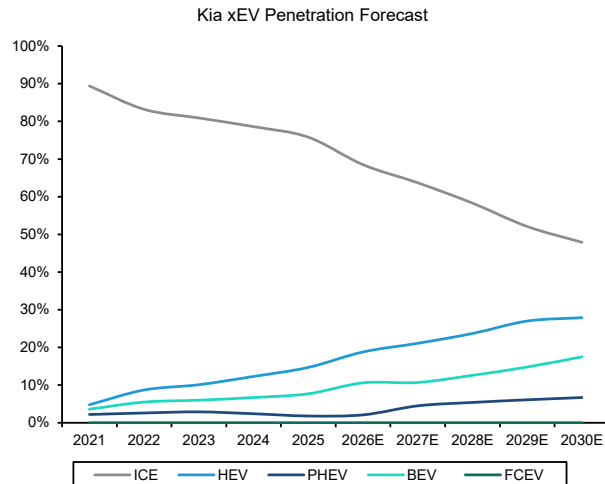
Hyundai has one of the industry's broadest electrified portfolios, covering HEVs, PHEVs, BEVs, EREVs, and FCEVs. The company is expanding both its EV lineup and hybrid offerings, including Genesis HEVs, while leveraging scalable vehicle platforms to improve profitability and manufacturing efficiency. We view Hyundai's broad technology portfolio as a key strength, allowing the company to adapt to differing regional electrification trends while supporting earnings growth through increasing HEV penetration. Kia's strategy focuses on expanding affordable volume BEVs, growing its HEV portfolio, and establishing an early leadership position in PBVs. Meanwhile, Hyundai Mobis serves as a critical enabler of Hyundai Motor Group's electrification strategy through its supply of xEV components, battery systems, power electronics, and SDV-related technologies. As Hyundai and Kia increase electrified vehicle production, Mobis should benefit from higher electrification content per vehicle while expanding its business with non-captive customers.

EXHIBIT 15: Hyundai's xEV mix to reach 55% by 2030



Source: Company reports, Bernstein analysis and estimates

EXHIBIT 16: Kia's xEV mix to reach 52% by 2030



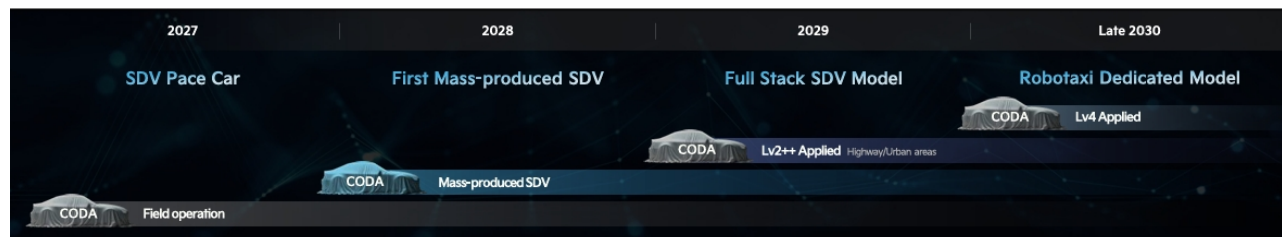
Source: Company reports, Bernstein estimates and analysis

Software Defined Vehicles unlock new value for Hyundai Motor Group

Hyundai Motor Group is transforming from a traditional automaker into a software-defined mobility platform provider, aiming to create value throughout the vehicle lifecycle through continuous software updates and digital services. The group's SDV strategy is built around CODA, its unified hardware architecture, and Pleos Vehicle OS, its proprietary software platform, which together provide a common technology foundation across Hyundai and Kia. Hyundai Mobis supports this transition through key enabling technologies, including IDELINK and M.LINK, which facilitate software development, cloud connectivity, and over-the-air updates across future vehicle platforms. The group has articulated a clear commercialization roadmap, targeting highway NOA systems in 2027, urban NOA systems in 2028, Kia's first mass-produced SDV in 2028, and urban NOA capabilities in 2029. Over the longer term, Hyundai Motor Group aims to commercialize Level 4 robotaxis in the 2030s, supported by the integration of proprietary software, AI technologies, and expanding vehicle data networks (Exhibit 17).

Hyundai Motor Group is complementing internal development with partnerships across the SDV stack, including NVIDIA (covered by Stacy Rasgon) for autonomous driving computing platforms, 42dot for AI and software development, Motional, Uber, Waymo and Avride for autonomous driving technologies, and Samsung for AI semiconductors. Hyundai Motor has the greatest direct exposure to these investments through its majority ownership of 42dot and Motional, while Hyundai Mobis is strengthening the group's software and autonomous driving capabilities through its electronics and software solutions. Collectively, these assets position Hyundai Motor Group as an integrated participant in the industry's transition toward software-centric mobility.

EXHIBIT 17: Hyundai Motor Group's SDV pipeline attempts near term commercialization, with further developments possible down the line



Source: Company reports

Let's get physical (AI), Boston Dynamics & Hyundai Motor Group's physical AI ecosystem

Robotics is emerging as a potentially significant long-term growth opportunity for HMG through Boston Dynamics, one of the world's leading robotics companies. Through products such as Spot, Stretch, and Atlas, Boston Dynamics provides Hyundai Motor Group with exposure to the rapidly developing humanoid robotics market, while also serving as the cornerstone of the group's broader Physical AI ecosystem (Exhibit 18).

Following the proposed acquisition of SoftBank's (covered by David Dai) remaining stake, Hyundai Motor Group and related entities are expected to own 100% of Boston Dynamics, further strengthening its strategic importance within the group. Assuming the distribution of the SoftBank stake is prorated across the other current shareholders, as the largest shareholder of HMG Global, Hyundai Motor will have the greatest direct ownership exposure to the Atlas platform (Exhibit 19).

Hyundai Motor Group has established a clear pathway from development to deployment, with Atlas pilot programs expected to begin at HMGMA in 2027, followed by broader implementation across Hyundai and Kia manufacturing operations. The group has committed to deploying up to 25,000 robots over time, supported by Boston Dynamics' targeted production capacity of 30,000 Atlas units annually by 2028. At the same time, Hyundai Mobis has become an important upstream beneficiary through its exclusive actuator supply partnership, positioning the company to benefit from rising humanoid production volumes.

Under our base case, we forecast Boston Dynamics' Atlas shipments to increase from 1.8k units in 2028 to 180k units by 2035 (Exhibit 21), driving revenue growth from USD 477mn to USD 14.9 bn over the same period, representing a CAGR of 45.9% (Exhibit 22). Applying our valuation framework implies a Boston Dynamics equity value of KRW 125.7tn in 2030, suggesting significant value creation potential that is not fully reflected in our coverage HMG companies (Exhibit 23). We believe Hyundai Motor has the greatest ownership exposure to this opportunity, while Hyundai Mobis also stands to benefit through both its ownership interest and component content exposure.

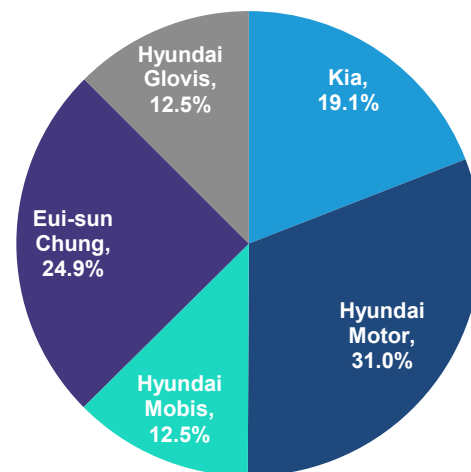
EXHIBIT 18: Atlas, the humanoid robot, full commercialization in the pipeline



Source: Company website

EXHIBIT 19: Hyundai Motor has the greatest Boston Dynamics exposure post-SoftBank stake acquisition at 31.0%

Boston Dynamics Ownership breakdown post SoftBank acquisition

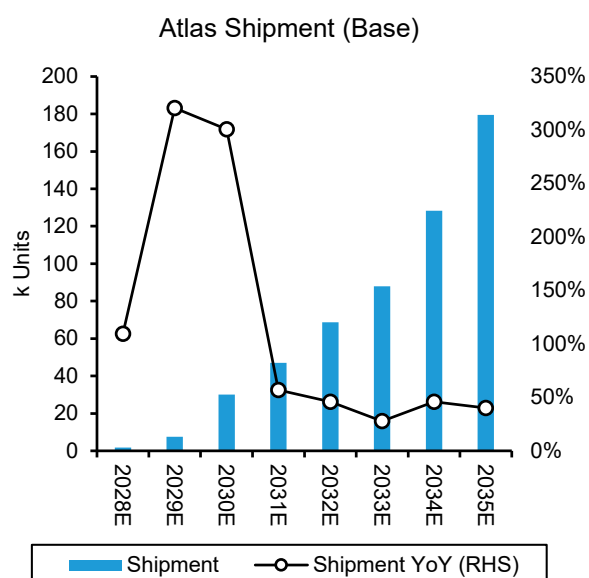


Source: Company reports, Bernstein analysis

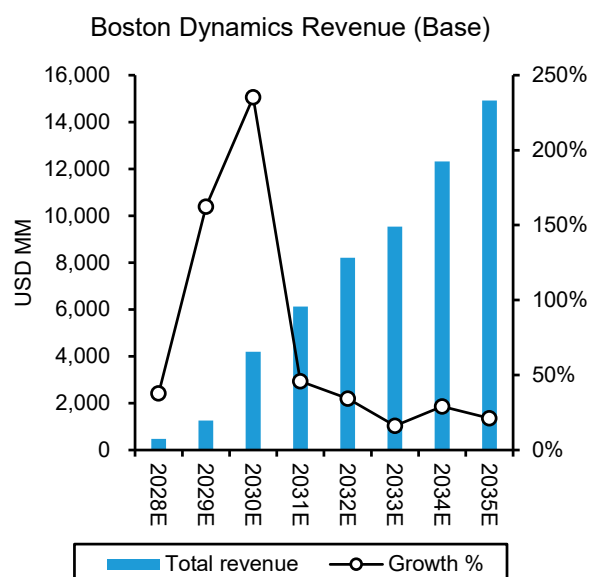
EXHIBIT 20: Hyundai Motor Group plans to begin Atlas integration in parts sequencing by 2028, reaching 25,000 units of internal deployment from 2030 and beyond

2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Acquire Softbank stake									
	Begin trialling Atlas implementation for parts sequencing @ HMGMA								
		Full scale Atlas implementation for parts sequencing @HMGMA							>>>>>
		Reach 30,000 units of production capacity for Atlas							
			Begin Atlas implementation @ KIA Autoland Georgia, H2 2029						>>>>>
				Begin Atlas implementation in component assembly					>>>>>
				Implement 25,000 Atlas units across Hyundai and Kia					>>>>>

Source: Company reports, Bernstein analysis

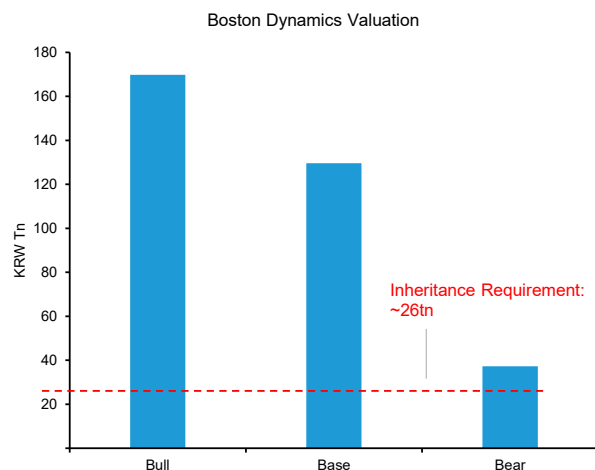
EXHIBIT 21: Atlas shipments expected to reach approx. 179,500 units by 2035 in our base case


Source: Bernstein estimates and analysis

EXHIBIT 22: Boston Dynamics revenue is expected to reach USD 14.9bn by 2035 in our base case, at CAGR of 63.5%


Source: Bernstein estimates and analysis

EXHIBIT 23: Valuing Boston Dynamics above the minimum requirement at IPO for Chairman Eui-sun Chung's inheritance



Source: Company reports, Bernstein analysis

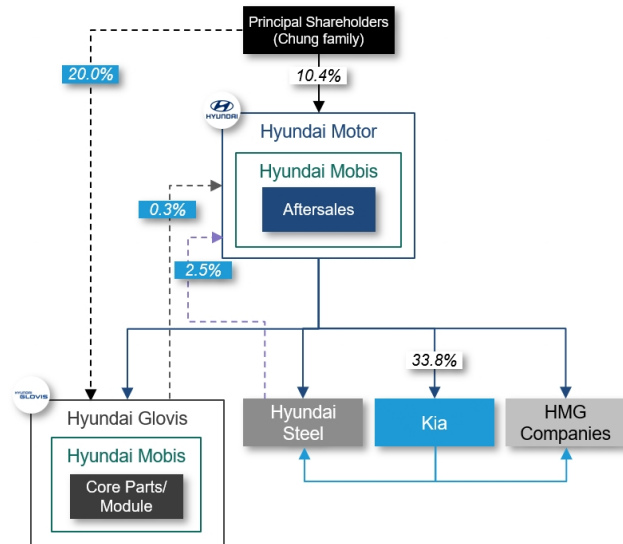
The last Chaebol with major circular-shareholding unwinding potential

Hyundai Motor Group remains one of the last major Korean chaebols to retain a complex circular-shareholding structure centered on Hyundai Motor, Hyundai Mobis, and Kia. The restructuring attempt in 2018 provides useful reference points. The company's 2018 proposal sought to simplify the ownership structure through the transfer of Hyundai Mobis' Module and A/S businesses to Hyundai Glovis (not covered), but was ultimately withdrawn following criticism that the highly profitable A/S business was undervalued and that the proposal disproportionately benefited the founding family. An alternative activist proposal advocated a Hyundai Motor-Hyundai Mobis merger and holding company structure. While the merger concept remains relevant in our view, we do not believe placing Hyundai and Kia on an equal footing appropriately reflects the group's operating hierarchy, given Kia's origins as a company rescued by Hyundai Motor Group in 1998.

We envision a merger between Hyundai Motor and Hyundai Mobis, followed by a separation of Hyundai Mobis' Module/Core Parts business from its highly profitable A/S business (Exhibit 24). As of August 2026, the Chung family's combined ownership stake stands at 8.4% in Hyundai Motor, compared with 7.9% in Hyundai Mobis. As a result, a merger between the two entities would modestly increase the founding family's ownership interest in the combined company relative to its current stake in Hyundai Mobis. Under our framework, the Module/Core Parts business would be integrated with Hyundai Glovis, while the merged entity would retain the A/S operation, increasing exposure to stable and high-margin recurring earnings. We then envision the elimination of the group's circular shareholding structure through the unwind of Kia's stake and other cross-shareholdings (Exhibit 25). Importantly, the retirement of Hyundai Mobis' existing Hyundai Motor stake and Kia's stake in the merged entity could generate combined upside of ~27% for Hyundai Motor and Hyundai Mobis shareholders. Including an estimated ~4% upside from the unwinding of cross-shareholdings involving Hyundai Glovis and Hyundai Steel, the total upside for Hyundai Motor and Hyundai Mobis shareholders could reach ~31%. Kia could also benefit through cash proceeds equivalent to ~16% of its market capitalization. (Exhibit 26). We believe this approach would both simplify governance and unlock value, particularly by addressing Hyundai Mobis' longstanding conglomerate discount.

In addition to providing funding for the inheritance tax liabilities that could arise from the eventual transfer of Honorary Chairman Mong-koo Chung's stakes in Hyundai Motor, Hyundai Mobis, and Hyundai Steel to Executive Chair Eui-sun Chung, a Boston Dynamics IPO could create substantial financial flexibility for Hyundai Motor Group. Proceeds could facilitate the unwinding of cross-shareholdings, strengthen the founding family's control over core group entities, and support the implementation of a broader restructuring program. As a result, we view Boston Dynamics not only as a long-term growth asset but also as a potentially important catalyst for governance reform and capital structure optimization across Hyundai Motor Group.

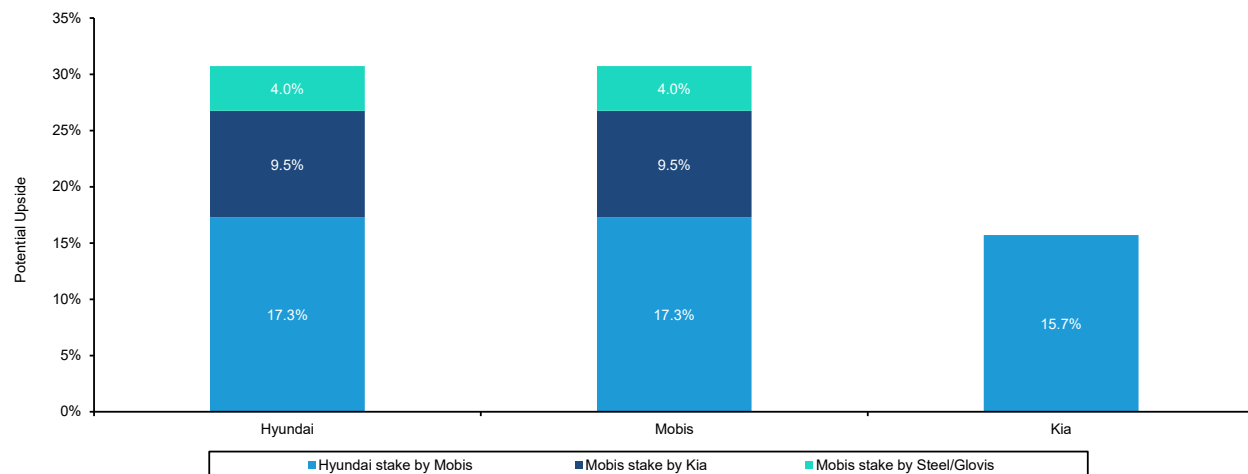
EXHIBIT 25: We envision a merger between Hyundai Motor and Hyundai Mobis' A/S business, while Kia's circular ownership link to Hyundai Mobis would be eliminated



Note: All the companies except for Hyundai Motor, Hyundai Mobis, Kia not covered

Source: Bloomberg, Company reports, Bernstein analysis

Potential shareholder upside from mergers and share buybacks associated with our restructuring idea



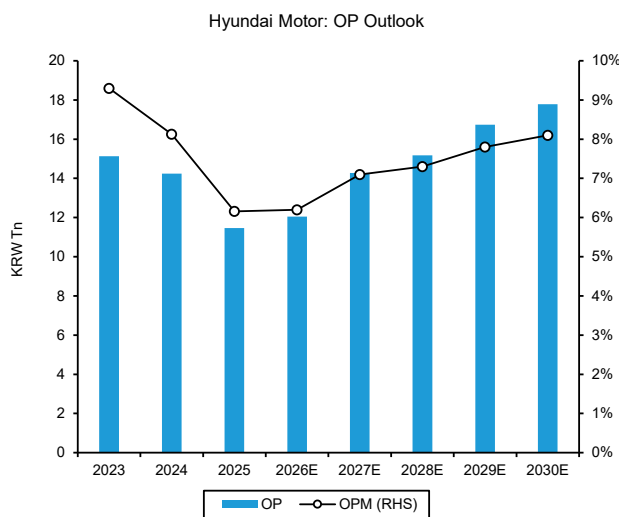
Source: Bloomberg, Company reports, Bernstein analysis

We expect Hyundai's earnings momentum to recover from 2H26 as the company enters a new product cycle. Refreshed Tucson and Elantra models, the launch of Genesis HEVs, and increasing hybrid penetration should support both volume and margin expansion. We forecast FY12/27 revenue of KRW 201.1tn, operating profit of KRW 14.3tn, and net profit of KRW 12.0tn, implying growth of 3.5%, 18.6%, and 15.6%, respectively. We expect operating margin to improve to 7.1%, driven by a richer product mix and higher HEV penetration (Exhibit 27). After lagging Kia in recent years due to weaker product-cycle timing and slower sales momentum, we believe Hyundai is now positioned to narrow the profitability gap.

By contrast, we expect Kia's earnings growth trajectory to remain solid but moderate. We forecast Kia's FY12/27 revenue to reach KRW 130.4tn, operating profit KRW 11.0tn, and net profit KRW 9.5tn, representing growth of 4.4%, 8.3%, and 9.9%, respectively (Exhibit 4). Kia continues to benefit from strong xEV momentum, expanding HEV penetration, and a broad BEV and PBV lineup. However, after several years of strong execution, market share gains, and industry-leading profitability, we see fewer incremental earnings catalysts relative to Hyundai and Hyundai Mobis.

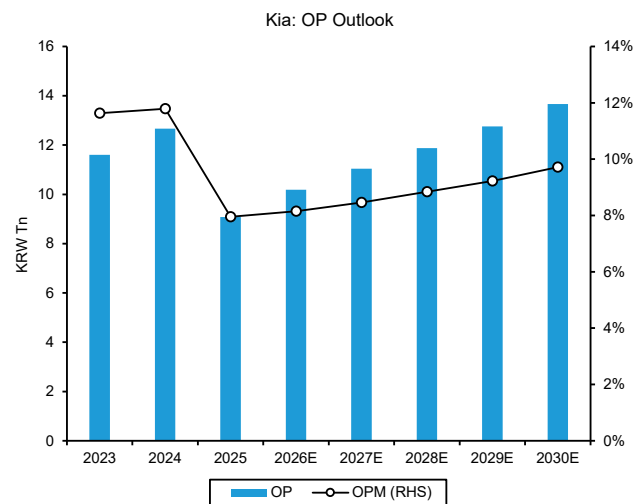
Hyundai Mobis is expected to deliver the strongest earnings growth among the three companies. We forecast Hyundai Mobis's FY12/27 revenue of KRW 68.3tn, operating profit of KRW 4.6tn, and net profit of KRW 4.9tn, implying growth of 4.9%, 19.2%, and 16.7%, respectively, the strongest earnings growth among the three companies (Exhibit 29). The highly profitable A/S business remains the key earnings contributor, while recovering electrification sales, rising HEV demand, expanding sales to non-HMG customers, and improving profitability in the Core Parts business should support further earnings expansion. As Hyundai and Kia increase their electrified vehicle mix, we expect Mobis to remain a key beneficiary through both higher content per vehicle and continued growth in its aftermarket operations.

EXHIBIT 27: We expect Hyundai's OP to have bottomed out in 2025 and to improve steadily, reaching KRW 12 tn (OPM: 6.2%) in 2026 and KRW 14 tn (7.1%) in 2027



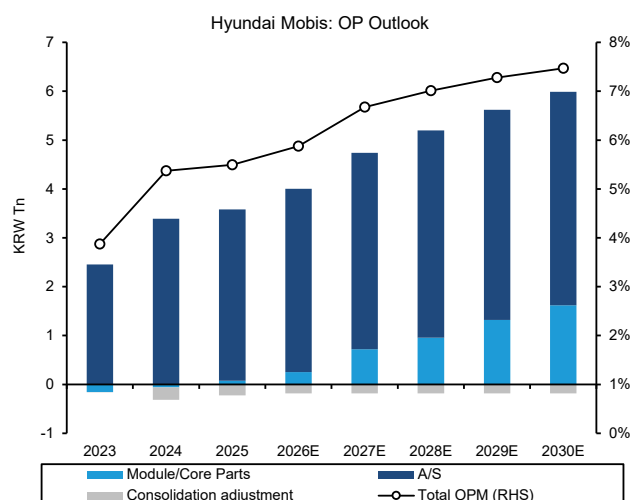
Source: Company reports, Bernstein analysis and estimates

EXHIBIT 28: We expect Kia's OP to improve steadily, reaching KRW 10 tn (OPM: 8.2%) in 2026 and KRW 11 tn (8.5%) in 2027



Source: Company reports, Bernstein analysis and estimates

EXHIBIT 29: We expect Hyundai Mobis' OP to grow steadily, reaching KRW 3.8 tn (OPM: 5.9%) in 2026 and KRW 4.6 tn (6.7%) in 2027



Source: Company reports, Bernstein analysis and estimates

Valuation, separately evaluating core automotive businesses and Physical AI optionality

Historical valuation patterns suggest that equity investors have increasingly begun viewing Hyundai Motor Group through two lenses: a core automotive business and emerging Physical AI optionality. Valuation multiples contracted significantly between 2021 and 2024 despite strong earnings growth, reflecting concerns around peak-cycle profitability, slowing industry growth, intensifying competition from Chinese automakers, and uncertainty surrounding the pace of electrification. Valuations began to recover during 2025 as Hyundai and Kia demonstrated resilient earnings, strong HEV competitiveness, and disciplined capital allocation, despite earnings headwinds from US tariffs. The most significant re-rating occurred at the beginning of 2026, as investor attention expanded beyond automotive fundamentals toward software-defined vehicles, robotics, and the potential value embedded in Boston Dynamics and Hyundai Motor Group's broader Physical AI ecosystem.

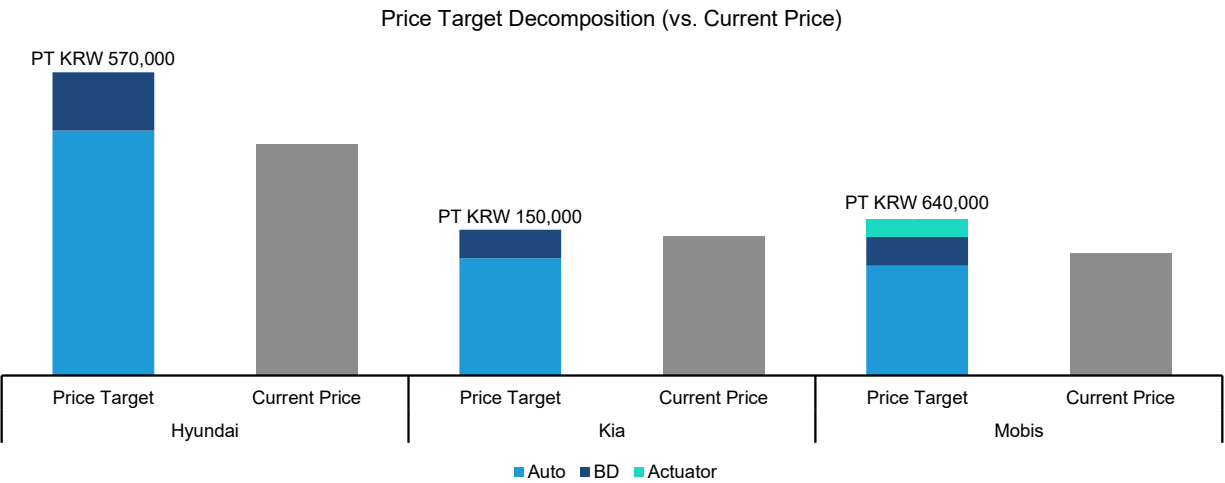
We value Hyundai Motor, Kia, and Hyundai Mobis primarily on P/B, reflecting the historically strong relationship between valuation and ROE across the three companies. We separately add the value of robotics-related assets, primarily Boston Dynamics, to capture the group's emerging Physical AI exposure (Exhibit 30). Historical valuation multiples are based on trading data through December 2025, before the market began incorporating Boston Dynamics and broader robotics optionality into Hyundai Motor Group valuations.

For Hyundai Motor's automotive business, we apply a +0.5 s.d. premium to its historical valuation multiple, reflecting our expectation for earnings recovery as the company enters a new product cycle, supported by increasing HEV penetration and Genesis hybrid launches. We also believe Hyundai Motor offers meaningful exposure to both Boston Dynamics and future group restructuring. We derive a price target of **KRW 570,000**, implying 39% upside from the August 26, 2026 closing price, and initiate coverage with an **Outperform** rating.

For Hyundai Mobis' automotive business, we also apply a +0.5 s.d. premium to its historical valuation multiple. In addition to benefiting from earnings growth driven by its highly profitable A/S business, recovering electrification operations, and rising non-captive sales, we believe Hyundai Mobis offers attractive robotics exposures within the group through both its ownership interest in Boston Dynamics and its actuator business. We derive a price target of **KRW 640,000**, implying 37% upside from the August 26, 2026 closing price, and initiate coverage with an **Outperform** rating.

For Kia's automotive business, we apply a -0.5 s.d. discount to its historical valuation multiple. While we continue to view Kia as a high-quality automaker with strong profitability, expanding xEV penetration, and a differentiated PBV strategy, we believe the company is closer to the peak of its current product cycle and offers less exposure to group restructuring and robotics-related value creation than Hyundai Motor and Hyundai Mobis. We derive a price target of **KRW 150,000**, implying 14% upside/downside from the August 26, 2026 closing price, and initiate coverage with a **Market-Perform** rating.

EXHIBIT 30: **Price target built on automotive business valuation, Boston Dynamics valuation and additional actuator revenue for Mobis**



Note: Market cap basis
Source: Bloomberg, Bernstein analysis

DETAILS

OVERVIEW OF HYUNDAI MOTOR, KIA, HYUNDAI MOBIS

Well-diversified regional and segment mix

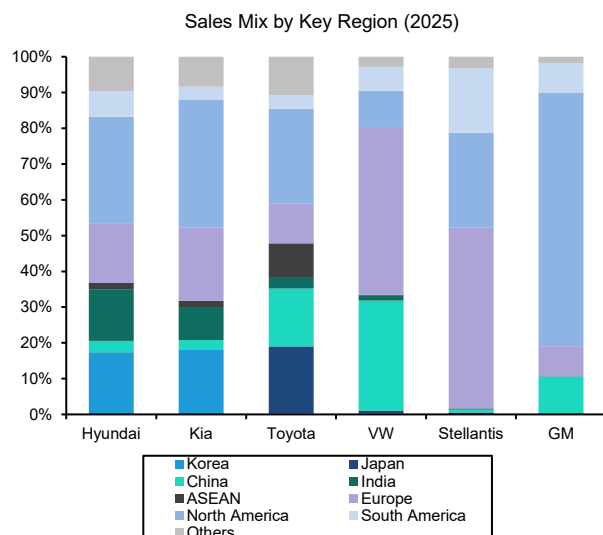
Hyundai Motor Group's sales footprint is well diversified across regions, resulting in relatively low dependence on any single market (Exhibit 31). In 2025, Hyundai's sales mix comprised 30% North America, 17% Korea, 17% Europe, 14% India, 7% South America, 3% China, 2% ASEAN, and 10% Other regions. Kia's sales mix was 36% North America, 20% Europe, 18% Korea, 9% India, 4% South America, 3% China, 2% ASEAN, and 8% Other regions. While North America remains the largest market for both companies, each maintains a solid domestic foundation in Korea alongside meaningful exposure across multiple regions. Although both companies benefit from a diversified regional mix, Hyundai has relatively greater exposure to emerging markets, supported by its strong presence in fast-growing India. In contrast, Kia's sales footprint is tilted more toward developed markets, reflecting its higher exposure to North America and Europe.

Compared with other global automakers, Hyundai and Kia maintain a more balanced geographic sales mix. While Volkswagen and GM derive a disproportionately large share of their sales from their respective home markets of Europe and North America, Hyundai and Kia have built broad-based sales footprints across major global markets. Another distinguishing feature of Hyundai Motor Group is its limited exposure to China. In 2025, China accounted for just 3% of sales for both Hyundai and Kia, well below Volkswagen's 31%, Toyota's 16%, and GM's 10%. Given the current weakness in Chinese auto demand and intensifying competition, the group's low reliance on China represents an advantage from a global volume growth perspective. At the same time, Hyundai and Kia have meaningful exposure to India, which accounted for 14% and 9% of their respective sales in 2025. This places the group among the global automakers with the highest exposure to the Indian market. As India is expected to remain one of the fastest-growing automotive markets globally, Hyundai Motor Group's strong competitive position and established presence in the country should serve as an important source of long-term growth and a key differentiating factor versus peers.

Hyundai Motor Group also benefits from a well-diversified vehicle segment portfolio, although it remains predominantly mass-market focused (Exhibit 32). Of Hyundai's total sales volume, C-segment vehicles account for 33%, followed by B-segment at 31%, D-segment at 24%, and A-segment at 8%. Kia's sales mix consists of 39% C-segment, 27% D-segment, 26% B-segment, 6% A-segment, and 4% E-segment vehicles. Reflecting its greater exposure to emerging markets, particularly India, Hyundai has a relatively higher weighting toward entry-level and compact vehicle segments. In contrast, Kia's stronger exposure to developed markets results in a sales mix that is more heavily skewed toward C-segment and above vehicles. At the same time, Hyundai's presence in the premium E-segment is supported by the Genesis brand, giving it greater exposure to the segment than Kia.

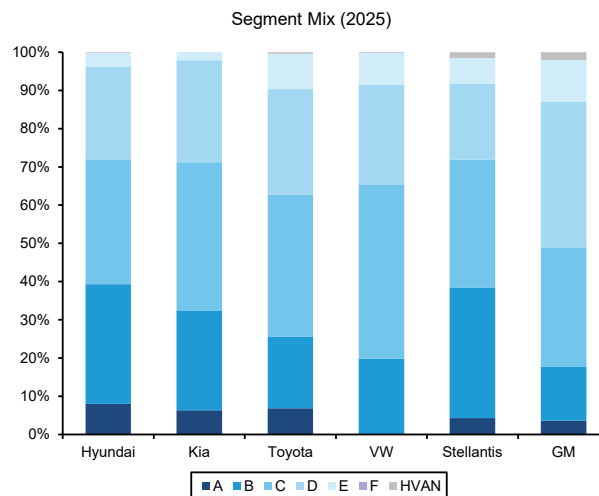
The diversified nature of Hyundai Motor Group's segment portfolio becomes even more apparent when compared with other global automakers. Volkswagen, for example, has relatively lower exposure to emerging markets outside China, resulting in a portfolio that is more heavily concentrated in the C- and D-segments. GM, meanwhile, benefits from its strong position in North America and light trucks, resulting in a heavier concentration in the D-segment. Against this backdrop, both Hyundai and Kia stand out for their balanced exposure across vehicle segments. Toyota is arguably the only global automaker with a more diversified segment mix, primarily due to its greater exposure to the E-segment through the Lexus brand. Nevertheless, both Hyundai and Kia can be regarded as full-line automakers comparable to Toyota, with product offerings spanning all major vehicle segments from A- to E-segment.

EXHIBIT 31: Hyundai Motor Group has a diversified regional mix, with Hyundai Motor more exposed to emerging markets



Source: IHS, Bernstein analysis

EXHIBIT 32: Hyundai Motor Group's product portfolio is predominantly mass-market focused, with Kia slightly more premium



Source: IHS, Bernstein analysis

Complementary strategic foundations, technology at Hyundai, design at Kia

The two companies are underpinned by complementary strategic foundations, with each pursuing a differentiated set of priorities (Exhibit 33). Although both Hyundai and Kia have evolved into the key pillars of Hyundai Motor Group's global operations, their approaches to brand building have differed meaningfully. Hyundai has strengthened its brand through continuous technological advancement and improvements in product competitiveness, while Kia has driven differentiation through a design-centric strategy.

While Hyundai entered the global automotive market as a relative latecomer, it has steadily strengthened its competitive position through sustained improvements in quality, technology, and product competitiveness. More recently, the company has broadened its strategic scope beyond conventional automotive manufacturing, investing in next-generation mobility technologies such as electrification, SDVs (Software-Defined Vehicles), robotics, and AAM (Advanced Air Mobility). These initiatives underscore Hyundai's ambition to transform itself from a traditional automaker into a technology-led mobility solutions provider. At the same time, Hyundai has adopted a multi-pathway product strategy spanning ICE, HEV, EV, and hydrogen-powered vehicles, enabling it to address diverse customer preferences and regulatory environments. This broad technology portfolio positions the company to navigate an increasingly uncertain and fragmented global powertrain transition.

By contrast, Kia, which joined HMG in 1998, faced the strategic challenge of establishing a differentiated identity within the group. The company responded by making design the cornerstone of its brand strategy, adopting a design-led approach to brand building and product development. This strategy has enabled Kia to create a distinctive brand image, strengthen customer engagement, and deliver a consistent product and ownership experience across its portfolio. More recently, Kia has expanded its focus beyond traditional passenger vehicles through the rollout of new EV and PBV (Platform Beyond Vehicle) lineups, while further reinforcing its positioning as a future mobility brand. The company's transformation highlights the success of its design-centric strategy and its ability to build a differentiated market position alongside Hyundai within HMG.

EXHIBIT 33: Hyundai Motor and Kia each pursue a differentiated set of priorities

	Hyundai Motor	Kia
Historical Challenge	Establishing competitiveness via quality improvement and technological advancement as a late entrant	Lack of clear differentiation beyond price competitiveness within Hyundai Motor Group
Strategic Foundation	Technology	Design
Strategic Focus	Expanding into new business domains, new markets, and the luxury segment through technology	Building a distinct brand identity and differentiating customer experiences through design
Product Strategy	Diverse powertrain portfolio based on a multi-pathway strategy	Product planning built around a consistent design language
Brand Strategy	Evolution into a technology-driven mobility company	Evolution into a design-led mobility brand
Key Focus Areas	Genesis, SDV, robotics, AAM	BEVs, PBVs and enhanced customer experiences

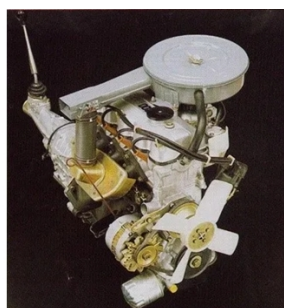
Source: Company websites, Bernstein analysis

Technology as the foundation of Hyundai's expansion into new frontiers

Hyundai has long emphasized quality improvement and technological development as core elements of its strategy. When the company began expanding into global markets in the 1970s as a late entrant to the automotive industry, its primary priorities were enhancing product quality and establishing mass-production capabilities. The Pony, launched in 1975 and widely recognized as Korea's first mass-produced passenger car, was built using the rear-wheel-drive platform of the first-generation Mitsubishi Lancer and Mitsubishi's Saturn engine (Exhibit 34, Exhibit 35). Over the following decades, Hyundai steadily increased the in-house development and production of key components, including powertrains, as part of its efforts to strengthen technological competitiveness. The launch of the Accent in 1994 marked a major milestone in this journey (Exhibit 36). Widely regarded as Korea's first fully independently developed passenger car, the model symbolized Hyundai's growing technological self-reliance and engineering capabilities.

EXHIBIT 34: The 1975 Pony was using MMC's Lancer platform

Source: Company website

EXHIBIT 35: 4G33 Saturn engine equipped on MMC's first Lancer

Source: Company website

EXHIBIT 36: The first Accent, Hyundai's first self-developed model

Source: Company website

Expanding Hyundai's strategic scope, Genesis, E-GMP, and WEC

Continuous efforts have supported a steady expansion of Hyundai's strategic domain. In 2015, the company spun off Genesis as a standalone luxury brand, marking a significant step into the premium vehicle market (Exhibit 37). Hyundai has also strengthened its presence in the performance vehicle segment through the Hyundai N brand. By expanding its involvement in motorsports, including the FIA World Rally Championship (WRC) and the Nürburgring 24 Hours, the company has sought to enhance its technological credentials and reinforce its performance-oriented brand image.

Hyundai has also been an active participant in the industry's electrification transition. In 2020, the company unveiled E-GMP (Electric-Global Modular Platform), its first dedicated BEV platform, which was subsequently deployed across Hyundai, Kia, and Genesis EV models (Exhibit 38). The platform adopted an 800V ultra-fast charging architecture, setting it apart from the 400V systems that were prevalent at the time. At the same time, Hyundai has pursued a multi-pathway strategy similar to Toyota's,

avoiding reliance on any single powertrain technology. The company continues to develop ICEVs, HEVs, BEVs, and FCEVs in parallel, enabling it to address varying regulatory environments, infrastructure constraints, and customer preferences across global markets.

More recently, Hyundai has expanded into areas that demand an even higher level of technological capability. In 2024, the company launched Genesis Magma Racing and entered the FIA WEC (World Endurance Championship) for the first time (Exhibit 39). The team's completion of 372 laps, equivalent to 5,069 kilometers, in the Hypercar class at the 24 Hours of Le Mans, the pinnacle category of endurance racing, highlights Hyundai's growing confidence in its engineering, performance, and durability capabilities. Such initiatives not only serve as a showcase for advanced technologies but also reinforce the group's broader ambition to elevate its technological and brand positioning on the global stage.

EXHIBIT 37: In 2015, Hyundai launched Genesis as an independent brand, entering the luxury market



Source: Company website

EXHIBIT 38: In 2020, Hyundai unveiled E-GMP, its first dedicated BEV platform



Source: Company website

EXHIBIT 39: Hyundai is continuing to expand into sectors that require advanced technological capabilities



Source: Company website

Beyond autos, robotics and AAM

Hyundai's technology-driven expansion has extended well beyond the automotive sector. In 2021, Hyundai Motor Group entered the robotics industry through its investment in Boston Dynamics, while also advancing its AAM (Advanced Air Mobility) ambitions through Supernal, a subsidiary dedicated to next-generation aerial mobility solutions (Exhibit 40, Exhibit 41). These initiatives reflect the group's broader objective of evolving from a traditional automaker into a next-generation mobility company.

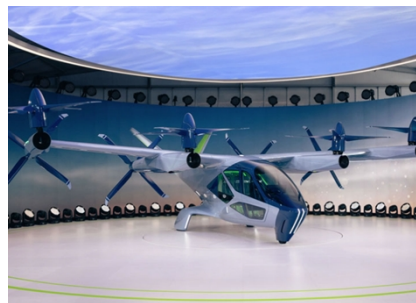
For Hyundai, technology is more than a means of product differentiation. Its journey, spanning quality improvement, entry into the premium vehicle market, high-performance vehicle development, electrification, hydrogen technologies, SDVs, robotics, and AAM, represents a continuous expansion of business domains driven by technological innovation. This willingness to leverage technology as a gateway to new markets and growth opportunities remains a defining characteristic of Hyundai's strategy and forms the foundation of both its product and brand development.

EXHIBIT 40: In 2021, Hyundai entered the robotics industry



Source: Company website

EXHIBIT 41: S-A2, Supernal's AAM vehicle unveiled at CES 2024



Source: Company website

Design as the foundation of Kia's brand transformation

For Kia, design was not merely an element of product development, but the centerpiece of its brand transformation strategy. Once one of Korea's leading automakers, Kia pursued aggressive diversification into businesses with limited connection to its core automotive operations during the mid-1990s. As leverage increased across the group and obligations related to cross-debt guarantees mounted, the company's financial position deteriorated significantly. These challenges were exacerbated by the Asian Financial Crisis in 1997, which sharply tightened liquidity conditions in Korea. Against this backdrop, Kia entered court receivership in 1997 and was subsequently acquired by Hyundai Motor Group in 1998.

Following its integration into Hyundai Motor Group, Kia leveraged the group's manufacturing and product development resources to restore profitability and rebuild its operations. At the same time, the company faced a new strategic challenge in establishing a distinctive identity alongside Hyundai. Although Kia was widely recognized as a value-oriented brand, it lacked a clear brand image that customers could readily associate with the company. A turning point came in 2006, when Euisun Chung, then President of Kia, recruited Peter Schreyer as Chief Design Officer. While Hyundai sought to enhance brand value through quality and technological advancement, Kia chose to make design the centerpiece of its differentiation strategy. One of the earliest outcomes of this decision was the introduction of the 'Tiger Nose' grille, which would go on to become the defining symbol of Kia's design identity.

Inspired by the shape of a tiger's nose, the Tiger Nose grille first appeared on the 2008 Lotze Innovation and was subsequently rolled out across Kia's global product lineup (Exhibit 42). The 2009 Sorento R was among the first SUV models to fully embrace the design language, helping establish Kia's family look and strengthening brand recognition worldwide (Exhibit 43). More than a styling feature, the Tiger Nose served as a visual signature that made Kia vehicles instantly recognizable across segments. The design-led transformation gained further momentum with the launch of the first-generation K5 in 2010 (Exhibit 44). Incorporating the Tiger Nose design language, the model received widespread international acclaim and won a number of prestigious design awards, including the Red Dot Design Award, the iF Design Award, and the Good Design Award. These achievements marked an important milestone in elevating Kia's global brand image and demonstrated the effectiveness of its design-centric brand strategy.

EXHIBIT 42: Tiger Nose grille was first adopted on the 2008 Lotze Innovation



Source: Company website

EXHIBIT 43: The 2009 Sorento R played a key role in establishing Kia's new family look



Source: Company website

EXHIBIT 44: The 2010 K5 won a number of prestigious international design awards



Source: Company website

Kia's new brand logo and design language

Kia's design-led transformation has continued into the present day. In 2021, the company introduced a new corporate logo and undertook a comprehensive brand renewal initiative (Exhibit 45). The new logo, rendered as a continuous handwritten signature rather than a combination of separate symbols and letters, was designed to reflect Kia's commitment to delivering inspiring experiences and responding flexibly to evolving customer needs. Its upward and forward-oriented form embodies the company's ambitions for growth and innovation, while reinforcing its role as a provider of new mobility experiences. Together with the new global brand slogan, 'Movement that inspires,' the rebranding marked a symbolic step in Kia's evolution from a traditional automaker into a broader mobility brand.

At the same time, Kia introduced its new design philosophy, 'Opposites United,' which emphasizes the creative integration of contrasting values and ideas. Reflecting this philosophy, 'Star Map Signature Lighting' was adopted as a key element of Kia's new family design language, serving as a distinctive visual signature across the brand's latest models. The slim DRL

(Daytime Running Light) signature featured across models such as the EV9, the all-new Seltos, and the new EV6 has become a recognizable element of Kia's contemporary design language and brand identity (Exhibit 46, Exhibit 47, Exhibit 48). If the Tiger Nose grille represented Kia's visual identity during the 2010s, Star Map Signature Lighting can be viewed as the design signature of Kia's SDV and EV era. Beyond serving as a styling element, it reinforces the company's positioning as a technology-focused mobility brand while providing a consistent visual identity across its next-generation product lineup.

EXHIBIT 45: Kia introduced a new logo in 2021 and declared its transformation into a mobility company



Source: Company website

EXHIBIT 46: EV9, Kia's first full-size F-segment SUV BEV



Source: Company website

EXHIBIT 47: The all-new Seltos, Kia's core global subcompact SUV models



Source: Company website

EXHIBIT 48: The new EV6, the latest model in Kia's best-selling EV lineup



Source: Company website

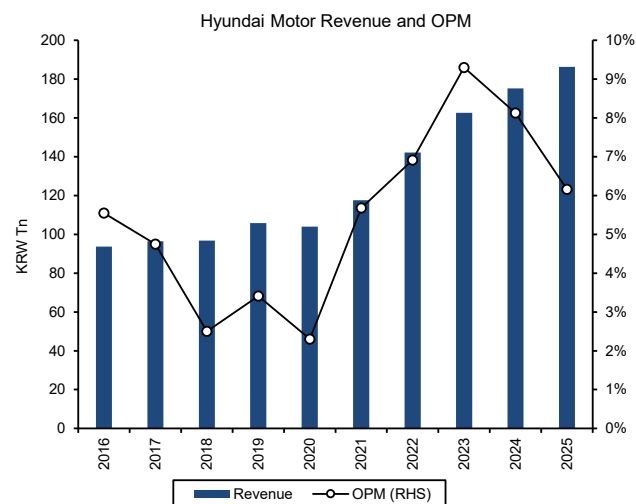
Comparing Hyundai and Kia's growth and profitability trajectories

Both Hyundai and Kia have delivered steady growth in revenue and earnings over the past decade, although their performance trajectories have not been identical (Exhibit 49, Exhibit 50). Looking at revenue growth over the past five years, Kia outpaced Hyundai with a CAGR of 14.0% versus Hyundai's 12.4%. While both companies benefited from the depreciation of the Korean Won during this period, the difference is also evident in underlying sales performance. Hyundai's wholesale volume grew at a CAGR of approximately 2.0%, compared with 3.8% for Kia, making stronger unit sales growth one of the key drivers behind Kia's superior revenue expansion.

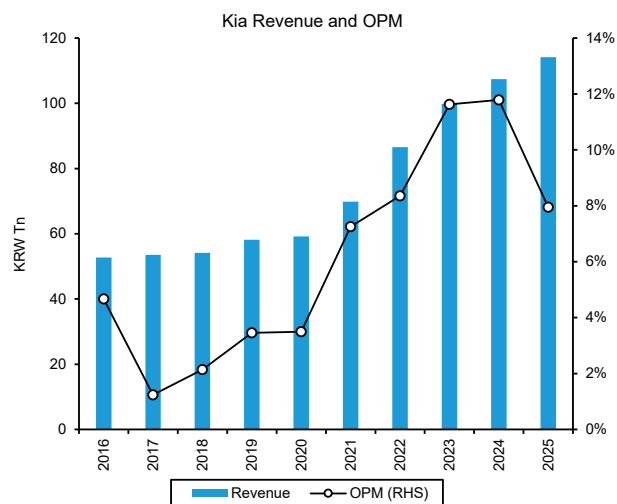
In our view, Hyundai's relatively weaker sales momentum reflects several factors. First, Kia has greater exposure to the resilient US market, which has been a major source of industry volume growth in recent years. Second, Kia expanded its EV lineup more aggressively, helping it capture incremental demand in electrified vehicles. Third, Kia entered a favorable model cycle earlier, having rolled out a number of next-generation products two to three years ahead of Hyundai. That said, Hyundai is entering a new product cycle from 2H26, and we expect the company to gradually narrow the gap as new models are launched globally.

A similar pattern can be observed in profitability. Although both companies have recently faced margin pressure from US tariffs, inflation, and a less favorable operating environment, Kia continues to maintain a clear profitability advantage. Hyundai's latest operating margin stands at 6.2%, compared with 8.0% for Kia, while peak operating margins reached 9.3% and 11.8%, respectively. We believe this gap is partly attributable to differences in geographic exposure. Hyundai has a greater presence in emerging markets such as India, where vehicle pricing and profitability tend to be lower, whereas Kia has a higher concentration in developed markets, where average selling prices and margins are generally more attractive.

Looking ahead, Hyundai's profitability should also improve. The company is expanding its Genesis HEV lineup, a segment that combines premium pricing with favorable margin characteristics. As the Genesis brand broadens its electrified offering and Hyundai enters a new product cycle, we believe the company has scope to gradually catch up with Kia in both earnings growth and profitability.

EXHIBIT 49: Hyundai's revenue grew at a CAGR of 12.4% over the past five years, while OPM is currently 6.2%

Source: Company reports, Bernstein analysis

EXHIBIT 50: Kia's revenue grew at a CAGR of 14.0% over the past five years, while OPM is currently 8.0%

Source: Company reports, Bernstein analysis

Hyundai Mobis, from industrial manufacturing to a mobility platform provider

Hyundai Mobis, originally founded as Hyundai Precision Industry in 1977, has undergone a remarkable transformation from a diversified industrial manufacturer into one of the world's leading automotive suppliers. During its early years, the company operated a broad portfolio of manufacturing businesses spanning containers, railway systems, defense equipment, and industrial machinery, building core capabilities in large-scale manufacturing and systems engineering. The company entered the automotive sector in the early 1990s through vehicle manufacturing. Hyundai Precision launched the Galloper, Hyundai's first SUV, in 1991, followed by the Santamo minivan in 1995, both of which were produced and marketed by Hyundai Precision prior to the transfer of the vehicle manufacturing business to Hyundai Motor (Exhibit 51, Exhibit 52). The Galloper represented the company's first mass-produced vehicle and played an important role in establishing Hyundai's presence in the SUV segment.

A pivotal turning point came following Hyundai Motor Group's restructuring in the aftermath of the Asian Financial Crisis. Hyundai Precision transferred its completed vehicle operations and shifted its strategic focus toward automotive modules, core components, and aftermarket parts. The company also acquired responsibility for Hyundai Motor Group's global after-sales parts business, which provided a stable and recurring earnings base through the exclusive supply and distribution of genuine replacement parts for Hyundai and Kia vehicles worldwide. Reflecting this strategic shift, the company was renamed Hyundai Mobis in 2000 and expanded into modules, chassis systems, safety technologies, electronics, and service parts (Exhibit 53). Leveraging its manufacturing heritage, Hyundai Mobis became Hyundai Motor Group's core technology supplier while establishing a global manufacturing, logistics, and R&D footprint (Exhibit 54).

Today, Hyundai Mobis is one of the world's largest automotive suppliers, generating approximately KRW 61 trillion in annual revenue and positioning itself as the world's fifth-largest automotive supplier. The company's technology portfolio now spans electrification, autonomous driving, connectivity, infotainment, chassis and safety systems, advanced lighting, semiconductors, and software-defined vehicle technologies. Looking ahead, Hyundai Mobis aims to evolve further from a traditional automotive supplier into a comprehensive 'Mobility Platform Provider'. Building on its strengths in software and hardware integration, the company is expanding into emerging mobility domains including robotics, UAM (Urban Air Mobility), and next-generation mobility solutions.

EXHIBIT 51: Hyundai's first SUV Galloper was launched in 1991

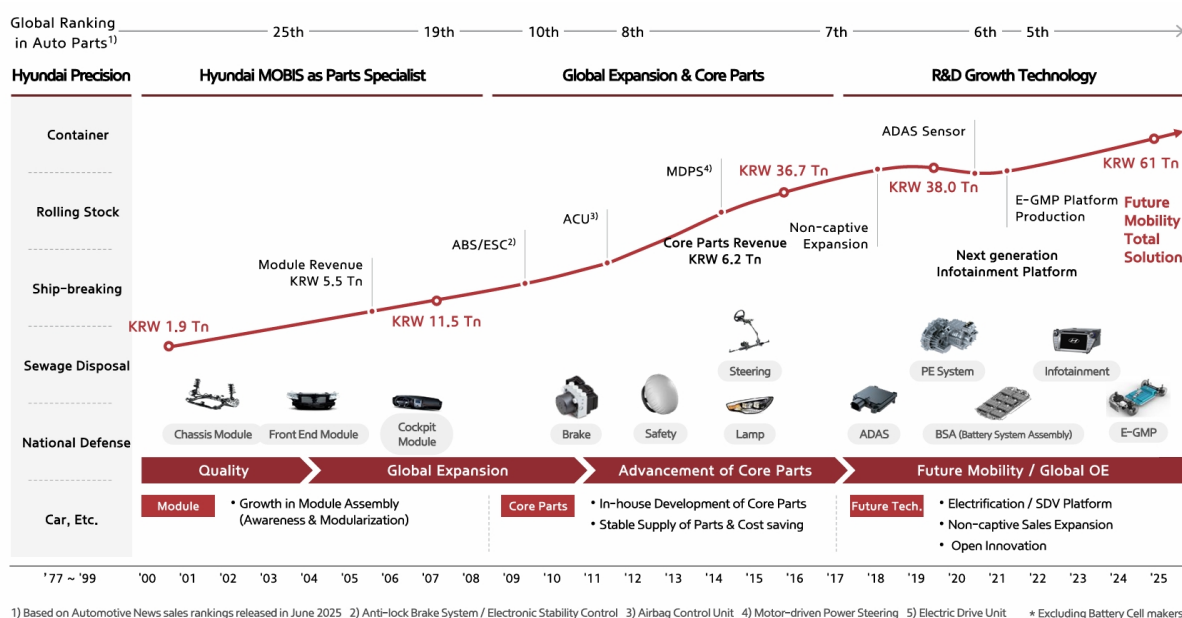

Source: Company website

EXHIBIT 52: The Santamo, launched in 1995, helped establish Korea's minivan market


Source: Company website

EXHIBIT 53: The company was renamed Hyundai Mobis in 2000


Source: Company website

EXHIBIT 54: Hyundai Mobis' history of business development


Source: Company reports

Module/Core Parts segment drive revenue, while A/S segment generates the bulk of profit

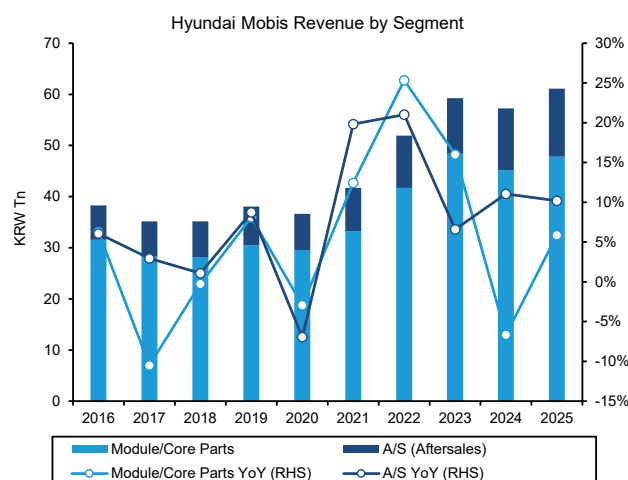
Hyundai Mobis' business can be broadly divided into two segments, Module/Core Parts and A/S (Aftersales). Historically, the former has accounted for ~80% of total revenue, while the latter has contributed ~20%. The Module/Core Parts business, driven primarily by sales to Hyundai and Kia, has been the company's key top-line growth engine (Exhibit 55). In contrast, the A/S business has consistently generated the majority of consolidated OP (Exhibit 56). Benefiting from its exclusive rights to supply and distribute genuine replacement parts for Hyundai and Kia vehicles worldwide, the segment has delivered highly stable earnings over time. The business is also characterized by superior profitability, maintaining an operating margin of approximately 25% in FY12/25.

Within Module/Core Parts, the Module business is the largest contributor to revenue, followed by Core Parts and Electrification (Exhibit 57). The Module business primarily supplies chassis modules, front cockpit modules, rear cockpit modules, and power electronics modules. The Core Parts business encompasses a broad range of products, including electronics components such as IVI systems, ADAS sensors and controllers, and ECUs, as well as chassis and safety systems, lighting products, and automotive semiconductors. Meanwhile, the Electrification business focuses on next-generation powertrain solutions, including

e-Axles, motors for HEV and MHEV applications, battery packs, and PCUs (Power Control Units). Geographically, Hyundai Mobis derives more than 70% of its revenue from Korea and America (Exhibit 58). Korea represents the largest market, accounting for over 40% of total sales, followed by America at approximately 30%. Europe contributes around 15%, while China accounts for roughly 5%, with the balance generated from other regions, primarily India.

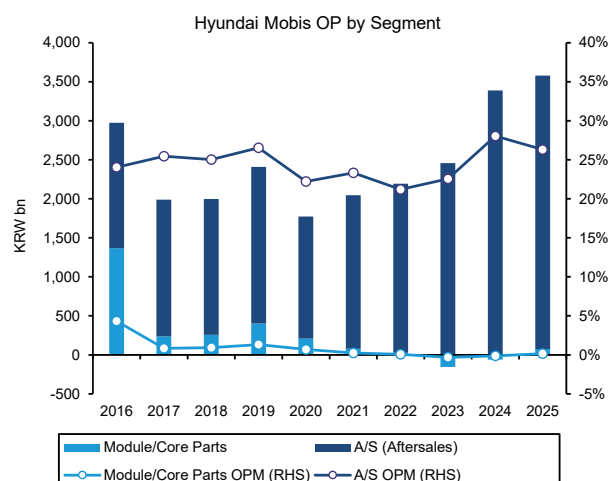
Although Module/Core Parts remains heavily dependent on Hyundai and Kia, Hyundai Mobis has been expanding its exposure to non-captive customers, supplying components to global automakers such as MMC (not covered), GM (not covered), Stellantis (covered by Stephen Reitman), Volkswagen (covered by Stephen Reitman) and Mercedes-Benz (covered by Stephen Reitman). The company intends to continue strengthening its non-captive business while further expanding its electrification portfolio and growing its A/S operations. From a profitability perspective, improving earnings in the Module/Core Parts segment remains a key focus. Compared with the highly profitable A/S business, margins in Module/Core Parts remain relatively low, with losses in the Electrification business continuing to weigh on overall profitability. Going forward, successful expansion of non-captive sales, increasing scale in electrification products, and an improvement in the profitability of the Module/Core Parts segment will be important drivers of earnings growth.

EXHIBIT 55: Hyundai Mobis revenue growth has been primarily driven by the Auto Modules and Parts business



Source: Company reports, Bernstein analysis

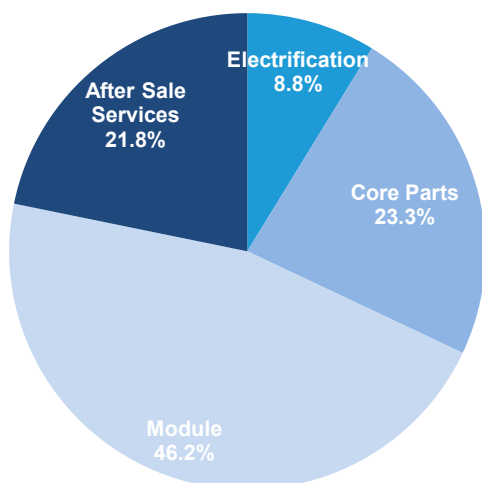
EXHIBIT 56: However, OP has been supported mainly by the After Sale Service business



Source: Company reports, Bernstein analysis

EXHIBIT 57: Within the Auto Modules and Parts business, the Module segment is the largest contributor to revenue

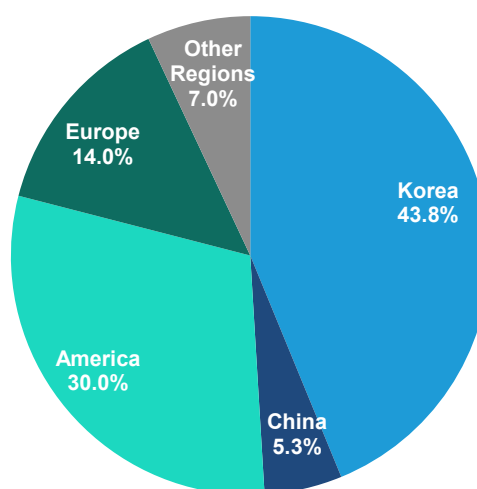
Hyundai Mobis Revenue Mix by Segment (2025)



Source: Company reports, Bernstein analysis

EXHIBIT 58: By geography, Korea and America account for 74% of revenue

Hyundai Mobis Revenue Mix by Region (2025)



Source: Company reports, Bernstein analysis

Hyundai Mobis, Hyundai Motor, and Kia form the core of HMG, with affiliates operating across multiple industries

Hyundai Motor Group (HMG) is a Korean Chaebol (conglomerate) centered on its automotive businesses, including vehicle manufacturing and auto parts, although its operations in practice span a broad range of industries, including software, logistics, steel, construction, finance, railways, and defense. Within the automotive segment, Hyundai Mobis, Hyundai Motor, and Kia form the core of the group's control structure through a circular shareholding, alongside a highly complex network of cross-shareholdings with affiliates operating in other sectors. Among them, Hyundai Mobis occupies a particularly important position. In addition to serving as a key player in the parts supply chain for Hyundai and Kia, the company owns a 22.5% stake in Hyundai Motor, making it a critical component of the group's ownership and governance structure (Exhibit 59).

Within the vehicle manufacturing segment, Hyundai Motor and Kia serve as the group's core vehicle manufacturers. The two companies collaborate extensively across the full spectrum of vehicle development and production, covering passenger vehicles, trucks, buses, and other commercial vehicles, as well as all major powertrain technologies. Hyundai Motor currently holds a 35.3% stake in Kia, and the two companies have been driving the group's growth through close cooperation in product development and the sharing of vehicle platforms and technologies.

Within the Auto Parts & Software segment, Hyundai Mobis serves as the group's core supplier, responsible for the development, manufacturing, and supply of automotive modules, electrification components, chassis systems, and safety systems. The company also holds an exclusive position in the manufacturing and distribution of aftermarket parts for Hyundai and Kia vehicles.

Hyundai AutoEver (not covered) is the group's IT and software arm, with Hyundai Motor, Hyundai Mobis, and Kia holding stakes of 31.6%, 20.1%, and 16.2%, respectively. The company is responsible for the development of in-vehicle software, SDV-related systems, and digital infrastructure, supporting the group's software transformation initiatives. Meanwhile, Hyundai Wia (not covered), in which Hyundai Motor and Kia hold stakes of 25.9% and 13.7%, respectively, manufactures automotive powertrains, vehicle modules, and machine tools, serving as an important supplier within the group's manufacturing ecosystem.

In the steel segment, Hyundai Steel (not covered) serves as the group's primary steel producer, supplying a wide range of steel products, including automotive steel sheets used throughout HMG's vehicle manufacturing operations. Hyundai Motor and Kia hold stakes of 7.0% and 17.5% in Hyundai Steel, respectively, underscoring its strategic importance within the group's vertically integrated automotive supply chain. Hyundai Steel also owns a 31.1% stake in Hyundai BNG Steel (not covered), which

specializes in cold-rolled stainless steel sheets and various coated steel products.

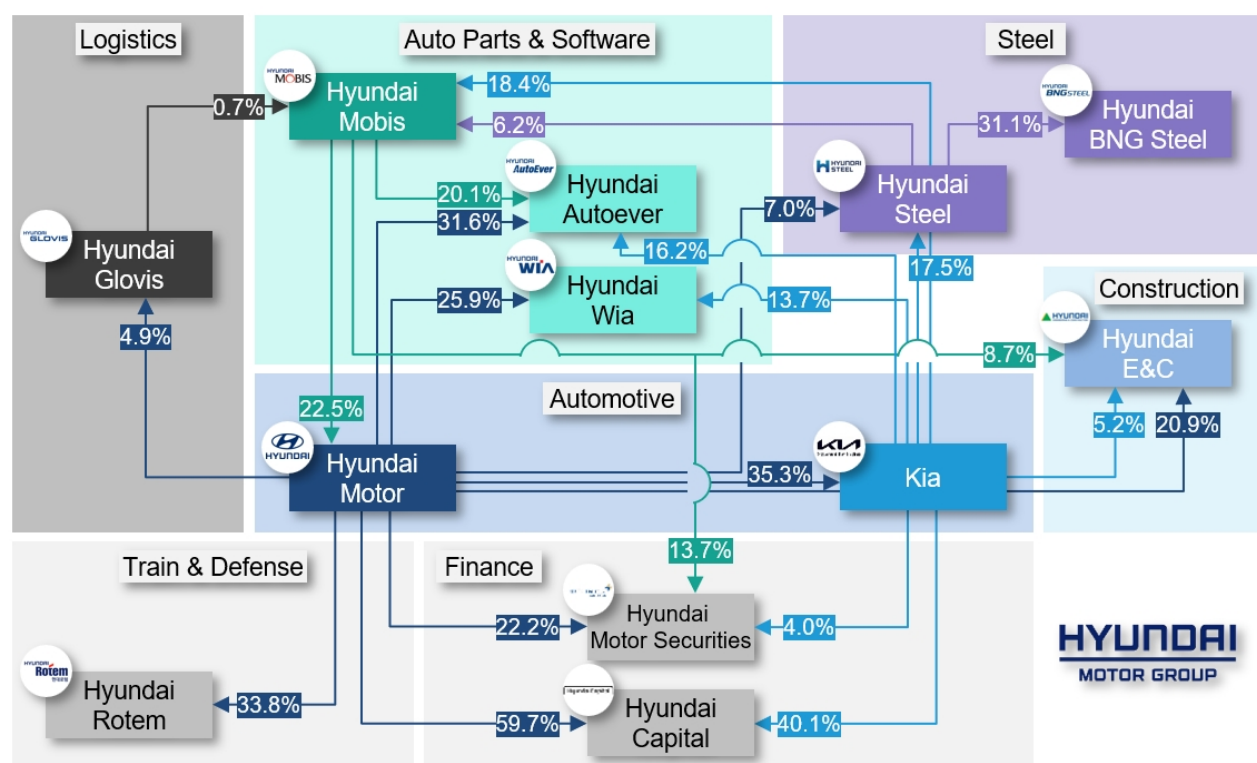
Within the construction segment, Hyundai E&C (not covered) serves as the group's flagship engineering and construction company. Hyundai Motor, Hyundai Mobis, and Kia hold stakes of 20.9%, 8.7%, and 5.2%, respectively. In addition to building automotive manufacturing facilities for the group, Hyundai E&C provides EPC services across a broad range of end markets, including petrochemical plants, nuclear power facilities, and residential developments.

Within the logistics segment, Hyundai Glovis (not covered) plays a central role in supporting HMG's supply chain through finished vehicle transportation, parts logistics, and ocean shipping services. Hyundai Motor holds a 4.9% stake in the company. Hyundai Glovis also occupies a strategically important position within the group, as Executive Chair Euisun Chung owns just under a 20% stake, making the company a key part of the group's ownership structure as well as its logistics network.

Within the Train & Defense segment, Hyundai Rotem (not covered) serves as the group's core company, with Hyundai Motor holding a 33.8% stake. Hyundai Rotem manufactures rolling stock for both the Korean and international railway markets, providing a broad range of rail transportation solutions. The company also plays a significant role in the defense sector, as it is the only manufacturer of main battle tanks in Korea, making it a strategically important asset in both the group's industrial portfolio and the country's defense industry.

Within the finance segment, Hyundai Motor Securities (not covered) and Hyundai Capital (private) provide key financial services for HMG. Hyundai Motor Securities is owned by Hyundai Motor, Hyundai Mobis, and Kia, which hold stakes of 22.2%, 13.7%, and 4.0%, respectively, and offers a range of capital markets and investment banking services. Hyundai Capital, meanwhile, serves as the group's captive automotive finance company. Hyundai Motor and Kia hold stakes of 59.7% and 40.1%, respectively. The company supports vehicle sales through a range of financing and leasing solutions.

EXHIBIT 59: Hyundai Mobis, Hyundai Motor, and Kia form the core of HMG, with affiliates operating across multiple industries and connected through complex cross-shareholdings



Note: All the companies except for Hyundai Motor, Hyundai Mobis and Kia not covered

Source: Bloomberg, Company reports, Bernstein analysis

In addition to the capital relationships among group companies, the founding family, including Honorary Chairman Mong-koo Chung and Executive Chair Eui-sun Chung, holds direct ownership stakes in several key group entities (Exhibit 60). The combination of these family holdings and the cross-shareholding structure among major group companies forms the foundation of HMG's control structure.

EXHIBIT 60: HMG's founding family holds direct ownership stakes in several key group entities

	Investee / Held company									
		Hyundai Motor	Kia	Hyundai Mobis	Hyundai Rotem	Hyundai Glovis	Hyundai E&C	Hyundai Autoever	Hyundai Steel	Hyundai Wia
Investor/Shareholder	Hyundai Motor	-	35.3%	-	33.8%	4.9%	20.9%	31.6%	7.0%	25.9%
	Kia	-	-	18.4%	-	-	5.2%	16.2%	17.5%	13.7%
	Hyundai Mobis	22.5%	-	-	-	-	8.7%	20.1%	-	-
	Hyundai Rotem	-	-	-	-	-	-	-	-	-
	Hyundai Glovis	-	-	0.7%	-	-	-	-	-	-
	Hyundai E&C	-	-	-	-	-	-	-	-	-
	Hyundai Autoever	-	-	-	-	-	-	-	-	-
	Hyundai Steel	-	-	6.2%	-	-	-	-	-	-
	Hyundai Wia	-	-	-	-	-	-	-	-	-
	Eui-sun Chung	2.8%	1.8%	0.3%	-	20.0%	-	7.3%	-	2.0%
	Moon-koo Chung	5.6%	-	7.6%	-	-	-	-	12.0%	-

Note: All the companies except for Hyundai Motor, Hyundai Mobis and Kia not covered

Source: Bloomberg, Company reports, Bernstein analysis

ELECTRIFICATION, HYUNDAI AND KIA WELL POSITIONED UNDER A 'MULTI-PATHWAY' STRATEGY

HEV strength to support near- to medium-term growth

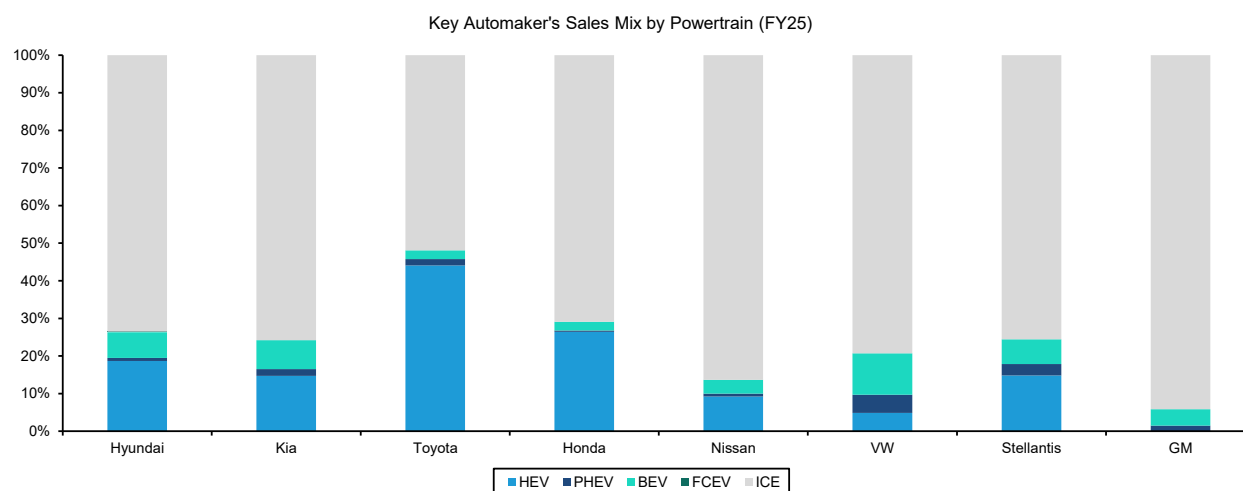
A key differentiator of Hyundai's and Kia's electrification strategies is their 'multi-pathway' approach, which extends beyond BEVs to include HEVs, while Hyundai also maintains a presence in FCEVs (Exhibit 61, Exhibit 62, Exhibit 63). Although the long-term shift toward electrification is unlikely to change, the pace and nature of adoption are expected to vary significantly across regions. In this environment, exposure to multiple powertrain technologies provides a meaningful competitive advantage, allowing both companies to navigate volatile demand conditions more effectively and adapt to changing consumer preferences.

In 2025, xEVs accounted for approximately 26.5% of Hyundai's global sales and 24.2% of Kia's. A notable feature of their portfolios is their long-standing commitment to developing and commercializing strong HEVs, similar to Japanese automakers. HEVs represented roughly 18.7% of total sales for Hyundai and 14.7% for Kia in 2025. While some Western automakers also report relatively high levels of HEVs, a significant portion of their HEV sales is driven by MHEVs, which typically offer less meaningful fuel-efficiency gains than full hybrid systems. At the same time, Hyundai and Kia maintain higher BEV exposure than most Japanese OEMs, with BEVs accounting for 6.8% and 7.7% of sales, respectively.

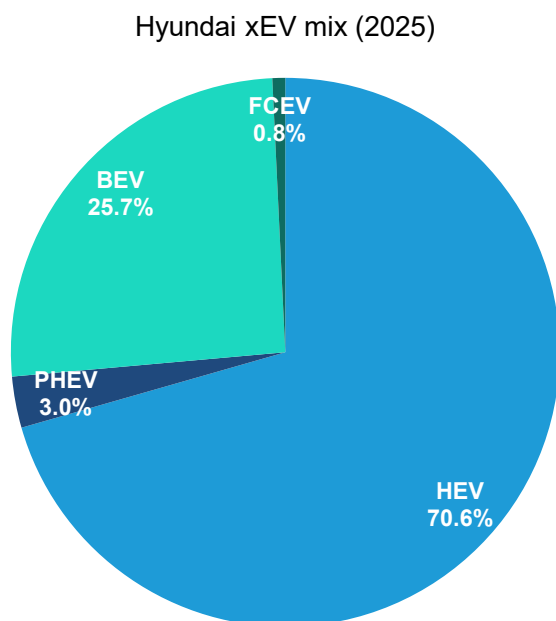
Another distinguishing feature is Hyundai's commitment to FCEVs. Alongside Toyota, Hyundai has been one of the few automakers actively developing both passenger and commercial fuel-cell vehicles, establishing a leadership position in this technology. While the commercial viability of FCEVs remains uncertain, maintaining optionality across multiple powertrain technologies could prove beneficial as the industry evolves.

Although demand for BEVs has recently shown signs of improvement in certain regions, particularly Europe amid higher fuel prices, market conditions remain highly uneven. In the US, for example, the phase-out of EV incentives has weighed on BEV demand, while HEV sales continue to grow at a double-digit rate. Against this backdrop, we view Hyundai's and Kia's strong HEV franchises as a significant advantage. Robust HEV demand should support both revenue growth and profitability over the near to medium term, while allowing the companies to continue investing in and preparing for a longer-term transition toward BEVs. In our view, this balanced approach places Hyundai and Kia in a favorable position to manage an increasingly uncertain electrification landscape.

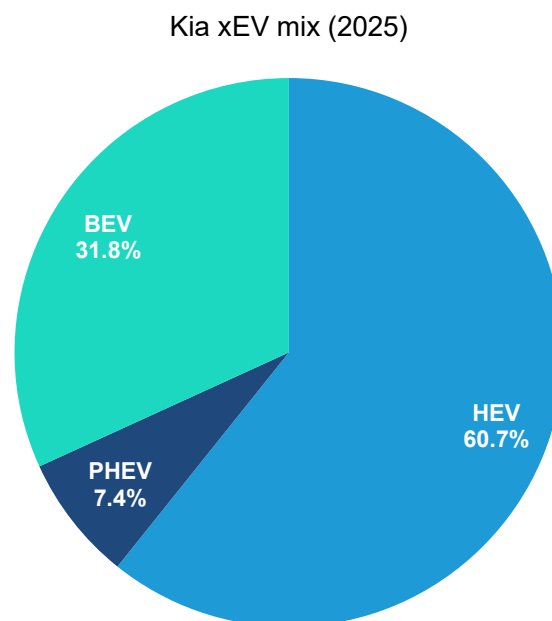
EXHIBIT 61: Hyundai and Kia are well positioned under a "multi-pathway" strategy



Source: Company reports, IHS, Bernstein analysis

EXHIBIT 62: Hyundai Motor has a higher HEV mix than Kia, at 70.8% of the xEV portfolio

Source: Company reports, IHS, Bernstein analysis

EXHIBIT 63: Kia has a higher BEV mix than Hyundai Motor, at 31.8% of the xEV portfolio

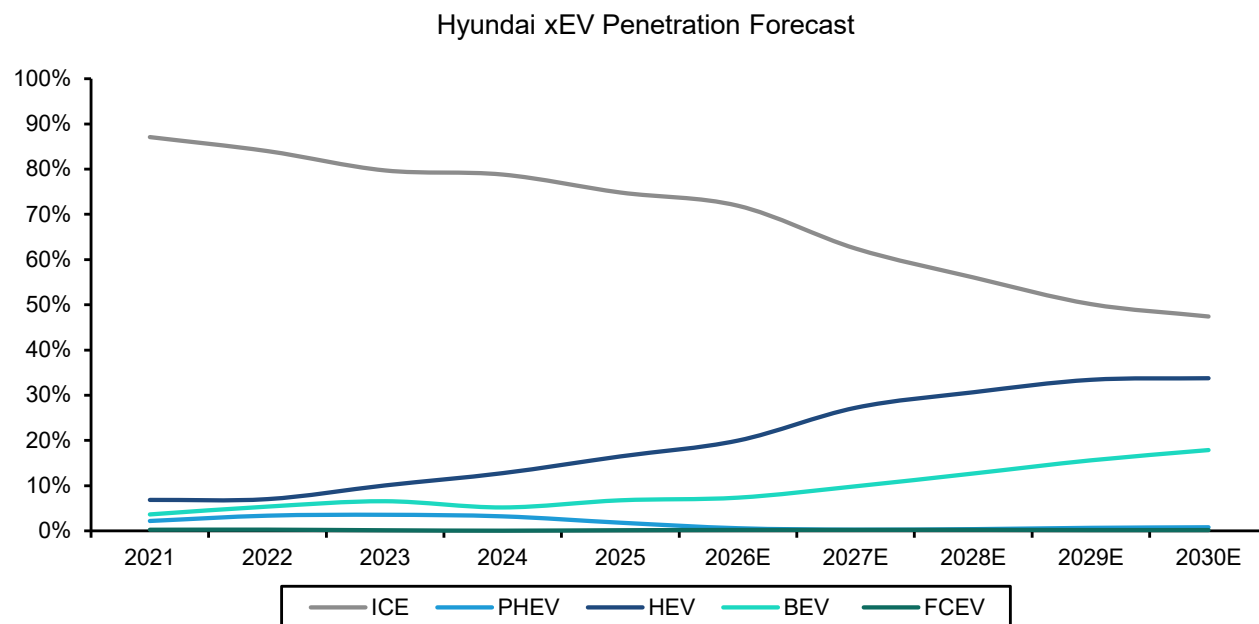
Source: Company reports, IHS, Bernstein analysis

Hyundai and Kia's xEV mix expected to exceed 50% by 2030

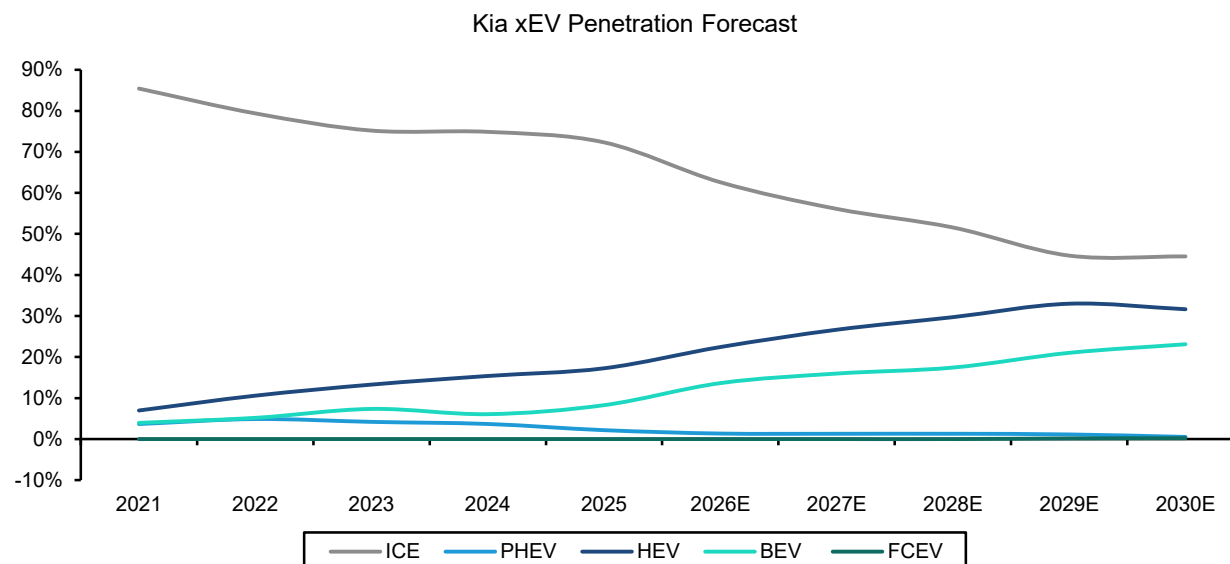
We forecast Hyundai's xEV mix to increase from 23% in 2025 to 55% by 2030, while Kia's xEV mix is expected to expand from 24% to 52% over the same period (Exhibit 64, Exhibit 65). Growth will be driven by both HEVs and BEVs, reflecting the companies' multi-pathway approach to electrification.

HEVs, which currently account for the majority of Hyundai's and Kia's xEV sales, are expected to remain a key growth driver. We project Hyundai's HEV mix to rise from 15% in 2025 to 30% by 2030, while Kia's HEV mix is forecast to increase from 15% to 28%. We believe sustained consumer demand for HEVs, particularly in markets where BEV adoption remains gradual, will continue to support volume growth and profitability.

At the same time, BEV adoption is expected to accelerate meaningfully over the coming years. We forecast Hyundai's BEV mix to increase from 7% in 2025 to 18% by 2030, while Kia's BEV mix is expected to rise from 8% to 18%. As charging infrastructure improves and electrification trends advance globally, both companies should be well positioned to capture growing BEV demand while leveraging their strong HEV franchises as a bridge to full electrification.

EXHIBIT 64: **Hyundai's combined xEV mix to reach 55% by 2030**

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 65: **Kia's combined xEV mix to reach 52% by 2030**

Source: Company reports, Bernstein estimates and analysis

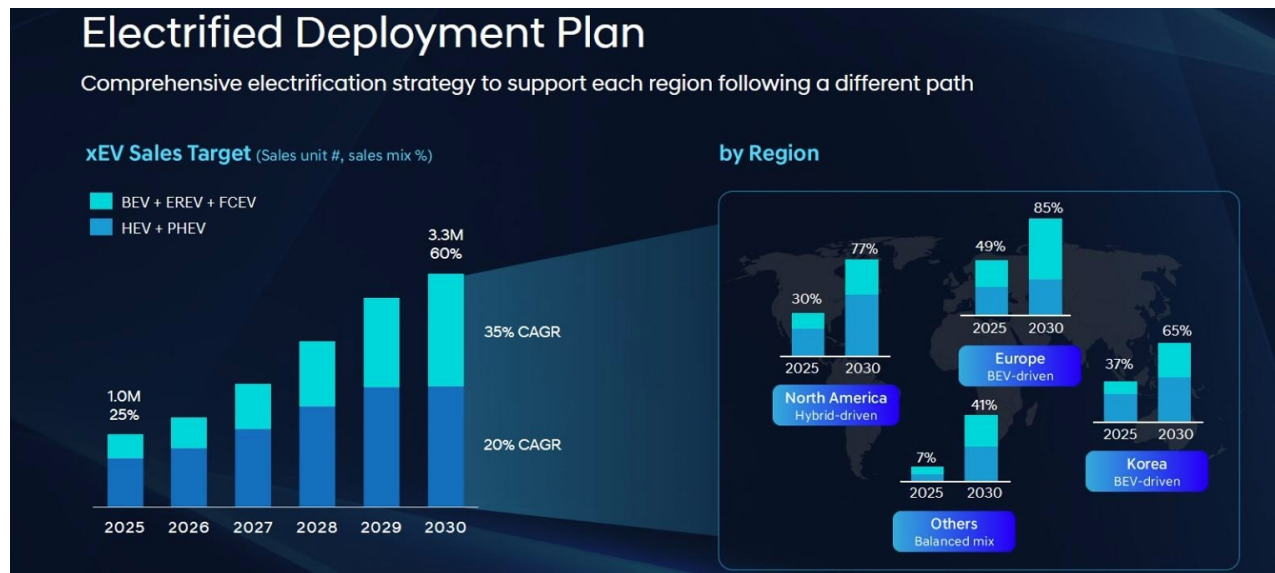
Hyundai's multi-pathway approach positions it well for an uneven xEV transition

Hyundai has built one of the industry's broadest electrified vehicle portfolios, spanning HEVs, PHEVs, BEVs and FCEVs. Unlike many global automakers that are heavily reliant on a narrow electrification pathway, Hyundai is pursuing a multi-pathway strategy that allows it to adapt to differing rates of electrification across regions. Rather than pursuing a uniform global EV strategy, Hyundai is tailoring its electrification roadmap to local market conditions (Exhibit 66). Europe and Korea are expected to remain predominantly BEV-driven, while North America is likely to remain more hybrid-led given consumer preferences and infrastructure realities. Emerging markets such as India are expected to adopt a more balanced mix of electrified technologies.

We believe this flexibility should reduce execution risk associated with an uneven global xEV transition.

Hyundai's electrification strategy extends well beyond battery electric vehicles. The company currently offers a diverse lineup covering hybrids, dedicated EVs and fuel-cell vehicles, enabling it to address varying consumer preferences and regulatory environments across markets. Hyundai's electrified portfolio ranges from entry-level EVs such as the Ioniq and Kona Electric to flagship models including the Ioniq 9 (Exhibit 67) and Nexo FCEV (Exhibit 68). Hybrid offerings span major volume models such as the Tucson (Exhibit 69), Santa Fe and Palisade.

EXHIBIT 66: **Hyundai's electrification strategy is becoming more region-specific**



Source: Company reports

EXHIBIT 67: **Hyundai Ioniq 9**



Source: Company website

EXHIBIT 68: **Hyundai Nexo**



Source: Company website

EXHIBIT 69: **Hyundai Tucson Hybrid**



Source: Company website

Looking ahead, Hyundai plans to further expand its EV portfolio through both global and regional products (Exhibit 70). In addition to the existing Ioniq 5, Ioniq 6 and Ioniq 9, the company plans to launch the Ioniq 3 in Europe in 2026, the India-focused A+ SUV EV in 2027, and a China-specific C-Sedan EV in 2026. This increasingly localized EV strategy should improve Hyundai's competitiveness in key regional markets while broadening its addressable customer base.

A key strength of Hyundai's electrification strategy is its platform architecture. The company's dedicated E-GMP (Electric-Global Modular Platform) underpins flagship EV models including the Ioniq 5, Ioniq 6 and Ioniq 9, while its K and N platforms support multiple powertrain options including ICE, HEV and EV variants. Approximately 84% of Hyundai vehicles are built on three scalable platform architectures, supporting manufacturing efficiency and cost competitiveness.

Currently, Hyundai utilizes both dedicated BEV platforms and ICE-derived multi-powertrain platforms, with most hybrid models sharing architectures with ICE vehicles. Over the longer term, however, Hyundai is expected to move toward a more integrated platform strategy capable of supporting multiple electrified powertrains, which should further improve economies of scale and development efficiency. Management has previously indicated the transition toward next-generation integrated architectures later this decade.

While EV adoption has moderated in several regions, hybrid demand continues to grow strongly. Hyundai plans to launch more than 18 hybrid models by 2030 and expand hybrid technology into larger SUVs and Genesis models (Exhibit 71). The introduction of Hyundai's next-generation hybrid system should further improve performance, fuel efficiency and profitability. We believe expanding HEV penetration will remain one of the most important contributors to earnings growth over the medium term.

Looking beyond HEVs and BEVs, Hyundai is investing in both EREVs and FCEVs (Exhibit 72). The company plans to introduce its first EREV, the Santa Fe from 1H 2027 (Exhibit 73) while continuing to develop hydrogen-powered passenger and commercial vehicles through its HTWO ecosystem, providing valuable strategic flexibility should the pace of BEV adoption remain uneven across regions.

In parallel, Hyundai is expanding its electrified commercial vehicle business, particularly in North America. The company plans to launch a large electric van as early as 2028 while leveraging its existing commercial vehicle operations, including the Xcient Fuel Cell truck and Hyundai Translead. We believe Hyundai's commercial vehicle electrification strategy is underappreciated and could provide an additional long-term growth opportunity.

EXHIBIT 70: Hyundai plans to further expand its EV portfolio through both global and regional products

Electric Vehicles for Every Market

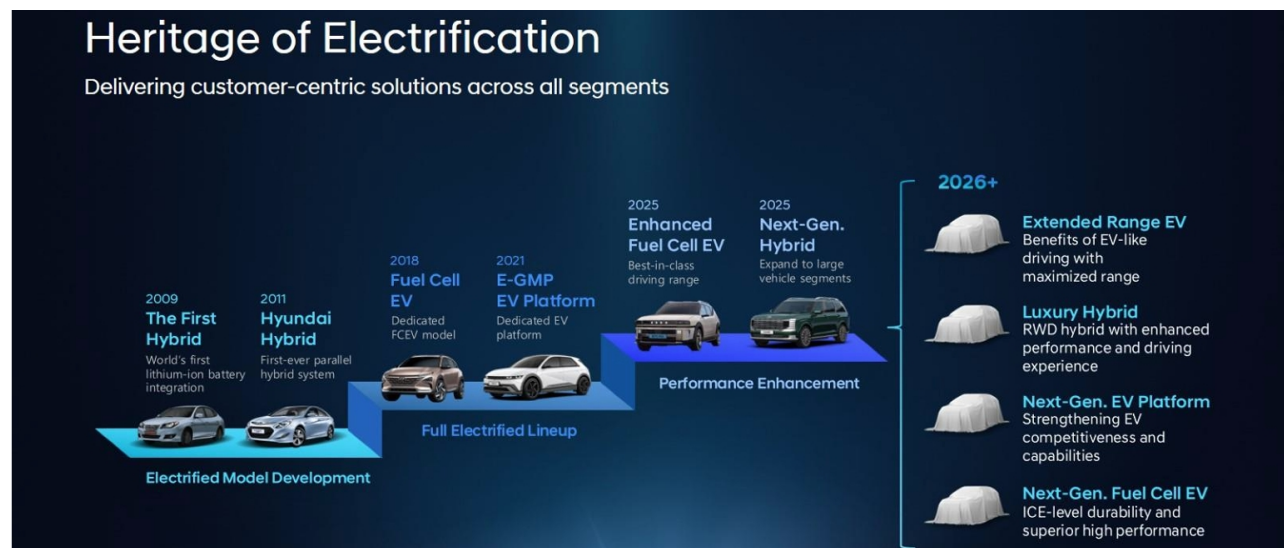
Dedicated EV-only models for global and regional markets

Global Dedicated EVs	Localized Regional EVs		
 IONIQ 5	<b style="color: #00AEEF;">Europe IONIQ 3 (2026)  Concept THREE	<b style="color: #00AEEF;">India A+ SUV (2027) 	<b style="color: #00AEEF;">China Elxio (2025) C-Sedan (2026) 
 IONIQ 6	- Unveiled in Sep 2025 - Mass-market EV with next-generation infotainment system	- First EV with India-centric design and features - Localized supply chain and parts in India	- EV with localized production in China - Elxio > 700km range - C-Sedan 600km range
 IONIQ 9			

Source: Company reports

EXHIBIT 71: **Hyundai plans to launch more than 18 hybrid models by 2030**

Source: Company reports

EXHIBIT 72: **Looking beyond HEVs and BEVs, Hyundai is investing in both EREVs and FCEVs**

Source: Company reports

EXHIBIT 73: Hyundai plans to launch the Santa Fe EREV, its first EREV, in 1H27, with production at its Alabama plant in the US

2026 CEO Investor Day

Global Launch of Extended Range EV from 1H 2027

Global production footprint and coming to Hyundai, Genesis, and IONIQ brands

Santa Fe EREV



600+ Mile Range
New High-Performance battery
(1.6x ICE range)



2 Motor System
EV-like driving experience & acceleration



US Based Production
Built domestically
in Hyundai Motor Manufacturing Alabama



Source: Company reports

Kia leveraging volume BEVs, hybrids and PBVs to drive the next phase of growth

We believe Kia's electrification strategy is becoming differentiated from Hyundai's, despite sharing common EV platforms, batteries and SDV technologies within Hyundai Motor Group. While Hyundai is pursuing a broader mobility strategy spanning BEVs, HEVs, EREVs, fuel-cell vehicles, Genesis and hydrogen, Kia is positioning itself as a mass-market electrification player focused on affordable BEVs, profitable HEV growth, and PBVs (Exhibit 74, Exhibit 75, Exhibit 76).

EXHIBIT 74: **Kia EV3**



Source: Company website

EXHIBIT 75: **Kia Sportage HEV**



Source: Company website

EXHIBIT 76: **Kai PV5**



Source: Company website

A key takeaway is that Kia has already established one of the industry's broadest BEV portfolios and is now shifting from brand building to volume expansion. Following the success of the EV6, EV9, EV3, EV4 and EV5, the company plans to expand its BEV lineup to 14 models by 2030, including passenger cars, SUVs and PBVs (Exhibit 77). The strategic focus is increasingly on affordable volume models such as the EV3 and EV2, which should broaden Kia's addressable market beyond early adopters and support its BEV sales growth in the medium term.

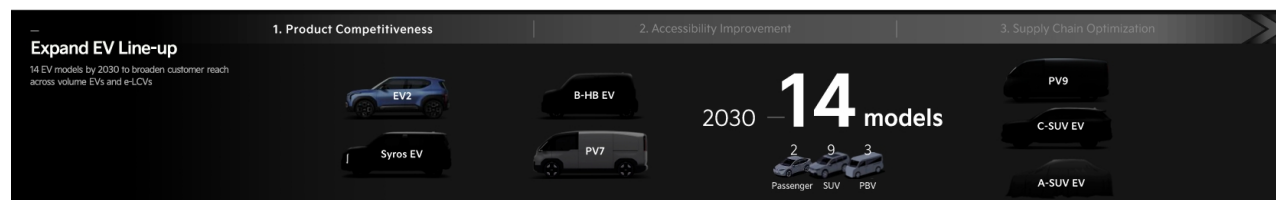
Another important takeaway is that Europe sits at the center of Kia's BEV growth strategy. Kia's BEV sales penetration in Western Europe is expected to reach 66% by 2030. Growth will be driven by the EV2 and EV3 in the B-SUV segment, EV4 and a future B-hatch EV in passenger cars, and the EV5 plus a new C-SUV EV in Europe's largest segment.

At the same time, Kia is not relying solely on BEVs. The company views HEVs as a critical bridge technology during the electrification transition and plans to expand its hybrid lineup to 10 models by 2030 (Exhibit 78). New models such as the Seltos

HEV, K4 HEV and Telluride HEV are designed to capture growing hybrid demand, particularly in North America, where HEVs are expected to represent nearly half of Kia's sales mix by 2030. Importantly, Kia views HEVs as a tool to support earnings, customer retention and future EV migration rather than a retreat from electrification.

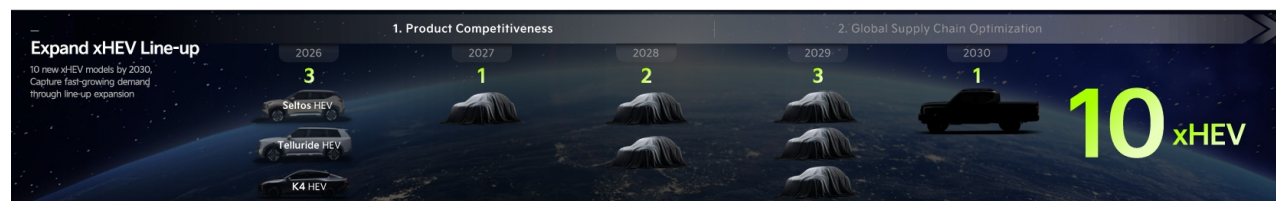
The clearest strategic differentiation versus Hyundai, in our view, is PBV (Platform Beyond Vehicle). Kia's PBV roadmap consists of the PV5, PV7 and PV9, supported by more than 40 body configurations and dedicated software and fleet-management solutions (Exhibit 79). Management targets approximately 232k PBV sales by 2030, positioning Kia as a potential leader in the emerging electric light-commercial vehicle market.

EXHIBIT 77: Kia plans to expand its BEV lineup to 14 models by 2030



Source: Company reports

EXHIBIT 78: Kia plans to expand its hybrid lineup to 10 models by 2030



Source: Company reports

EXHIBIT 79: Kia's PBV roadmap consists of 3 models, the PV5, PV7, and PV9



Source: Company reports

Hyundai Mobis powering Hyundai Motor Group's xEV supply chain

Hyundai Mobis has emerged as a critical enabler of Hyundai Motor Group's electrification strategy through its broad portfolio of xEV components, ranging from electric drive units and battery systems to power electronics and charging solutions. As Hyundai and Kia expand their BEV, HEV and emerging EREV offerings, Hyundai Mobis is increasingly positioned as the backbone of the group's electrified vehicle supply chain. At the same time, the company is leveraging these capabilities to broaden its customer base beyond Hyundai Motor Group, creating an additional long-term growth opportunity.

Hyundai Mobis supplies many of the key building blocks required for electrified vehicles, including PE (Power Electric) systems comprising motors, inverters and reducers, battery system assemblies, battery management systems, integrated charging control units and power conversion systems (Exhibit 80). The company has built one of the most comprehensive electrification portfolios among global auto suppliers, allowing it to participate across multiple xEV architectures rather than relying on a single powertrain technology.

While the company acknowledges the recent slowdown in BEV demand in certain markets, the Hyundai Mobis continues to view electrification as an irreversible long-term trend. Accordingly, Hyundai Mobis is investing to strengthen competitiveness in electric drive units, battery technologies and next-generation electrification systems, while also developing EREV solutions to

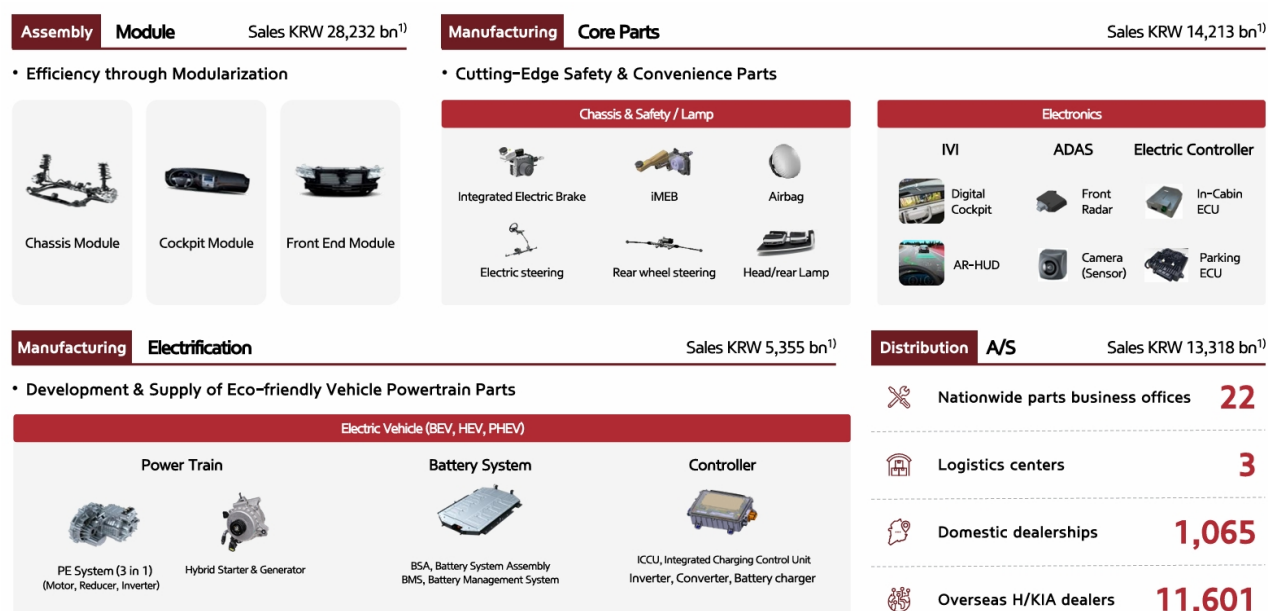
address customer demand for transitional powertrains. In our view, this multi-pathway approach aligns well with Hyundai Motor Group's broader electrification strategy, which increasingly balances BEVs, HEVs and other low-emission technologies.

Beyond powertrain electrification, Hyundai Mobis is integrating electrification with SDV (Software-Defined Vehicle) technologies. The company is developing integrated E/E architectures, vehicle computing platforms and electrification-related software, positioning itself to deliver more complete system solutions as vehicle architectures become increasingly centralized and software-centric. We believe this should enhance its strategic importance within Hyundai Motor Group's future vehicle platform roadmap.

Looking ahead, we believe a key consideration is Hyundai Mobis' ability to monetize its electrification expertise outside Hyundai Motor Group. The company aims to increase the proportion of non-captive business in its core parts segment, leveraging its electrification, electronics and chassis technologies to expand relationships with global OEMs. This suggests Hyundai Mobis is evolving from an affiliate supplier into a more globally competitive technology company.

Moreover, beyond passenger vehicle electrification, Hyundai Mobis is also leveraging its electrification technologies across emerging mobility applications, including PBVs, robotics and UAM (Urban Air Mobility) (Exhibit 81). While these businesses remain at an early stage, they highlight the scalability of the company's electrification platform and could provide additional growth opportunities over the longer term

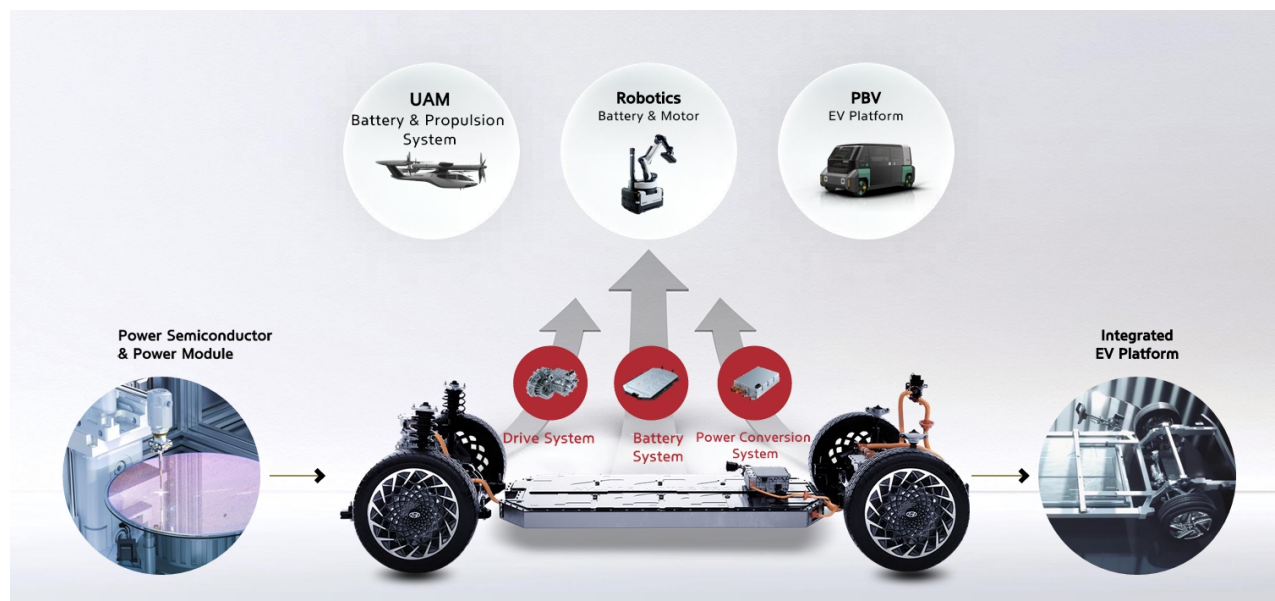
EXHIBIT 80: Hyundai Mobis covers a broad range of electrification systems and components



1) End of 2024

Source: Company reports

EXHIBIT 81: **Hyundai Mobis is also leveraging its electrification technologies across emerging mobility applications**



Source: Company reports

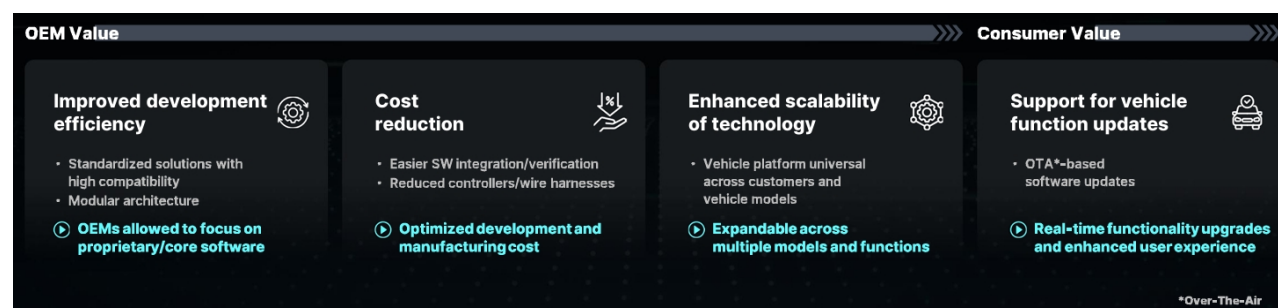
SOFTWARE DEFINED VEHICLES UNLOCK NEW VALUE FOR HYUNDAI MOTOR GROUP

Transforming from a “company that sells cars” into a “continuously evolving mobility platform”

Hyundai Motor Group is repositioning itself from a traditional automaker into a software-defined mobility platform company. Rather than generating value only at the point of vehicle sale, HMG aims to create continuous consumer value through repeated software updates throughout the vehicle lifecycle. This shift reflects both the broader industry transition toward software-defined vehicles (SDVs) and growing consumer demand for personalized, continuously improving products and services.

The transition to a software-defined architecture creates value for both HMG and consumers (Exhibit 82). For HMG, standardized and modular software platforms improve development efficiency, reduce integration complexity, lower controller and wiring-harness requirements, and enable vehicle platforms to be scaled across multiple models and regions. This allows HMG to focus resources on developing proprietary software, user experiences, and mobility services rather than repeatedly rebuilding core architecture. At the same time, consumers benefit from vehicles that continuously evolve after purchase through over-the-air (OTA) updates, enabling new features, performance enhancements, and functionality upgrades without requiring a new vehicle purchase.

EXHIBIT 82: Software Defined Vehicles can enhance Hyundai Motor Group’s value at the vehicle level, while also maximizing value for the consumers



Source: Company reports

CODA & Pleos OS lay the foundation for SDV integration

Hyundai Motor Group views the creation of a standardized SDV platform as a critical enabler for large-scale deployment. By applying a common platform across their vehicle models, HMG can improve development efficiency, reduce costs, and increase scalability across its entire product portfolio. At the core of this strategy are two key technologies: CODA, HMG's unified hardware architecture, and Pleos Vehicle OS, the proprietary software operating system.

CODA streamlines vehicle design by standardizing computing and IO domains through the use of high-performance vehicle computers and zonal controllers, also significantly reducing wiring complexity (Exhibit 83). Compared with HMG's current vehicle architecture, the new SDV platform reduces the number of ECUs, wiring harnesses, and electronic components by an average of 47.4% (Exhibit 84, Exhibit 85, Exhibit 86).

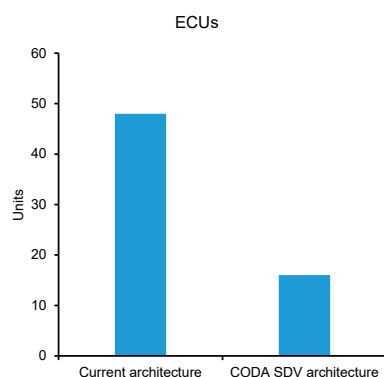
Complementing this hardware foundation, Pleos Vehicle OS serves as the software layer that enables continuous vehicle improvement through software updates (Exhibit 87). By owning the core software stack, HMG gains greater control over future value creation, supports over-the-air (OTA) deployment of new features and safety enhancements, and establishes a common technological foundation across Hyundai, Kia, and its broader mobility ecosystem.

EXHIBIT 83: **CODA unifies the hardware architecture for all Hyundai Motor Group vehicle models, reducing the number of components by 47.4% on average.**



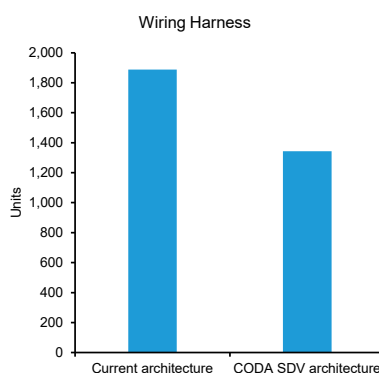
Source: Company reports

EXHIBIT 84: **CODA reduces the number of ECUs by 46.7%...**



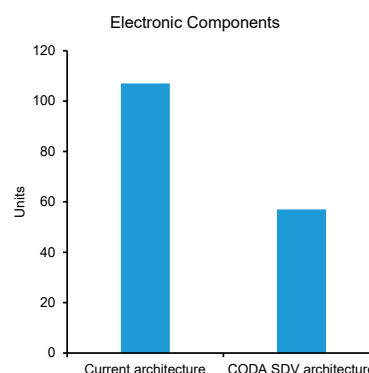
Source: Company reports, Bernstein analysis

EXHIBIT 85: **...reduces the number of wiring harnesses by 66.7%...**



Source: Company reports, Bernstein analysis

EXHIBIT 86: **...and reduces the number of electronic components by 28.8%**



Source: Company reports, Bernstein analysis

EXHIBIT 87: **Pleos OS becomes the foundation for the future growth of the SDV platform for Hyundai Motor Group**



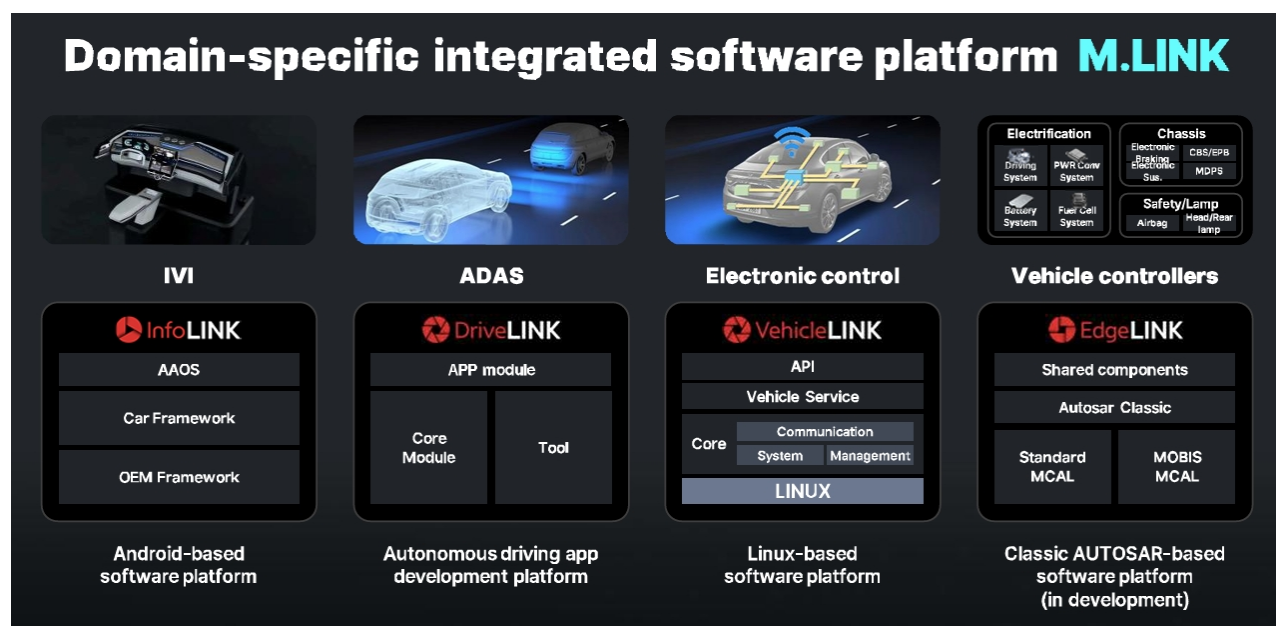
Source: Company reports

Beyond the vehicle architecture deployed within Hyundai and Kia models, Hyundai Mobis is developing several foundational software systems that enable CODA and Pleos OS to operate.

One solution is M.LINK, Hyundai Mobis' domain-specific middleware platform that connects vehicles to cloud infrastructure, enabling OTA updates and seamless software management (Exhibit 88). For example, within M.LINK, EdgeLINK serves as the interface between the software layer and vehicle controllers, such as electronic braking systems, lighting modules, and other hardware components. By translating software commands into executable instructions for physical devices, M.LINK enables software updates to directly influence vehicle functionality, effectively linking digital intelligence with real-world vehicle operations.

Another key technology is IDELINK, an SDV development platform that provides software engineers with an integrated environment for designing, testing, and deploying vehicle software applications. A key feature of the platform is its “Digital Twin” capability, which creates a virtual visualization of each vehicle, allowing engineers to remotely diagnose issues and provide customized support when system errors occur.

EXHIBIT 88: Hyundai Mobis has been creating a product portfolio that will become the foundation for SDV integration



Source: Company reports

Key partnerships set to accelerate the SDV pipeline

Through partnerships with NVIDIA (covered by Stacy Rasgon), 42dot (private), Motional (private), and other ecosystem participants, HMG is building a "Data Union" capable of aggregating and leveraging data across multiple operating entities, further strengthening its long-term autonomous driving capabilities (Exhibit 89).

Central to this “Data Union” is 42dot, Hyundai Motor's software and AI subsidiary, which is developing several of the core technologies that power this flywheel. These include Altria AI, an end-to-end autonomous driving model trained on large-scale driving datasets; Gleo AI, an agentic in-vehicle assistant designed to enhance the user experience; and Capora AI, a fleet management platform that helps collect, manage, and optimize vehicle operations at scale. By combining these software platforms with data gathered from HMG's growing vehicle fleet, 42dot enables continuous model improvement and deployment, reinforcing the group's data-driven competitive moat. 42dot also collaborates with Samsung on AI semiconductors, supporting the development and optimization of next-generation AI systems.

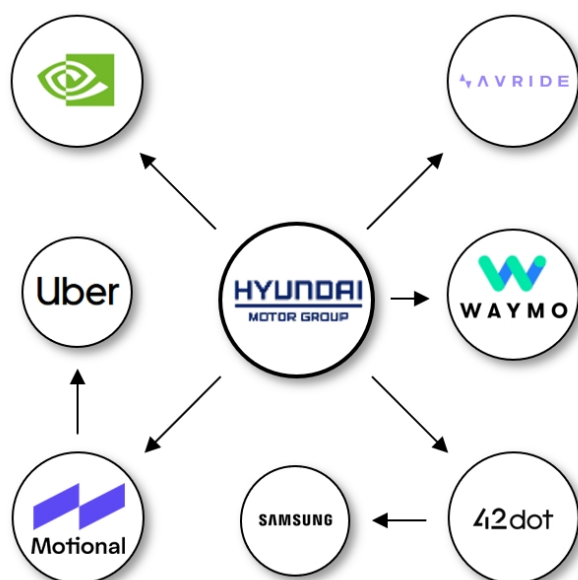
Further strengthening HMG's autonomous driving ecosystem is Motional, the group's autonomous driving joint venture, which serves as an important development and validation platform for next-generation self-driving technologies. Motional has also partnered with Uber (covered by Nikhil Devnani), with plans to deploy their autonomous driving robotaxis on the Uber app in late 2026. Through real-world testing, simulation, and autonomous fleet operations, Motional generates valuable driving data, operational know-how, and AI training insights that can be fed back into HMG's broader software and autonomous driving initiatives. At the same time, HMG benefits from partnerships with external autonomous driving companies such as Avride

and Waymo. For example, Avride deploys Hyundai's Ioniq 5, but integrates its own self-driving technology stack (Exhibit 91). Together, Motional and Avride provide HMG with exposure to both internal technology development and external ecosystem adoption.

We believe that Hyundai Motor will benefit greatly, as they have the greatest direct exposure to the group's SDV investments and technology development efforts, with 54.9% ownership of 42dot, while Kia also benefits from the integration of these technologies into its vehicle lineup, but with less ownership exposure at only 37.3% ownership.

We also see Hyundai Mobis enhancing the group's SDV exposure the furthest, through its own software, electronics, and autonomous driving partnerships, providing additional exposure to the broader software-defined vehicle ecosystem (Exhibit 90). Notably, Hyundai Mobis signed a comprehensive collaboration agreement with Qualcomm Technologies at CES 2026 to jointly develop next-generation SDV and ADAS solutions based on Qualcomm's Snapdragon Ride Flex platform. Collectively, these assets position HMG not merely as an adopter of SDV technologies, but as an integrated innovator in the industry's transition toward software-centric mobility.

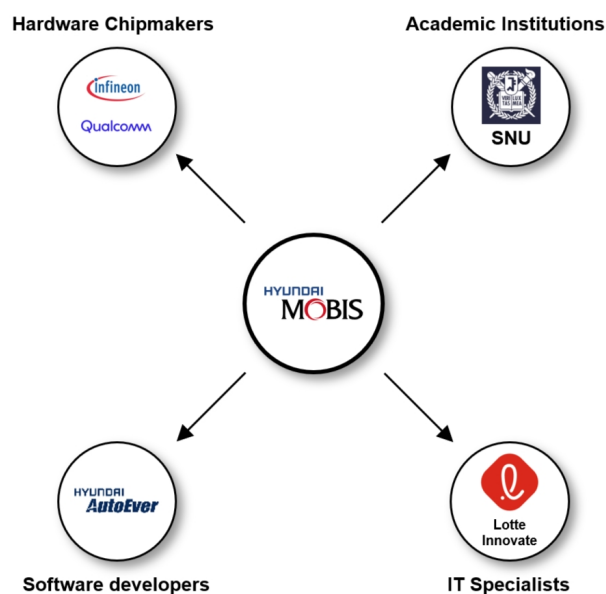
EXHIBIT 89: Hyundai Motor Group has established partnerships with highly specialized companies to accelerate development



Note: NVIDIA covered by Stacy Ragson, Samsung Electric covered by Mark Li, Uber covered by Nikhil Devnani; Waymo Avride, Motional and 42dot are private companies

Source: Company reports, Bernstein analysis

EXHIBIT 90: Hyundai Mobis has partnered with ~30 institutions across four main competencies in SDV development



Note: Hyundai Mobis covered by Masahiro Akita, Infineon covered by David Dai, Qualcomm covered by Stacy Ragson, rest not covered.

Source: Company reports, Bernstein analysis

EXHIBIT 91: **Hyundai and Avride co-developing autonomous driving technology**



Note: Avride is a private company
Source: Bernstein photo

Commercialization roadmap for SDVs from 2027 through the 2030s

HMG’s SDV and autonomous-driving strategy follows a phased roadmap designed to balance near-term commercialization with long-term technological leadership (Exhibit 92). Key milestones include the deployment of a highway NOA system in 2027, followed by an urban NOA system in 2028. Kia plans to introduce its SDV Pace Car in 2027, launch its first mass-produced SDV in 2028, and commercialize urban NOA capabilities in 2029. Looking further ahead, HMG is targeting Level 4 robotaxi commercialization in the 2030s, supported by the gradual integration of CODA, Pleos OS, proprietary AI technologies, and continuously expanding driving-data networks.

EXHIBIT 92: **Hyundai Motor Group’s SDV pipeline attempts near term commercialization, with further developments possible down the line**



Source: Company reports

LET'S GET PHYSICAL (AI), BOSTON DYNAMICS & HYUNDAI MOTOR GROUP'S PHYSICAL AI ECOSYSTEM

Boston Dynamics, the crowning jewel of Hyundai Motor Group

One of the most important pillars of Hyundai Motor Group's long-term robotics strategy is Boston Dynamics, widely regarded as one of the world's leading robotics companies. Founded more than 30 years ago, Boston Dynamics has built a reputation for developing some of the most advanced mobile robots ever created, supported by decades of expertise in artificial intelligence, perception systems, locomotion, controls engineering, and autonomous navigation (Exhibit 93, Exhibit 94). The company's technology leadership has enabled it to push the boundaries of what robots can achieve in real-world environments, positioning it at the forefront of the next generation of automation.

Boston Dynamics' current product portfolio spans multiple robotic forms and end markets. Its products include Spot, a quadruped robot designed for industrial inspection, asset monitoring, and hazardous-environment operations (Exhibit 95); Stretch, a warehouse automation solution focused on box handling and logistics applications (Exhibit 96); and Atlas, which the company describes as the world's most dynamic humanoid robot (Exhibit 97). With advanced mobility, dexterity, and AI-driven capabilities, Atlas is designed to perform a wide range of tasks in complex environments that have historically required human labor (Exhibit 98).

A key partnership that displays Atlas' industry leadership potential is Boston Dynamics' partnership with Google DeepMind, one of the world's leading AI research organizations (Exhibit 99). In recent years, Google DeepMind has made significant advances in robotics foundation models, designed to enable robots to perceive their surroundings, reason through complex tasks, use tools, and interact naturally with people. By combining Boston Dynamics' robotics hardware and mobility expertise with Google DeepMind's reasoning AI capabilities, Atlas is increasingly positioned to evolve into a general-purpose humanoid capable of operating across a wide range of real-world applications.

Most importantly, Boston Dynamics provides HMG with exposure to one of the largest emerging technology opportunities over the coming decades. As labor shortages, aging populations, and rising automation demand drive adoption of intelligent machines, humanoid robots are increasingly being considered a potentially transformative market. Through its ownership stake, we believe HMG gains access to a strategic asset that could become an increasingly important contributor to HMG's valuation.

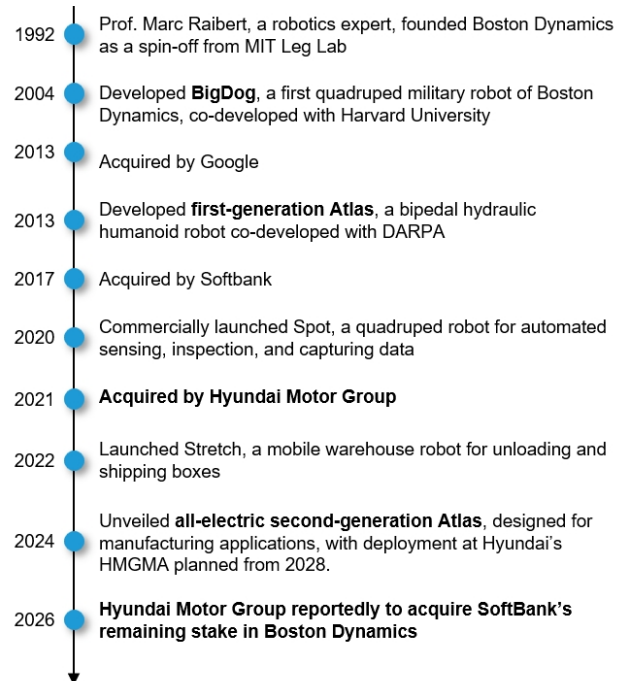
Beyond its standalone value, Boston Dynamics also serves as the cornerstone of HMG's broader Physical AI ecosystem (Exhibit 100). Boston Dynamics occupies the "Robot Intelligence & Product" layer of the ecosystem, providing the robotics platforms, software capabilities, and AI-enabled products that form the foundation of HMG's long-term automation strategy. We believe this ecosystem approach represents a key competitive advantage for HMG relative to many pure-play robotics companies. While Boston Dynamics develops the robots themselves, the rest of the group provides the industrial ecosystem required to bring advanced robotics solutions to market at scale. As humanoid robots progress from trial deployments toward commercial adoption, we believe these group-wide synergies could accelerate commercialization and strengthen HMG's position as a leading player in physical AI.

EXHIBIT 93: **Boston Dynamics is currently headed by Amanda McMaster, with 100% equity ownership by Hyundai Motor Group and affiliates (post-SoftBank stake acquisition)**

Official name	Boston Dynamics, Inc.
HQs	Waltham, MA, US
Founded	1992
Founder	Professor Marc Raibert (currently Chairman)
CEO	Amanda McMaster (Interim)
Shareholders	HMG Global (62.6%), Eui-sun Chung (24.9%), Hyundai Glovis (12.5%)
Business	Development and manufacturing of advanced mobile and humanoid robots with high mobility, dexterity, and intelligence

Note: Shareholder % is post-SoftBank stake acquisition
Source: Company website, Bernstein analysis

EXHIBIT 94: **Boston Dynamics has a long history leading and developing the robotics space, unveiling their flagship humanoid product Atlas in 2024**



Note: Alphabet Inc. covered by Mark Shmulik, SoftBank Group covered by David Dai

Source: Company website, Bernstein analysis

EXHIBIT 95: **Spot, the four-legged inspection robot, successfully commercialized**



Source: Company website

EXHIBIT 96: **Stretch, the warehouse robot, making logistics processes efficient**

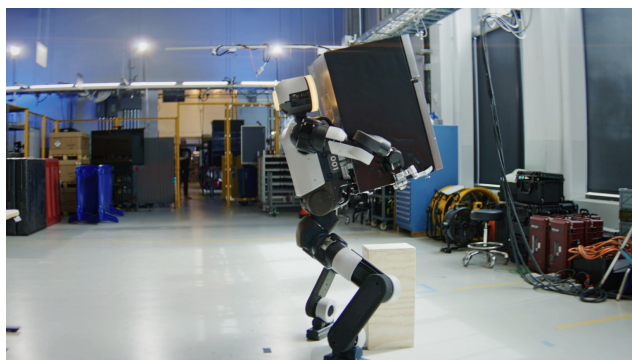


Source: Company website

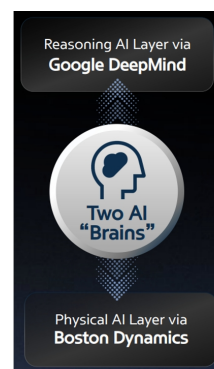
EXHIBIT 97: **Atlas, the humanoid robot, full commercialization in the pipeline**



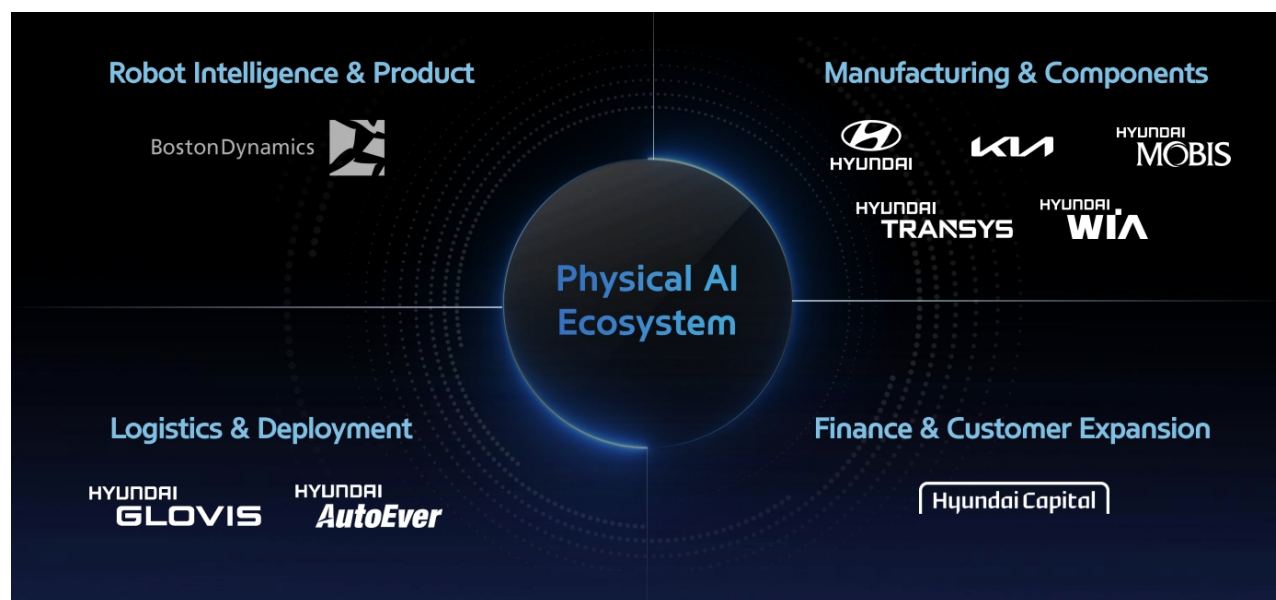
Source: Company website

EXHIBIT 98: Atlas performing tasks previously thought to require human labor

Source: Company reports

EXHIBIT 99: Boston Dynamics' partnership with Google DeepMind merges leadership in both physical and reasoning AI

Source: Company reports

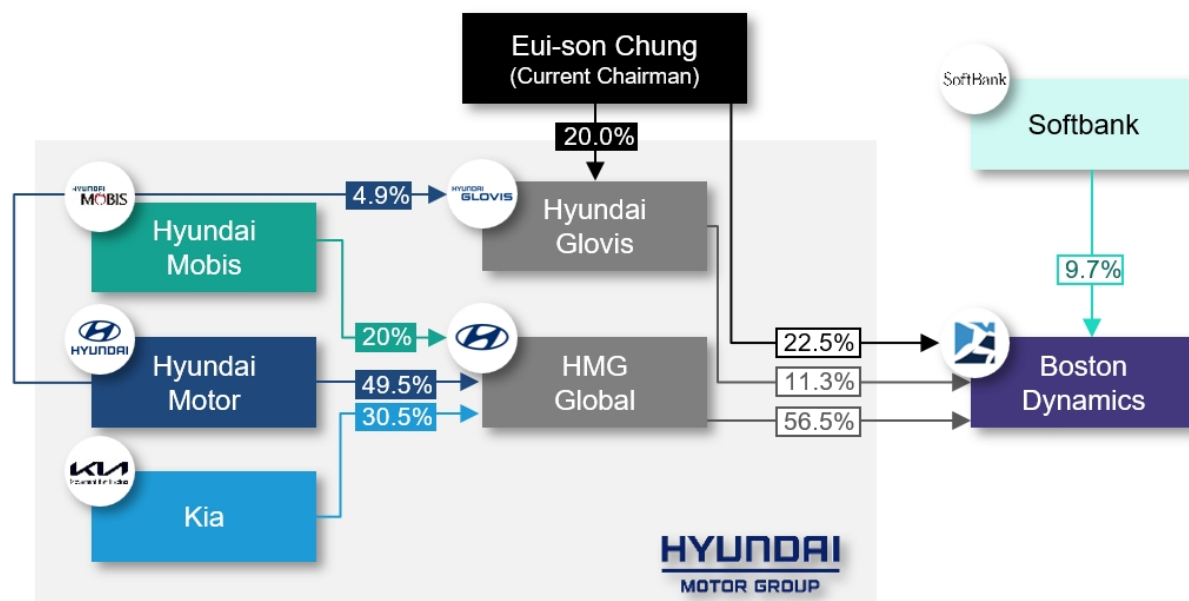
EXHIBIT 100: Boston Dynamics' position in Hyundai Motor Group's physical AI ecosystem becomes the most important connector between the upstream and downstream group companies

Note: All the companies except for Hyundai Motor, Kia and Hyundai Mobis not covered

Source: Company reports

HMG and affiliates to own 100% of Boston Dynamics

After acquiring an initial 80% controlling stake in 2021 from Softbank Group (covered by David Dai), HMG has expanded its ownership, with SoftBank currently owning 9.7%, while HMG Global owns 56.6%, Hyundai Glovis owns 11.3%, and current chairman of Hyundai, Eui-sun Chung owns 22.5% (Exhibit 101). On June 2026, HMG proposed to buy out SoftBank's 9.7% stake to own Boston Dynamics in its entirety through HMG and related entities. Following this acquisition, approximately 77.5% of Boston Dynamics will be owned by HMG Global and Hyundai Glovis, with the remaining 22.5% owned by Hyundai chair Eui-sun Chung (Exhibit 102, Exhibit 103). For HMG Global, which directly holds Boston Dynamics, the investment is accounted for as an investment in joint ventures and associates in the consolidated financial statements of Hyundai Motor, Kia, and Hyundai Mobis. However, given Boston Dynamics' strategic importance within the group, we incorporate the value of each company's economic (indirect) ownership stake in Boston Dynamics into our valuation, adding it to our valuation of the core automotive business.

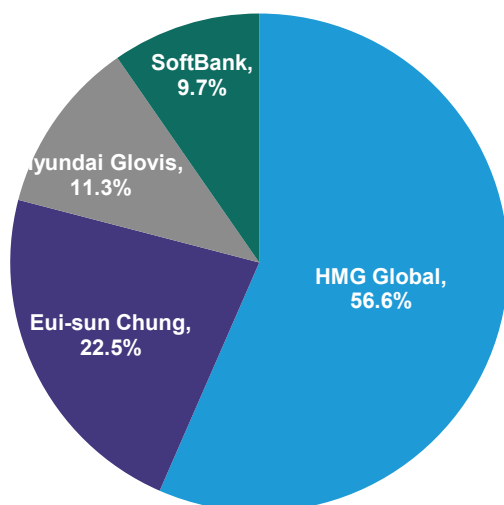
EXHIBIT 101: Hyundai Motor Group plans to buy the 9.7% SoftBank stake to take 100% ownership of Boston Dynamics


Note: Hyundai Motor, Kia, Hyundai Mobis covered by Masahiro Akita, SoftBank Group covered by David Dai, Hyundai Glovis not covered; HMG Global is a private company

Source: Bloomberg, Company reports, Bernstein analysis

EXHIBIT 102: HMG and affiliates equity ownership at combined 90.3% (pre-Softbank stake acquisition)

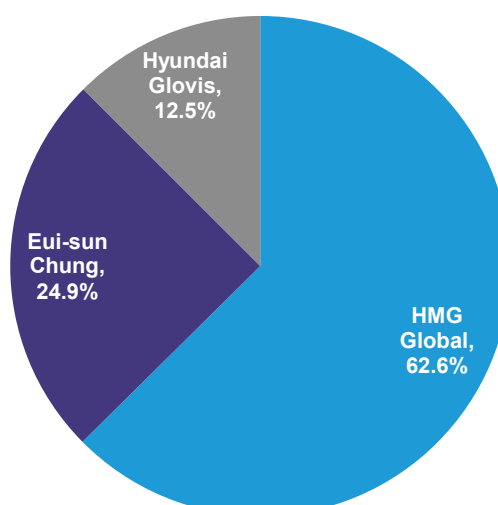
Boston Dynamics Ownership Before



Note: SoftBank Group covered by David Dai, Hyundai Glovis not covered
Source: Bloomberg, Bernstein analysis

EXHIBIT 103: HMG at 75.1% and Eui-sun Chung at 24.9% ownership post-SoftBank stake acquisition

Boston Dynamics Ownership After



Source: Company reports, Bernstein analysis

A golden opportunity, humanoid robotics market to 23x from 2028 to 2035, dwarfing autos market growth

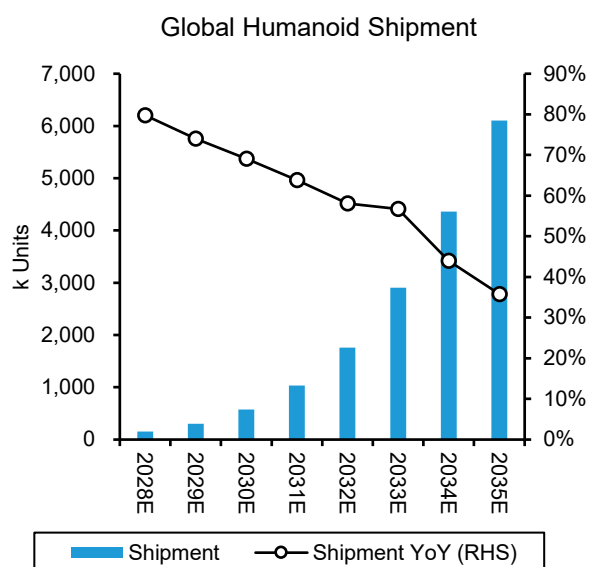
As highlighted in our [Asia Emerging Robotics Initiation Report](#) by Dien Wang, the humanoid robotics market is currently advancing towards new application possibilities. Early commercialization has centered around mobility as an enabler, in fields such as research and entertainment.

However, meaningful progress is now being made toward task-oriented use cases, such as pick-and-place operations and material handling, which will replace human labor in repetitive and labor-intensive workflows. To evidence this, while still confined to controlled environments, many robotics developers have been partnering with large corporations, conducting pilot deployments in manufacturing facilities, warehouses and other logistics operations. Although fully general purpose humanoid robots still require further advances in reasoning, adaptability and autonomous decision-making, we expect near term industry growth to be driven by the scaling of already proven use cases. Therefore, we project humanoid robotics global shipments to increase from approximately 152,000 units in 2028 to 6.1 million units by 2035 (Exhibit 104). The total market size is projected to grow from just USD 4.3 million in 2028 to USD 101.3 billion by 2035 primarily driven by the volume expansion (Exhibit 105).

Moreover, relative to the automotive industry, the humanoid robotics market represents an adjacent high-growth opportunity. While the global auto market is expected to grow at just 1-3% annually from 2028 through to 2035, the humanoid robot market is projected to expand at a 56.8% CAGR during the same period. Additionally, humanoid robots command attractive economics, with ASP of approximately USD 38,000 per unit, exceeding the roughly USD 31,000 average selling price of passenger vehicles.

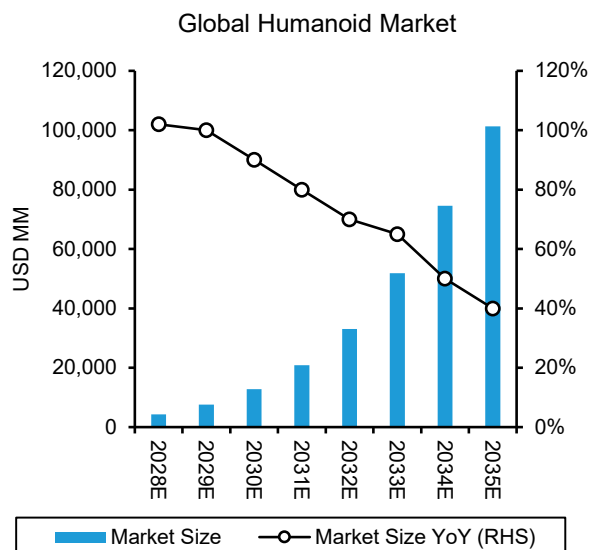
The opportunity is particularly relevant for automakers and suppliers given the significant overlap in core technologies. Many of the critical components required for humanoids, including sensors (e.g., LiDAR and computer vision systems), actuators (motors, gears, and reducers), and battery systems, are directly derived from existing automotive capabilities developed for ADAS, electric powertrains, and EV battery platforms (Exhibit 106). As a result, automakers are uniquely positioned to leverage existing manufacturing expertise, supplier networks, and economies of scale to participate in humanoid robotics, and evolve beyond the mature automotive market.

EXHIBIT 104: Global humanoid robot shipment value expected to grow by CAGR of 69.6% till 2035

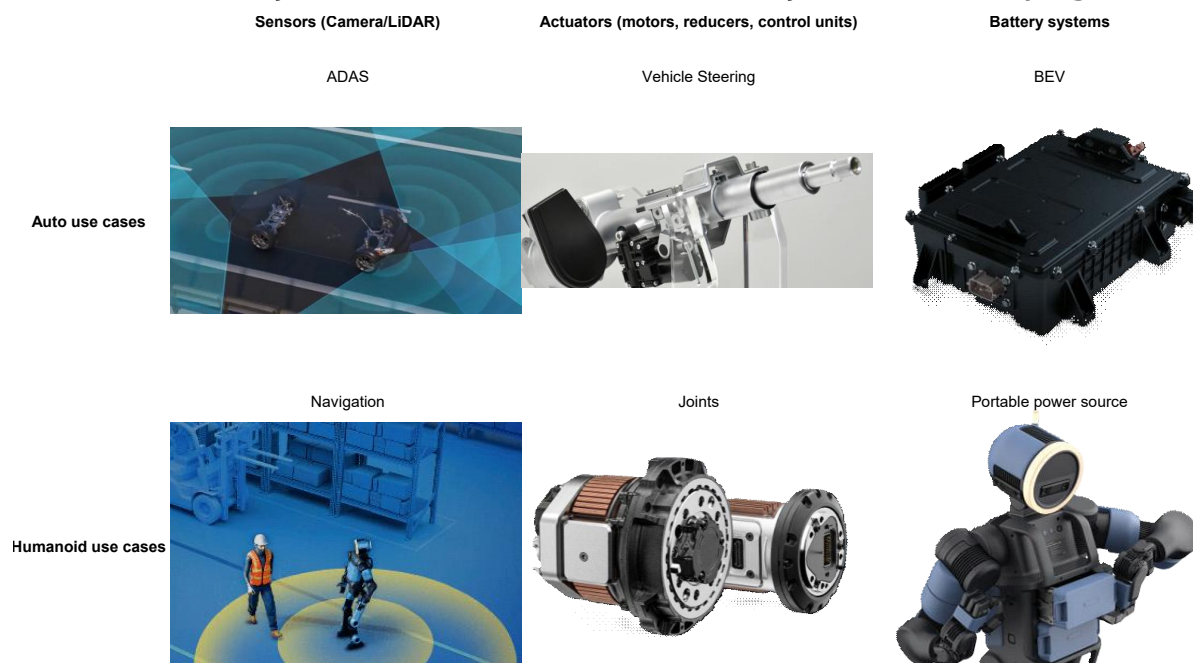


Source: Bernstein estimates and analysis

EXHIBIT 105: Humanoid robot total market size expected to grow by CAGR of 56.8% till 2035



Source: Bernstein estimates and analysis

EXHIBIT 106: **Shared components across robots and automobiles show parts manufacturer synergies**

Source: Company websites, Bernstein analysis

HMG and Boston Dynamics alliance have strong differentiation, blazing a path to commercialization

Across the industry, automakers are pursuing different strategies to capitalize on this opportunity. While some, such as Tesla (not covered) and XPeng (covered by Eunice Lee), are developing humanoids in-house, others are partnering with specialist robotics companies to accelerate commercialization. Among global automakers, Hyundai Motor Group occupies a unique position through its ownership of Boston Dynamics, giving it direct access to one of the industry's most advanced humanoid robotics platforms while leveraging its own manufacturing footprint as a large-scale testing and deployment environment.

The competitive landscape highlights the wide range of approaches being taken to commercialize humanoid robotics (Exhibit 107). Tesla and XPeng represent the most vertically integrated strategies, developing Optimus and IRON internally, while other automakers have opted to collaborate with dedicated robotics firms. Most of these partnerships remain at the trial or early factory deployment stage, reflecting the industry's broader challenge of moving from technical demonstrations to scalable commercial adoption.

Against this backdrop, HMG stands apart due to its virtually complete ownership of Boston Dynamics, as HMG is positioned to build several of the key moats that are likely to determine long-term winners in humanoid robotics. First, deployment across Hyundai Motor, Kia, and affiliated manufacturing facilities provides access to valuable real-world operational data, which is critical for improving reliability and accelerating software development. Second, among humanoids with disclosed specifications, Atlas offers the highest payload capacity at 30kg and the second-highest dexterity at 56 degrees of freedom (i.e., number of joints), supporting a broader range of complex manipulation and material-handling tasks (Exhibit 107). Third, HMG's broad manufacturing ecosystem creates an internal network that could provide a pathway toward cost leadership as production volumes increase (Exhibit 108). Fourth, Boston Dynamics' U.S.-based operating structure may provide a meaningful geopolitical advantage. As illustrated in our [Humanoid Robotics: U.S.-China Decoupling](#) report by Dien Wang, in July 2026, U.S. regulators moved to limit market access for new foreign robotics imports. Therefore, we believe Boston Dynamics is positioned to avoid many of the barriers faced by Chinese competitors while retaining access to the U.S. market, where high labor costs create one of the strongest economic cases globally for humanoid robot adoption. Finally, HMG's ownership structure may also prove advantageous relative to a fully in-house model. Maintaining a degree of separation from HMG may make Atlas more attractive to external customers, as Boston Dynamics is less likely to be perceived as an automotive-only solution or as a technology platform optimized solely for Hyundai's internal requirements. As a result, HMG benefits from the strategic advantages of ownership, creating a potentially more scalable path to monetizing the growth of humanoid robotics.

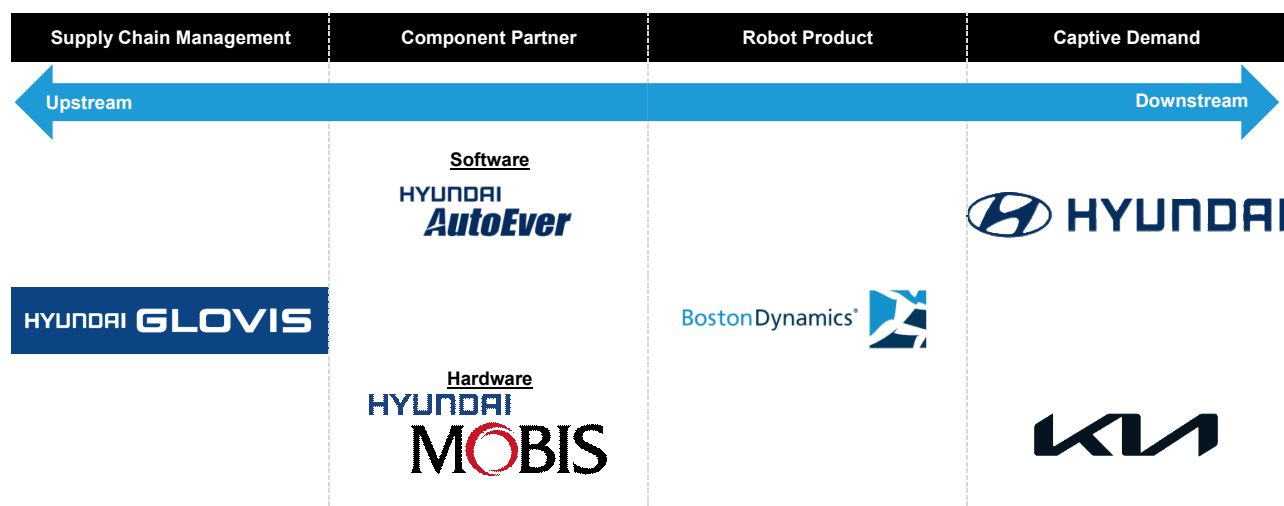
EXHIBIT 107: Intense competition across OEMs in humanoid robotics market

Company	Boston Dynamics	Agility Robotics	Highlanders	Figure AI	Hexagon Robotics	Aptronik	Wandercraft	XPeng	UBTECH	Unitree	Tesla	Humanoid
Humanoid	Atlas	Digit	HL Human	Figure 03	AEON	Apollo	Calvin-40	IRON	Walker S2	H2	Optimus Gen-3	Alpha Bipedal
Image												
Degrees of Freedom	56	-	-	-	34	-	-	62	52	31	-	29
Payload* (kg)	30	16	-	-	8	-	-	-	15	7	-	15
Height (cm)	190	-	-	-	165	-	-	-	176	182	-	179
Weight (kg)	90	-	-	-	60	-	-	-	70	70	-	90
Walking Speed (km/h)	-	-	-	-	8.6	-	-	-	7.2	-	-	7.2
Operating Hours per Charge (h)	4	4	-	-	-	-	-	-	-	3	-	4
Automatic Battery Replacement	Yes	-	-	-	Yes	-	-	-	Yes	-	-	-
Automotive Partner	Hyundai Motor Group	Toyota	Mitsubishi Motors	BMW	BMW	Mercedes-Benz	Renault	XPeng	Geely BYD Foxconn NIO Dongfeng FAW-Volkswagen	Great Wall	Tesla	Ford
Degree of Deployment	-	Trial	-	Factory Deployment	Trial	Trial	-	-	Factory Deployment	-	-	Trial
Degree of Integration	100% owned by HMG & affiliates	Commercial Agreement	Memorandum of Understanding	-	-	Equity ownership by Mercedes-Benz	Equity ownership by Renault Group	In-house	-	Strategic Cooperation	In-house	-

Note: * Sustained carrying weight; Hyundai Motor and Toyota covered by Masahiro Akita; BMW, Mercedes-Benz and Renault covered by Stephen Reitman; Geely, BYD NIO and Great Wall Motor covered by Eunice Lee, rest not covered

Source: Company websites, Bernstein analysis

EXHIBIT 108: Boston Dynamics is able to take advantage of group company capabilities, while retaining independence from complicated shareholding structures



Note: Hyundai Glovis and Hyundai Autoever not covered

Source: Company websites, Bernstein analysis

Atlas integration to begin next year, HMG targeting 25,000 units deployed, Hyundai Mobis the upstream winner

Following HMG's proposed acquisition of SoftBank Group's remaining stake in Boston Dynamics and its commitment to purchase and deploy 25,000 robots, the group has established a clear pathway from development to large-scale factory implementation.

Current plans indicate trials for Atlas being deployed for parts sequencing at Hyundai Motor Group Metaplant America (HMGMA) beginning in 2027, followed by broader deployment across manufacturing operations, including component assembly and Kia's Georgia AutoLand facility, with potential implementation of approximately 25,000 Atlas units across Hyundai and Kia factories over time. Boston Dynamics targets production capacity of roughly 30,000 Atlas units annually by 2028 (Exhibit 109).

Upstream, HMG combines Boston Dynamics' robotics capabilities with Hyundai Mobis. In January 2026, Hyundai Mobis entered a strategic partnership to supply actuators for Atlas, a critical component that accounts for a 60% share of humanoid material costs, creating deeper vertical integration across the humanoid value chain. Mobis currently supplies 31 actuators per Atlas unit and has established plans for a dedicated actuator production facility to support future volume growth, anticipating 350,000 units of actuator production beginning in 2028. Given the high actuator cost per Atlas unit, Mobis is positioned as a key upstream beneficiary of humanoid adoption. Combined with its strong automotive business and demonstrated ability to expand into adjacent technologies, Mobis offers a lower-risk avenue to participate in the long-term growth of robotics.

We believe Hyundai Motor and Hyundai Mobis appear best positioned to capture value from Boston Dynamics' growth within HMG. Assuming the distribution of the SoftBank stake is prorated across the other current shareholders, as the largest shareholder of HMG Global, Hyundai Motor will have the greatest direct ownership exposure to the Atlas platform, and thus benefit the most from any valuation appreciation for Boston Dynamics (Exhibit 110). This position also places Hyundai Motor at the center of Atlas commercialization efforts, evidenced by Atlas pilot program deployment at the Hyundai Motor Group Metaplant America (HMGMA).

We also view Hyundai Mobis as a compelling way to gain exposure to the growth of physical AI and robotics. Beyond its indirect 12.5% ownership of Boston Dynamics, Hyundai Mobis is the sole supplier for actuators used in every Atlas unit, making it one of the most important hardware contributors. Hyundai Mobis also has the opportunity to occupy a critical position within the global humanoid robot supply chain, with applications past Boston Dynamics spanning other robotics platforms. As robotics production scales, Hyundai Mobis is therefore positioned to benefit not only through its ownership exposure but also through increasing component per robot revenue.

In contrast, while Kia indirectly owns 19.1% of Boston Dynamics and would benefit from any appreciation in the value of the business, it lacks the same degree of commercialization leadership and robotics-related revenue opportunities as Hyundai Motor and Hyundai Mobis. As a result, we see Kia's ability to capture value from Boston Dynamics' growth as relatively limited and largely tied to its ownership exposure.

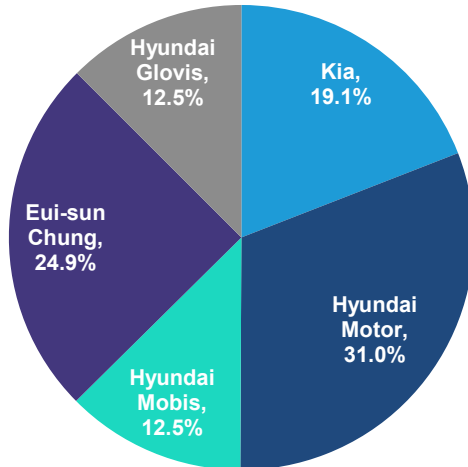
EXHIBIT 109: Hyundai Motor Group plans to begin Atlas integration in parts sequencing by 2028, reaching 25,000 units of internal deployment from 2030 and beyond

2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Acquire Softbank stake									
	Begin trialling Atlas implementation for parts sequencing @ HMGMA								
		Full scale Atlas implementation for parts sequencing @HMGMA							>>>>>
		Reach 30,000 units of production capacity for Atlas							
			Begin Atlas implementation @ KIA Autoland Georgia, H2 2029						>>>>>
				Begin Atlas implementation in component assembly					>>>>>
				Implement 25,000 Atlas units across Hyundai and Kia					>>>>>

Source: Company reports, Bernstein analysis

EXHIBIT 110: Hyundai Motor has the greatest Boston Dynamics exposure post-SoftBank stake acquisition at 31.0%

Boston Dynamics Ownership breakdown post SoftBank acquisition



Source: Company reports, Bernstein analysis

Boston Dynamics revenue to increase by CAGR of 45.9% from 2028 to 2035

Under our base case, Atlas shipments are expected to reach 179,000 units in 2035, and Boston Dynamics' revenue is projected to increase from approximately USD 477mn in 2028 to USD 14.9bn by 2035, representing a CAGR of 45.9%, driven by strong commercialization and scaling of Atlas (Exhibit 112, Exhibit 114). We assume initial adoption across Hyundai Motor, Kia, and Hyundai Mobis manufacturing facilities, with pilot programs beginning in 2027 and broader deployment from 2028 onward. However, we do not assume meaningful deployment within Korea, to reflect the strong labor unions and challenges associated with large-scale workforce substitution. For non-captive demand, we expect early adoption to be anchored around GM's US manufacturing facilities, given the companies' strategic partnership and GM's exposure to comparatively high labor costs. Revenue growth is expected to accelerate sharply between in 2030 as Atlas transitions from pilot projects to scaled deployment across HMG facilities, before moderating as the business matures. Beyond 2030, we assume adoption expands progressively to other global automakers and industrial applications as humanoid robotics become increasingly accepted within manufacturing environments. Under these assumptions, our forecasts suggest Boston Dynamics can establish a significant position in the global humanoid robotics market, with market share peaking at approximately 32.9% in 2030 before normalizing to a 14-18% range by 2033-35 as new competitors enter the market and industry adoption broadens.

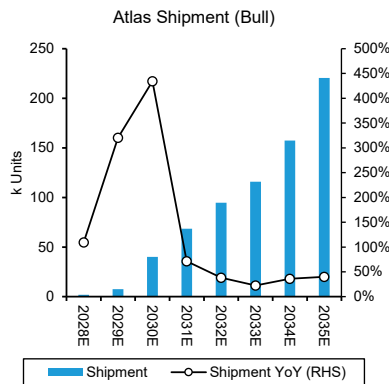
In our bull case, Atlas shipments reach 220,500 units, and Boston Dynamics' revenue reaches approximately USD 22.3bn by 2035, reflecting a more aggressive commercialization trajectory for Atlas (Exhibit 111, Exhibit 115). While captive demand assumptions remain unchanged from the base case, with deployments across Hyundai Motor, Kia, and Hyundai Mobis facilities providing a stable foundation for growth, the primary upside driver is broader non-captive adoption. Specifically, we assume Atlas expands beyond GM and secures deployments with additional automakers that maintain significant US manufacturing footprints but have yet to announce meaningful humanoid robotics partnerships or in-house development programs. Given rising labor costs, persistent workforce shortages, and growing pressure to improve productivity, we believe these manufacturers represent a sizable addressable market for humanoid automation. As a result, Atlas achieves faster market penetration and sustains strong market share above 20% throughout the forecast period, allowing faster adoption of Atlas across the global manufacturing sector.

In our bear case, Atlas shipments are expected to increase to 67,400 units, and Boston Dynamics' revenue is projected to increase to USD 5.7bn by 2035, implying a more gradual commercialization trajectory for Atlas (Exhibit 113, Exhibit 116). While we continue to view Hyundai Motor Group's captive demand as an important advantage, we assume that non-captive adoption develops more slowly than in our base case, particularly among prospective customers such as GM, resulting in a

delayed commercialization timeline and a broader rollout beginning only from 2031 onward. Despite these more conservative assumptions, we forecast that Boston Dynamics still establishes a meaningful presence within the humanoid robotics industry, maintaining market share between 10-6% past 2033 (Exhibit 117).

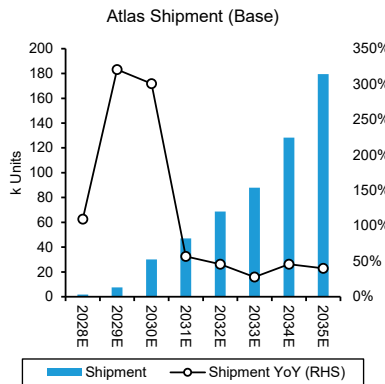
Across all scenarios, we assume an initial Atlas ASP of approximately USD 130,000, consistent with figures frequently cited by [media reports](#), followed by gradual price erosion over time as production volumes increase, manufacturing efficiencies improve, and industry competition intensifies.

EXHIBIT 111: Atlas shipments are expected to reach approx. 220,500 units by 2035 in our bull case...



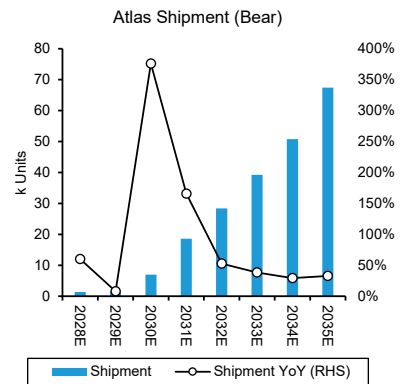
Source: Bernstein estimates and analysis

EXHIBIT 112: ...expected to reach approx. 179,500 units by 2035 in our base case...



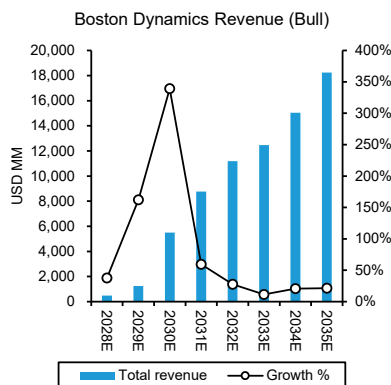
Source: Bernstein estimates and analysis

EXHIBIT 113: ...and expected to reach approx. 67,400 units by 2035 in our bear case



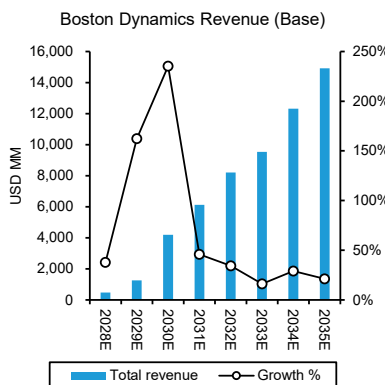
Source: Bernstein estimates and analysis

EXHIBIT 114: Boston Dynamics revenue is expected to reach approx. USD 18.2bn by 2035 in our bull case...



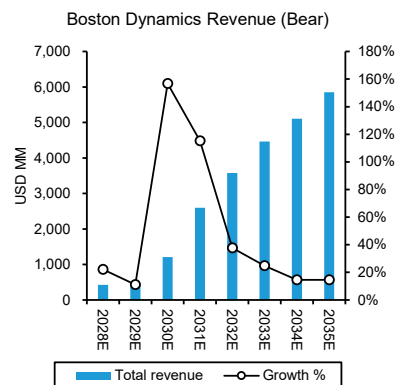
Source: Bernstein estimates and analysis

EXHIBIT 115: ...expected to reach approx. USD 14.9bn by 2035 in our base case...



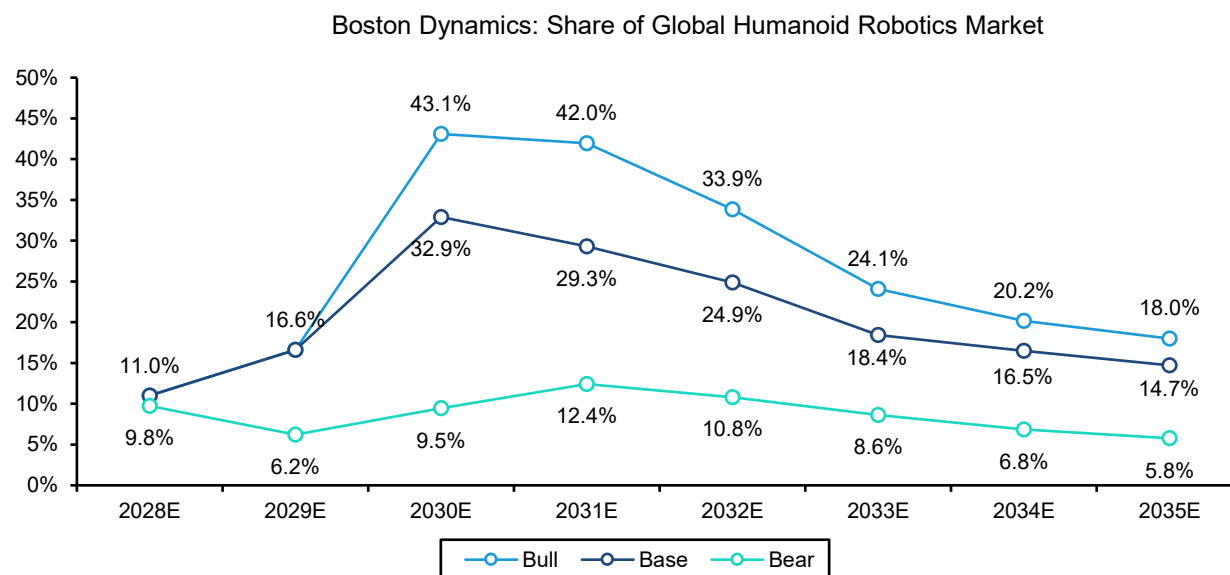
Source: Bernstein estimates and analysis

EXHIBIT 116: ...and expected to reach approx. USD 5.9bn by 2035 in our bear case



Source: Bernstein estimates and analysis

EXHIBIT 117: Boston Dynamics is able to sustain meaningful market share throughout all scenarios, with significant gains in the more optimistic models

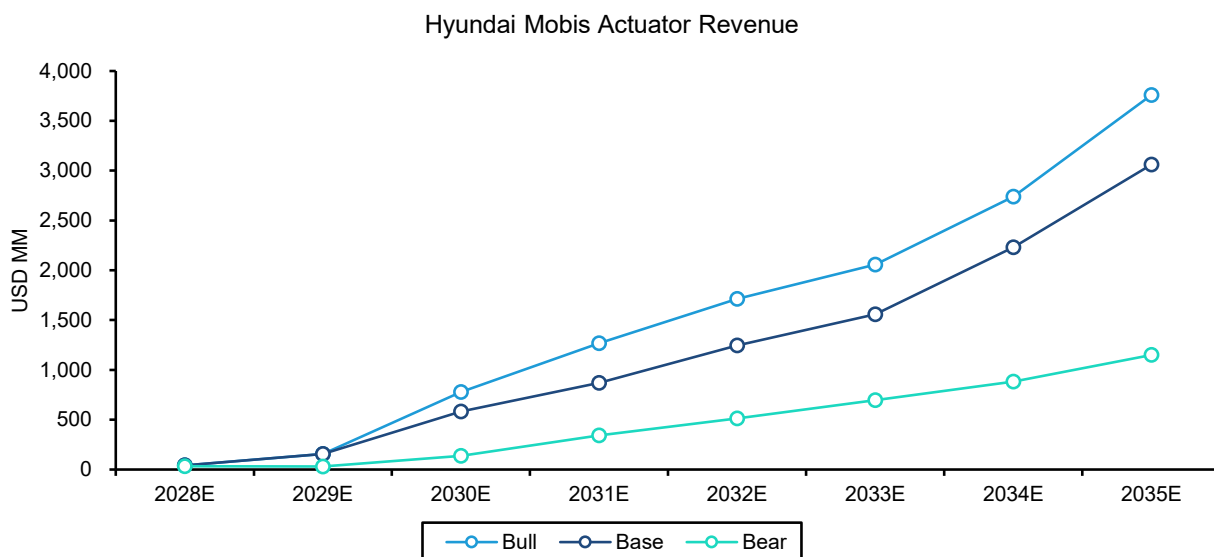


Source: Bernstein estimates and analysis

Hyundai Mobis' new revenue segment, expected to 75x from 2028 to 2035

Hyundai Mobis is the sole supplier of actuators for Atlas, one of the most critical and highest-value components in a humanoid robot, responsible for enabling precise movement, balance, and dexterous manipulation. Given that actuators account for approximately 60% of a humanoid robot's material cost, and each Atlas robot requiring 31 actuators, Mobis is positioned to capture a substantial share of the economic value generated by future Atlas deployments (Exhibit 118). Under the base case, Mobis' Atlas actuator revenue increases from USD 41 million in 2028 to USD 3.06 billion by 2035, with annual growth reaching 279% in 2029 and 273% in 2030 before remaining strong at 25–49% through to 2035.

The opportunity also extends beyond Boston Dynamics. Given the significant technical barriers associated with designing high-performance humanoid actuators and scaling production, Mobis could ultimately leverage its manufacturing capabilities to supply components not only to Atlas but also to competing humanoid platforms, allowing it to participate in the overall growth of the humanoid robotics market regardless of which OEM emerges as the long-term winner.

EXHIBIT 118: **Hyundai Mobis actuator revenue driven by Boston Dynamics' Atlas sales**

Source: Bernstein estimates and analysis

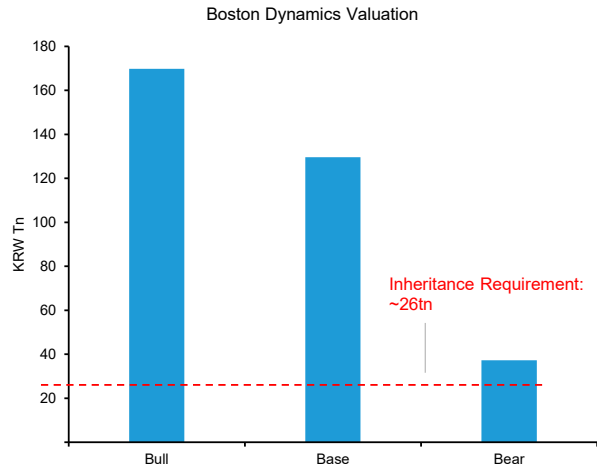
Valuing Boston Dynamics at KRW 125.7 trillion

Under our base-case scenario, we apply a 21.2x price-to-sales ratio (PSR) to Boston Dynamics' 2030 forecast revenue of KRW 5.9tn, resulting in an implied valuation of KRW 125.7tn. The applied multiple is derived from UBTECH's current valuation, and Unitree Robotics' IPO valuation, calculated using its offer price relative to historical sales per share. We view this as an appropriate benchmark given UBTECH and Unitree's positions as pure-play robotics companies with exposure to both automotive manufacturing and broader industrial automation applications. Importantly, the base-case scenario assumes that the valuation required to facilitate the Chung family inheritance process has been achieved, with any additional value realized through a future Boston Dynamics IPO available to support further shareholding restructuring. This highlights the potential for Boston Dynamics to act not only as a growth asset but also as an enabler of broader Hyundai Motor Group governance initiatives.

In our bull-case scenario, applying the same PSR to Boston Dynamics' 2030 forecast revenue of KRW 7.8tn, Boston Dynamics would be valued at KRW 164.6tn. The bull case illustrates the significant optionality embedded within Hyundai Motor's ownership of Boston Dynamics, as stronger commercialization of humanoid robotics and broader adoption of automation technologies could unlock substantial shareholder value beyond what is currently reflected in Hyundai Motor's share price.

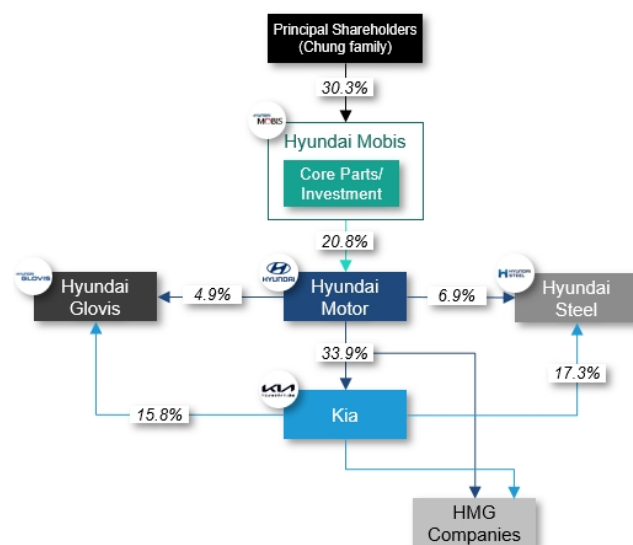
Even under a more conservative bear-case scenario, our analysis suggests that Boston Dynamics can support key strategic objectives within Hyundai Motor Group. The bear case also applies the 21.2x PSR to a forecast Boston Dynamics' 2030 revenue of KRW 1.7tn, implying a Boston Dynamics valuation of KRW 36.1tn. This valuation remains comfortably above the level required to facilitate inheritance-related funding.

EXHIBIT 119: **Valuing Boston Dynamics above the minimum requirement at IPO for Chairman Eui-sun Chung's inheritance**



Source: Company reports, Bernstein analysis

EXHIBIT 122: Kia's stake in Hyundai Mobis eliminated, helping unwind circular shareholdings and simplify the group's governance structure

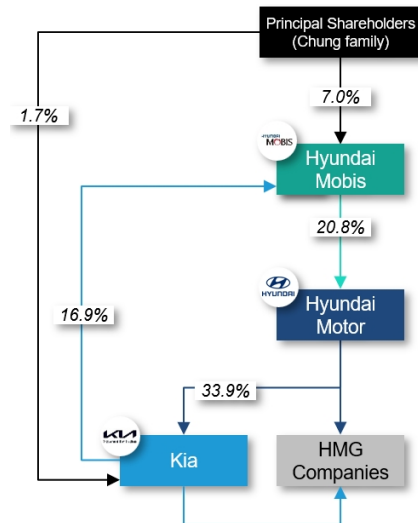


Note: All the companies except for Hyundai Motor, Hyundai Mobis, Kia not covered

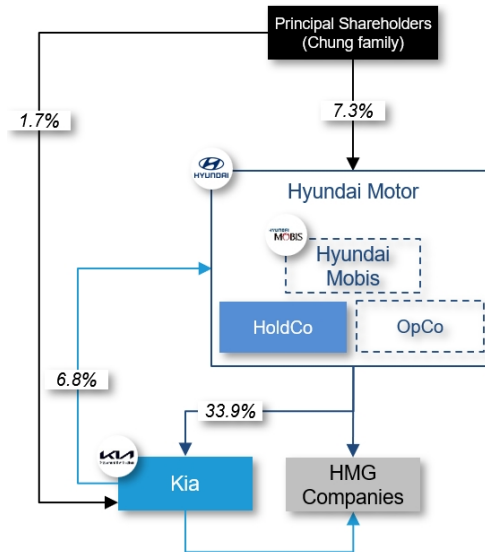
Source: Company reports, Bernstein analysis

One activist shareholder opposed the company's proposal, arguing that transferring the highly profitable Module and Aftersales businesses to Hyundai Glovis was unfavorable to Hyundai Mobis shareholders and lacked a compelling strategic rationale. As an alternative, it proposed merging Hyundai Motor and Hyundai Mobis to create a holding company structure at the center of the group.

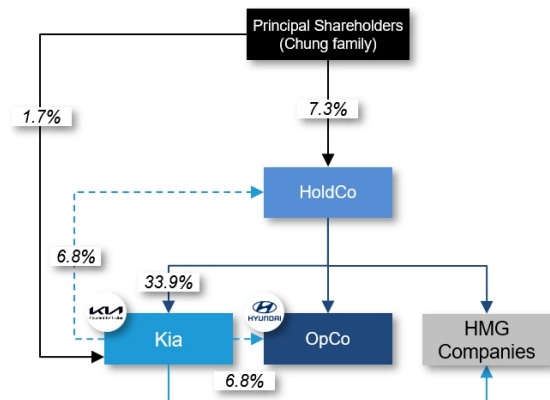
The proposal consisted of three main steps. First, Hyundai Motor and Hyundai Mobis would be merged (Exhibit 123, Exhibit 124). Second, the combined entity would be split into Hyundai Motor HoldCo and Hyundai Motor OpCo, with HoldCo holding shares in OpCo, Kia, and other HMG companies (Exhibit 125). Third, Kia's ownership interests in Hyundai Motor HoldCo and OpCo would be restructured to eliminate the group's circular shareholding arrangements (Exhibit 126). Under this structure, Hyundai Motor HoldCo would sit at the top of the group, with OpCo, Kia, Hyundai Rotem, Hyundai Wia, and other key subsidiaries positioned directly beneath it. While we view this idea as more rational than the company's original plan and arguably fairer to Hyundai Mobis shareholders, it is not without shortcomings. From an operational perspective, combining a vehicle manufacturer with a parts and module supplier into a single entity could create inefficiencies and potential conflicts within the group's industrial structure. More importantly, the proposal would effectively place Hyundai Motor and Kia on an equal footing within the group's hierarchy. Given that Kia was acquired and rescued by Hyundai Motor during the Asian Financial Crisis in 1998, we believe positioning the two automakers as parallel entities may not fully reflect the historical relationship between the companies and could therefore face meaningful resistance from Hyundai Motor.

EXHIBIT 123: HMG's simplified group structure prior to the activist shareholder's proposed restructuring

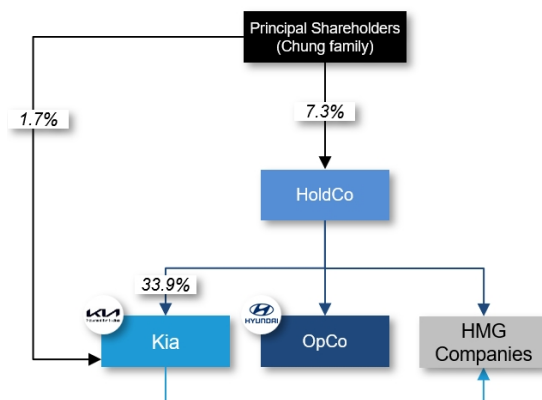
Source: Company reports, Bernstein analysis

EXHIBIT 124: Hyundai Motor and Hyundai Mobis would be merged

Source: Company reports, Bernstein analysis

EXHIBIT 125: The combined entity would be split into HoldCo/OpCo, with HoldCo holding shares in OpCo, Kia, and other HMG companies

Source: Company reports, Bernstein analysis

EXHIBIT 126: Kia's ownership interests in Hyundai Motor HoldCo and OpCo would be restructured to eliminate the group's circular shareholding structure

Source: Company reports, Bernstein analysis

We continue to believe that HMG's ownership structure offers further scope for restructuring, and that both the company's 2018 proposal and the activist shareholder's alternative proposal provide valuable clues as to what an optimal ownership structure could look like. In our view, the key priorities of any restructuring should be the elimination of the group's circular shareholding structure and the strengthening of the Chung family's control over the group, thereby creating greater alignment between the group's operating structure and ownership structure (Exhibit 127).

Against this backdrop, we envision, as a first step, a merger between Hyundai Motor and Hyundai Mobis, similar to the transaction proposed by the activist shareholder in 2018 (Exhibit 128). As of August 2026, the combined ownership stake held by Honorary Chairman Mong-koo Chung and Executive Chair Eui-sun Chung is higher in Hyundai Motor than in Hyundai Mobis (8.4 versus 7.9%). As a result, a merger between Hyundai Motor and Hyundai Mobis would modestly increase the founding family's ownership interest in the combined entity relative to its current stake in Hyundai Mobis, while also establishing a more streamlined platform for subsequent restructuring initiatives.

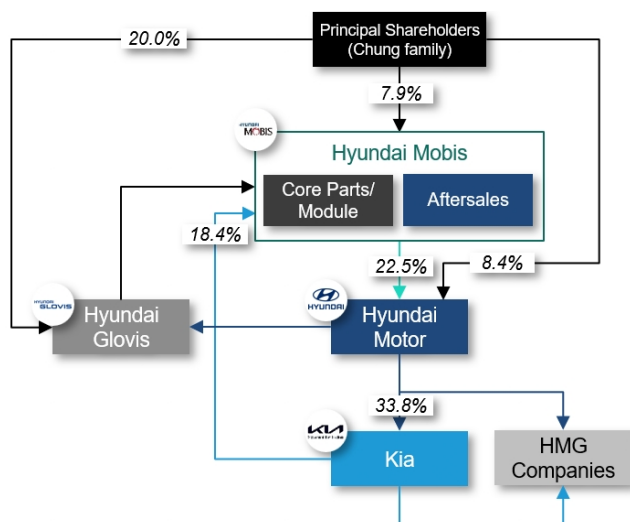
As a second step, we envision splitting the merged entity (MergerCo) into a Core Parts/Module business and an Aftersales business (Exhibit 129). The Core Parts/Module business would be transferred to Hyundai Glovis, while MergerCo would retain

the Aftersales business. In recent years, particularly among Japanese automakers, there has been an increasing focus on expanding value chain profits that are less dependent on new vehicle sales, including aftersales services and captive finance operations. We believe this merger and subsequent separation would allow Hyundai Motor to retain the highly profitable Aftersales business, thereby increasing the group's exposure to recurring, higher-margin earnings streams.

As a third step, we would eliminate the group's circular shareholding structure (Exhibit 130). Specifically, Kia would dispose of their stakes in MergerCo, potentially through a MergerCo share buyback or similar mechanisms. Moreover, we see scope for a review of the stakes held by Hyundai Steel and Hyundai Glovis in MergerCo, which could likewise be unwound through share buybacks or other restructuring transactions. This would result in a significantly streamlined ownership structure, with the principal shareholders at the top and MergerCo, comprising Hyundai Motor and Hyundai Mobis' Aftersales business, serving as the group's core operating entity. Beneath MergerCo would sit Kia, Hyundai Steel, and the broader portfolio of Hyundai Motor Group companies.

Hyundai Glovis, meanwhile, would continue to play a central role in the group's automotive logistics operations while evolving into a more integrated supply chain company, spanning activities from parts manufacturing to final vehicle assembly. Furthermore, the principal shareholders could potentially monetize part or all of their stakes in Hyundai Glovis and redeploy the proceeds into additional purchases of Hyundai Mobis shares, further strengthening their control over the group's core operating assets. In our view, this would bring HMG's ownership structure more in line with those of Japanese automakers such as Toyota and Honda, with the vehicle manufacturer positioned at the top of the hierarchy and a vehicle brand under its control (Kia), parts suppliers, and materials companies located beneath it within the ownership structure. As a result, the group's ownership hierarchy would become more closely aligned with its underlying business hierarchy.

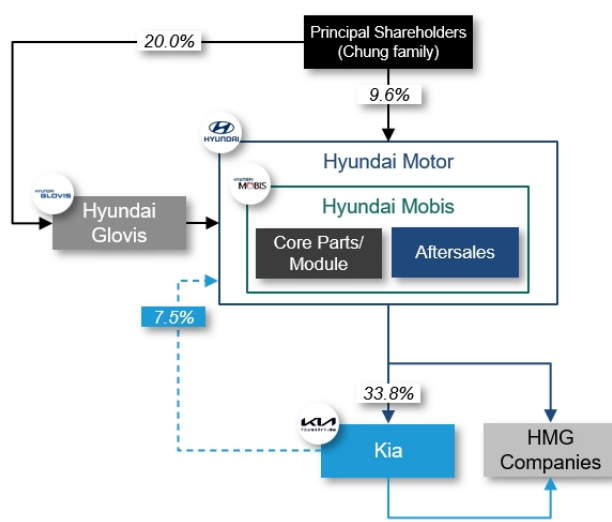
EXHIBIT 127: The current structure of the Hyundai Motor Group includes many cross-shareholdings and a circular relationship between Hyundai, Kia and Mobis



Note: All the companies excepted for Hyundai Motor, Hyundai Mobis, Kia not covered

Source: Bloomberg, Company reports, Bernstein analysis

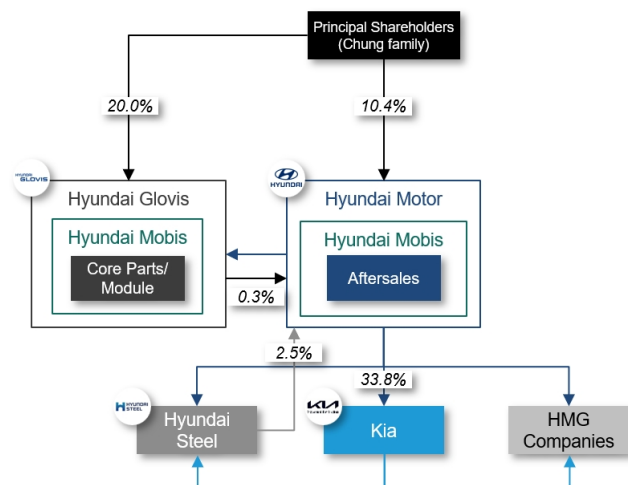
EXHIBIT 128: As a first step, we envision a merger between Hyundai Motor and Hyundai Mobis, similar to the activist shareholder proposal in 2018



Note: All the companies excepted for Hyundai Motor, Hyundai Mobis, Kia not covered

Source: Bloomberg, Company reports, Bernstein analysis

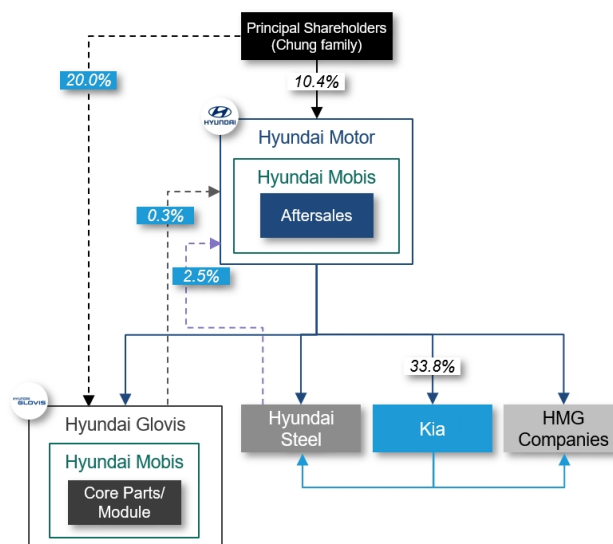
EXHIBIT 129: As a second step, we envision splitting the merged entity into a Core Parts/Module business and an Aftersales business



Note: All the companies excepted for Hyundai Motor, Hyundai Mobis, Kia not covered

Source: Bloomberg, Company reports, Bernstein analysis

EXHIBIT 130: As a third step, we envision eliminating the group's circular shareholding structure, specifically Kia's stake in MergerCo



Note: All the companies excepted for Hyundai Motor, Hyundai Mobis, Kia not covered

Source: Bloomberg, Company reports, Bernstein analysis

Under our restructuring idea, the circular shareholding structure among Hyundai Motor, Hyundai Mobis, and Kia would be eliminated. Importantly, the stakes involved are substantial relative to the market cap of the companies, suggesting significant scope for capital structure optimization.

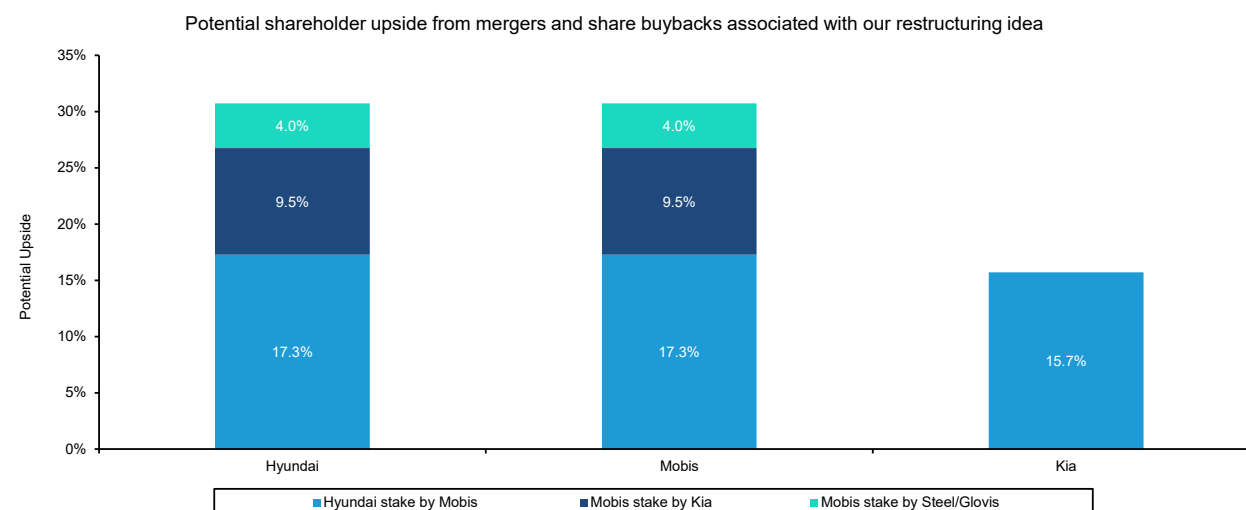
First, following the merger of Hyundai Motor and Hyundai Mobis, Hyundai Mobis' ~22.5% stake in Hyundai Motor would effectively become treasury shares of MergerCo. The retirement of these shares would be equivalent to 17.3% upside for minority shareholders. Subsequently, Kia's 7.5% stake in MergerCo (through its current stake in Mobis) would also represent a significant source of restructuring optionality, as those shares could potentially be retired through share repurchases or other capital actions. This would represent an additional 9.5% upside potential for Hyundai Motor and Hyundai Mobis shareholders. Combined, these two measures could generate total upside of ~27%.

If MergerCo were to fully acquire Kia's stake, Kia would receive after-tax cash proceeds equivalent to ~16% of its current market cap, taking into account the book value of its Mobis holdings. Should these proceeds ultimately be returned to shareholders, the potential upside for Kia shareholders could be significant.

Beyond Kia, additional restructuring opportunities exist through the cross-shareholdings held by Hyundai Glovis and Hyundai Steel in MergerCo (currently Hyundai Mobis). Including these stakes, the total share repurchase capacity available to MergerCo could exceed 25% of its market cap could translate into an additional 4.0% upside for minority shareholder. Combined with the ~27% upside from the unwinding of circular shareholding among Hyundai Motor, Hyundai Mobis and Kia, total upside could reach ~31% for Hyundai Motor and Hyundai Mobis shareholders (Exhibit 131).

In our view, this highlights that the opportunity from restructuring extends beyond governance simplification and ownership rationalization. The magnitude of potentially redistributable capital embedded within the group's cross-shareholding structure could also create meaningful upside for investors.

EXHIBIT 131: Under our restructuring scenario, we estimate potential upside of ~31% for Hyundai Motor and Hyundai Mobis shareholders, while Kia shareholders could see potential upside of ~16%.

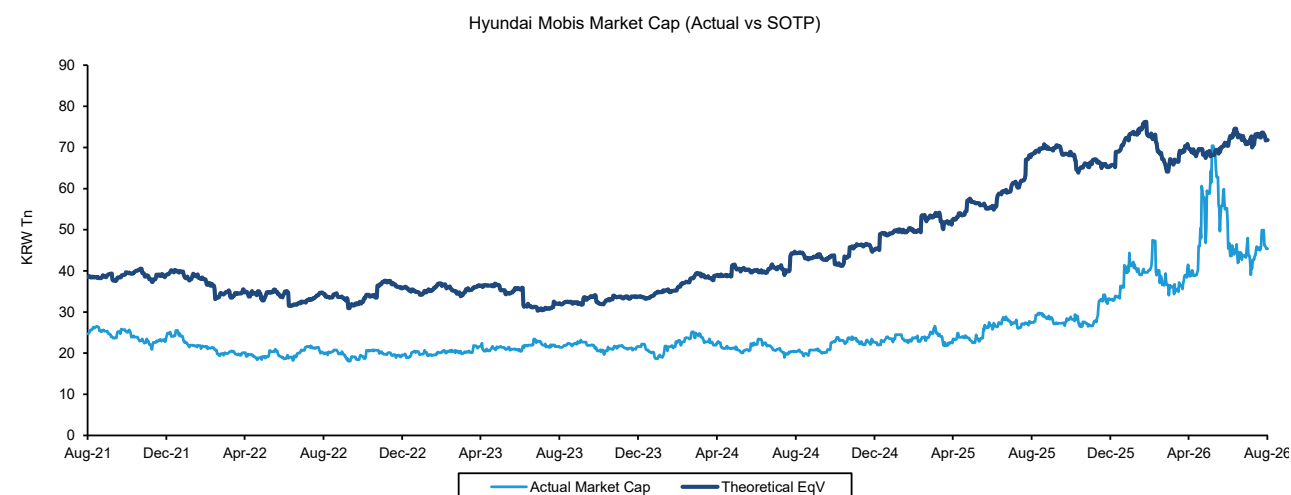


Source: Bloomberg, Company reports, Bernstein analysis

A key element of our restructuring idea is the separation of Hyundai Mobis' Module/Core Parts business, which has historically generated breakeven or loss-making profitability, from its highly profitable Aftersales business, which serves as the company's cash cow. We believe this separation would unlock the full value of Hyundai Mobis by allowing investors to value the two businesses independently (Exhibit 132).

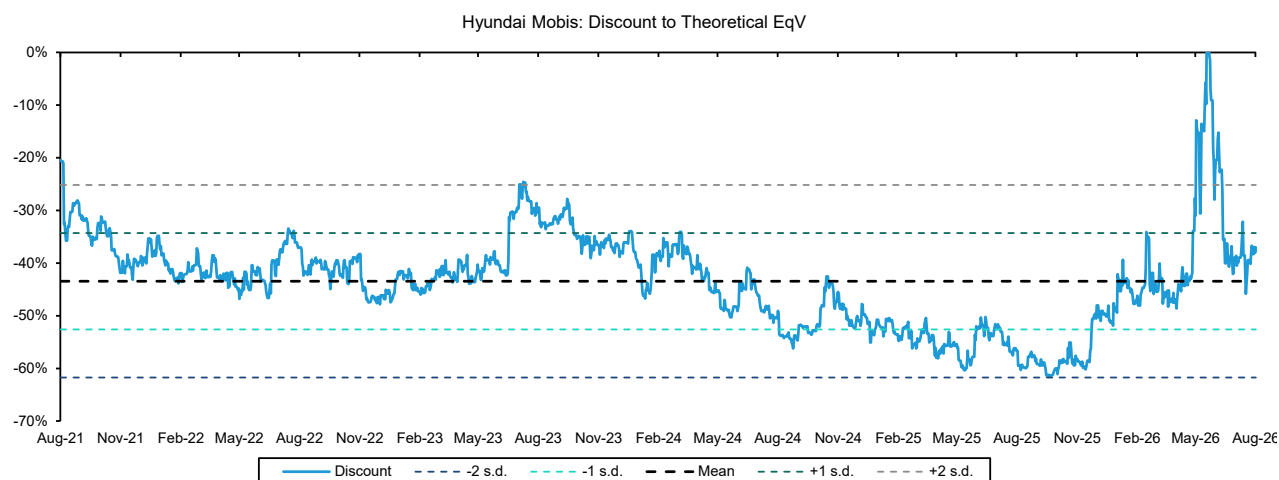
Based on our selected comparable companies for both the Module/Core Parts and Aftersales businesses, Hyundai Mobis has traded at an average conglomerate discount of ~44% over the past five years (Exhibit 133). While this discount temporarily narrowed amid heightened expectations surrounding the company's robotics initiatives, the discount has largely persisted. In our view, this suggests substantial upside potential from a restructuring that separates the two businesses and makes their respective earnings profiles more transparent.

EXHIBIT 132: Hyundai Mobis has long traded at a discount to its SOTP-implied equity value



Source: Bloomberg, Bernstein analysis

EXHIBIT 133: Based on our selected comparable companies for both the Module/Core Parts and Aftersales businesses, Hyundai Mobis has traded at an average discount of ~44% over the past five years



Source: Bloomberg, Company reports, Bernstein analysis

Boston Dynamics IPO could address the founding family's inheritance challenge and may accelerate group restructuring

Another key consideration in HMG's restructuring is the succession of the founding Chung family's ownership stakes in major group affiliates. Specifically, there is growing focus on the eventual transfer of shares held by HMG Honorary Chairman Mong-koo Chung, who turned 88 in 2026, to his son, Executive Chair and CEO Eui-sun Chung. These holdings include stakes in Hyundai Motor (5.6%), Hyundai Mobis (7.6%), and Hyundai Steel (12%).

Under Korea's inheritance tax system, the maximum tax rate is 50% of the fair market value of inherited assets. In addition, shares inherited from a controlling shareholder or related parties are subject to a 20% valuation premium, effectively raising the inheritance tax burden on equity holdings to 60% of their market value. Based on current market prices, the combined value of Mong-koo Chung's stakes in the three companies is approximately KRW 9.0tn, implying a potential inheritance tax liability of roughly KRW 5.4tn.

Assuming Eui-sun Chung's ownership stake remains 22.5% and the capital gains tax rate is 22%, we estimate that Boston Dynamics would require a minimum valuation of approximately KRW 29.2tn to generate sufficient proceeds to fund the tax liability. Based on our bear-case revenue forecast, this corresponds to an implied valuation multiple of just 16.6x PSR, which remains below the average 21.2x PSR of listed robotics peers (Unitree and UBTECH). Given this, we believe the valuation required to facilitate inheritance related funding remains achievable even under highly conservative assumptions.

This development could also accelerate broader group restructuring, as the cash proceeds from a Boston Dynamics IPO would provide additional financial flexibility. Eui-sun Chung could potentially increase his stake in Hyundai Mobis, further strengthening the founding family's control over HMG. The cash inflow would also be highly significant for Hyundai Motor, Kia, and Hyundai Mobis, which together own HMG Global. In our view, the proceeds could help fund a buyback of Hyundai Mobis shares currently held by Kia, a key element of our restructuring idea as it would eliminate the group's circular shareholding structure. Depending on the IPO valuation, this could create further upside potential. While HMG has not officially announced any IPO plans, [various media reports](#) have suggested a potential listing in 2027 or 2028.

REGIONAL PERFORMANCE ACROSS MAJOR MARKETS, KIA HAS OUTPERFORMED, BUT HYUNDAI HAS GREATER RECOVERY POTENTIAL

Korea: Long term stability, recent momentum favors Kia, but Hyundai has catalysts ahead

Over the past decade, Hyundai and Kia have maintained a dominant position in the Korean passenger vehicle market, supported by a broad product lineup spanning mass-market sedans, SUVs, and increasingly electrified vehicles. Hyundai's sales have been underpinned by key models such as the Avante, Grandeur, and Santa Fe, while Kia has benefited from the strong performance of the Sorento, Carnival, and Sportage. In recent years, both automakers have successfully capitalized on the rapid shift in consumer preference toward SUVs and premium vehicles, helping to sustain robust domestic demand despite a mature market environment.

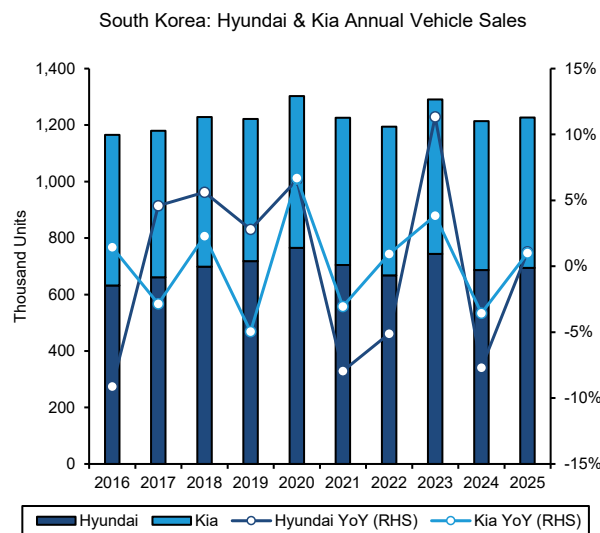
Electrification has also emerged as an important growth driver. Hyundai and Kia expanded their EV portfolios through dedicated models such as the Ioniq 5, Ioniq 6, EV6, and EV9, while simultaneously broadening their HEV offerings across core vehicle segments. As a result, sales of electrified vehicles have steadily increased, supporting both market share retention and improvements in product mix.

Combined domestic sales have remained broadly stable at around 1.2 mn units over the past decade, with Hyundai accounting for roughly 700k units and Kia just over 500k units annually (Exhibit 134). The two companies continue to command a dominant position in Korea, with market shares of approximately 42% and 33%, respectively, representing a combined share of around 75% (Exhibit 135).

By contrast, recent sales momentum has favored Kia over Hyundai (Exhibit 136). Kia's domestic sales increased 7% YoY in H1, benefiting from strong SUV demand and continued growth in HEV sales. Hyundai's sales fell 10.8% YoY, reflecting weaker demand for several key passenger vehicle models, a less favorable model cycle relative to Kia, and the impact of temporary production disruptions within its supply chain. The contrast suggests that Kia is currently benefiting from stronger product momentum and greater exposure to high-demand segments in the Korean market.

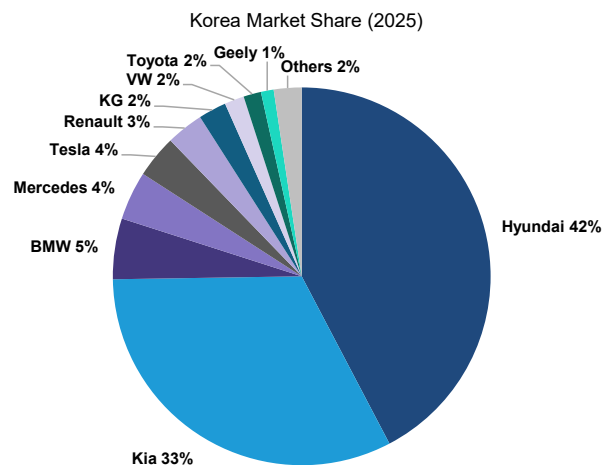
However, Hyundai's supply chain disruptions have largely normalized, and sales momentum could improve in the coming quarters. The company is expected to launch next-generation versions of the Tucson and Avante, two of its core models, in H2, while Genesis is set to introduce its first HEV model. These product launches should strengthen Hyundai's competitiveness in both the mainstream and premium segments, supporting a potential recovery in domestic sales.

EXHIBIT 134: Hyundai & Kia combined Korea sales stable at 1.2 mn units

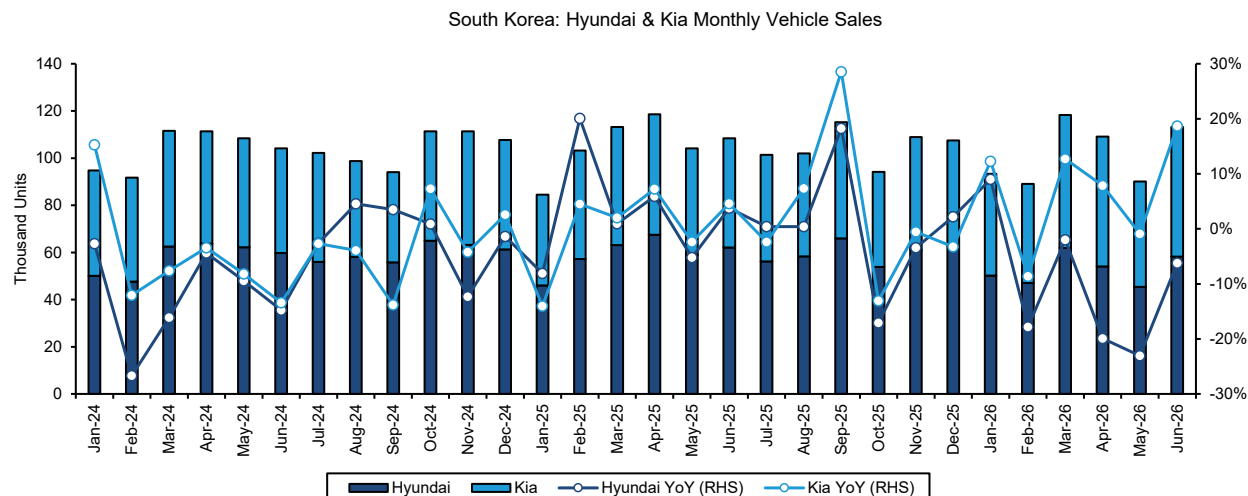


Source: IHS, Bernstein analysis

EXHIBIT 135: The two companies continue to dominate the market with 75% share



Source: IHS, Bernstein analysis

EXHIBIT 136: Recent sales momentum favors Kia, but Hyundai has catalysts ahead

Source: KAMA, Bernstein analysis

US: Sustained growth and share gains supported by SUVs and Electrification

Over the past decade, Hyundai and Kia have steadily expanded their presence in the US market, supported by competitive SUV lineups, improving brand perception, and a growing portfolio of electrified vehicles. Hyundai's growth has been driven by key models such as the Tucson, Santa Fe, Elantra, and Palisade, while Kia has benefited from the strong performance of the Sportage, Telluride, Sorento, and Carnival. The increasing popularity of SUVs has been a major tailwind for both companies, enabling them to improve volume, pricing, and overall brand positioning in one of the world's most competitive automotive markets.

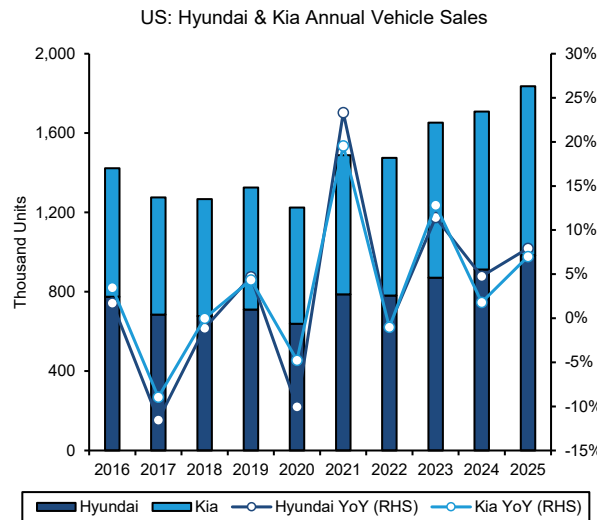
Electrification has also become an increasingly important contributor to growth. Hyundai and Kia have expanded their EV offerings through models such as the Ioniq 5, Ioniq 6, EV6, and EV9, while simultaneously broadening their HEV lineups across high-volume vehicle segments. In particular, strong consumer demand for HEVs has emerged as a key growth driver in the US, as many buyers continue to seek improved fuel efficiency without fully transitioning to BEVs. This trend has played to the strengths of both brands, given their expanding hybrid portfolios and competitive product offerings.

Combined US sales have increased steadily over the past decade, reaching more than 1.8 mn units in 2025, with Hyundai accounting for just under 1.0 mn units and Kia more than 0.8 mn units (Exhibit 137). This represents a sales CAGR of 2.6% for Hyundai and 3.1% for Kia over the past ten years. As a result, the two companies have expanded their combined US market share to approximately 11%, with Hyundai and Kia accounting for around 6% and 5%, respectively (Exhibit 138). Together, they rank as the fourth-largest automotive group in the US market, behind only GM, Toyota, and Ford.

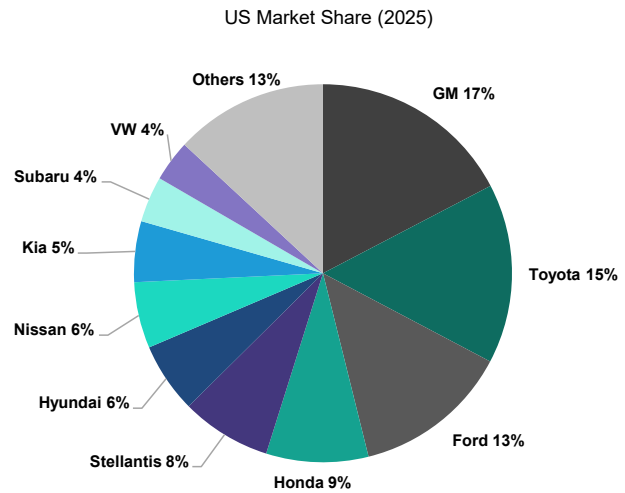
Recent sales momentum has remained positive for both brands. Hyundai's US sales increased 2.9% YoY in 2026 YTD, while Kia delivered growth of 3.4% YoY (Exhibit 139). Continued strength in SUVs and growing HEV demand have supported volume growth despite an increasingly competitive market environment. In addition, both companies continue to benefit from a relatively young product portfolio, strong dealer inventories, and improving brand recognition among US consumers.

Looking ahead, Hyundai and Kia appear well positioned to maintain their growth trajectory in the US market. Continued investment in electrification, an expanding HEV lineup, and sustained competitiveness in key SUV segments should support further market share gains. While the pace of BEV adoption in the US remains uncertain, robust HEV demand is likely to remain an important tailwind, allowing both automakers to balance electrification growth with profitability.

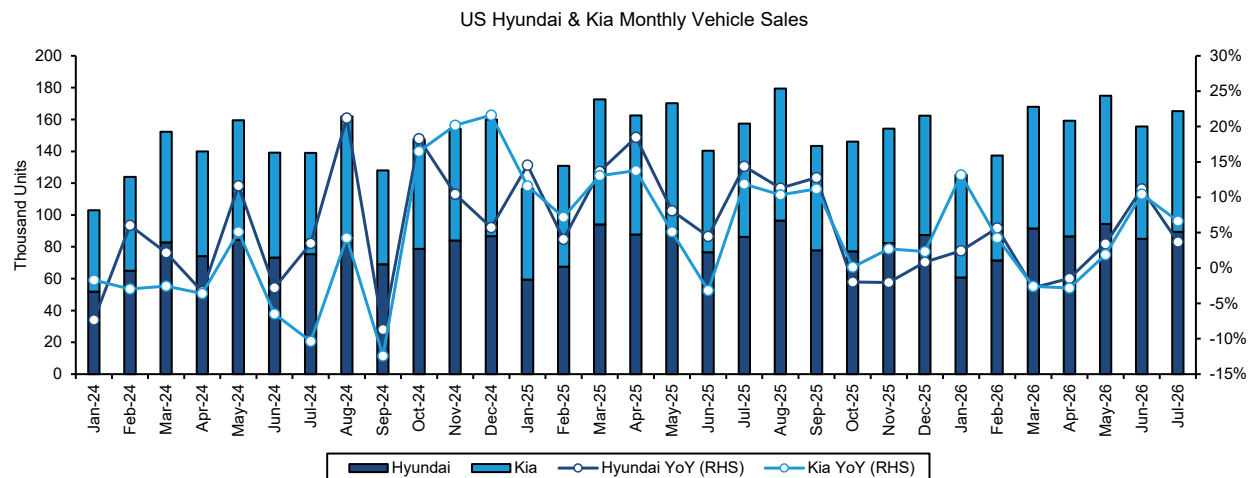
In particular, Hyundai is expected to benefit from the launch of next-generation versions of the Tucson and Elantra in 2H, as well as the introduction of Genesis' first HEV model. Kia, meanwhile, is set to strengthen its electrified portfolio through the rollout of the Seltos HEV and EV3. These product launches should support continued sales momentum for both brands and reinforce their competitiveness across the mainstream, SUV, and premium segments. As a result, Hyundai Motor Group appears well positioned to continue outgrowing the broader US auto market and delivering further market share gains over the medium term.

EXHIBIT 137: Combined US sales have increased steadily over the past decade

Source: IHS, Bernstein analysis

EXHIBIT 138: Combined US market share 11%, ranking Hyundai Motor Group fourth among automakers

Source: IHS, Bernstein analysis

EXHIBIT 139: Recent sales momentum has remained positive, driven by SUVs and HEVs

Source: Autodata, Bernstein analysis

Europe: Rising competition from Chinese entrants and the shift to electrification

Over the past decade, Hyundai and Kia have established themselves as major players in the European passenger vehicle market, supported by a diverse model lineup, localized production, and an increasingly competitive electrified vehicle portfolio. Hyundai's European sales have been driven by core models such as the Tucson, Kona, and i30, while Kia has benefited from strong demand for the Sportage, Ceed, and Niro. Both automakers have also strengthened their position through continuous investment in design, quality, and technology, enabling them to compete effectively against both traditional European OEMs and new entrants.

Electrification has become an increasingly important pillar of their European strategy. Hyundai and Kia have expanded their EV portfolios through dedicated models such as the Ioniq 5, Ioniq 6, EV6, and EV9, while also increasing HEV and PHEV availability across key vehicle segments. This has allowed both brands to maintain relevance in one of the world's most rapidly electrifying automotive markets, while improving product mix and supporting regulatory compliance.

Combined European sales totaled approximately 1.27 mn units in 2025, consisting of roughly 670k units for Hyundai and 600k units for Kia (Exhibit 140). Over the past decade, Hyundai and Kia have delivered sales CAGRs of -0.5% and 0.2%, respectively. While Hyundai Motor Group's European sales once exceeded 1.5mn units annually, volumes have moderated in recent years amid intensifying competition, particularly following the COVID-19 pandemic, as Chinese manufacturers have expanded aggressively into the region and competition across both ICE and EV segments has intensified.

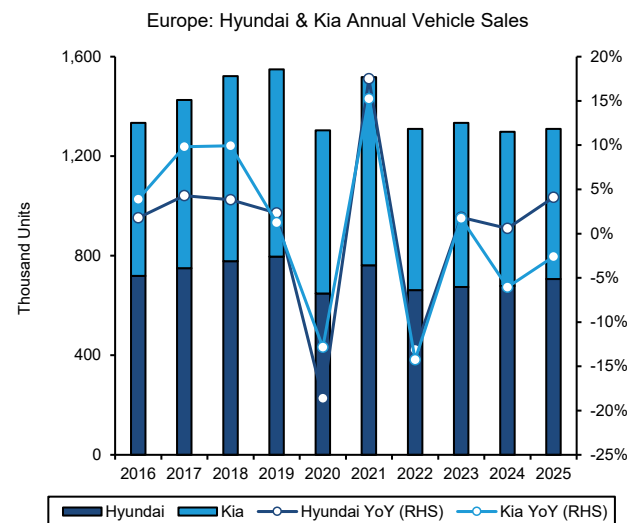
Despite these challenges, Hyundai and Kia have maintained a relatively resilient market position. Hyundai and Kia account for approximately 4% and 3% of the European passenger vehicle market, respectively, representing a combined market share of around 7% (Exhibit 141). This positions Hyundai Motor Group as the fourth-largest automotive group in Europe, ahead of Toyota.

Recent sales momentum, however, has diverged between the two brands (Exhibit 142). Hyundai's European sales declined 8.2% YoY in 2026 YTD, while Kia delivered 6.5% YoY growth. Kia has benefited from strong demand for electrified vehicles, supported by the rollout of the PV5 and locally produced EV2, which have enabled the company to capture growing EV demand in the region. Continued strength in Sportage HEV sales has also contributed to Kia's outperformance, highlighting the brand's strong positioning in key growth segments.

By contrast, Hyundai's recent performance has been impacted by a less favorable product cycle and increasing competitive pressure in the EV segment, particularly from Chinese manufacturers. However, sales momentum could improve in 2H as the company refreshes its product lineup. The upcoming launch of the Ioniq 3 is expected to strengthen Hyundai's competitiveness in the high-volume compact EV segment, while the introduction of next-generation Tucson ICE and HEV models should reinforce its position in one of Europe's largest vehicle categories.

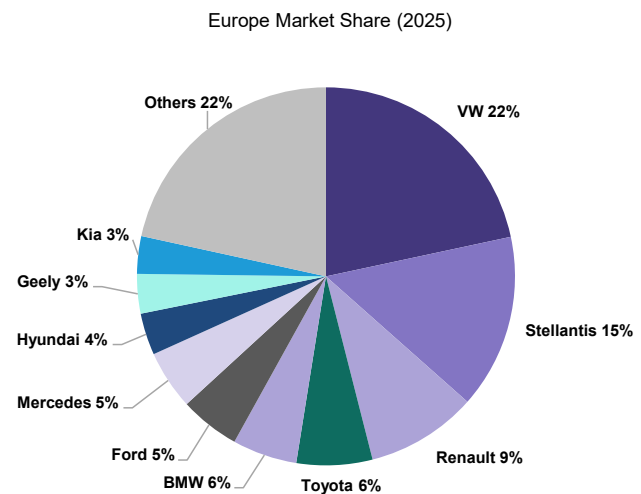
As a result, while Kia is currently demonstrating stronger sales momentum, Hyundai's upcoming product launches could help narrow the performance gap. Continued expansion of electrified vehicle offerings, particularly in the HEV and affordable EV segments, should support Hyundai Motor Group's ability to defend market share and remain one of the leading automotive groups in Europe over the medium term.

EXHIBIT 140: Chinese entrants and EV competition weigh on European sales

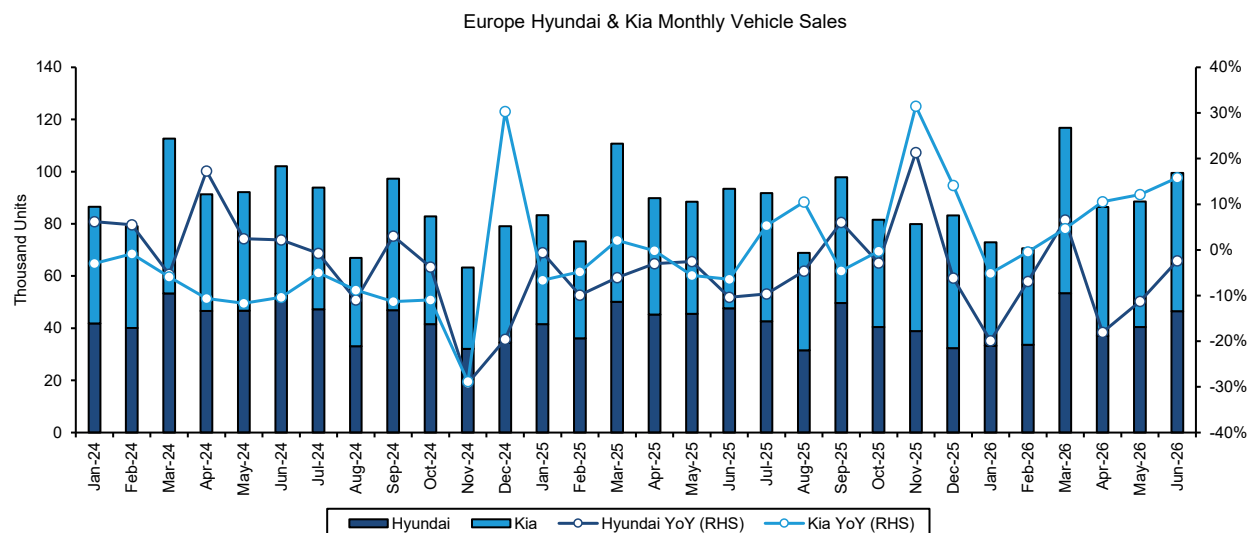


Source: IHS, Bernstein analysis

EXHIBIT 141: Positioned 4th in Europe with 7% combined market share



Source: IHS, Bernstein analysis

EXHIBIT 142: **Kia gains momentum as Hyundai awaits product refresh**

Source: ACEA, Bernstein analysis

China: From a major market to a marginal position

Over the past decade, Hyundai and Kia have experienced a significant deterioration in their position in the Chinese passenger vehicle market. Sales have been pressured by intensifying competition from domestic automakers, the rapid shift toward EVs and new energy vehicles (NEVs), and deteriorating Sino-Korean relations following the THAAD dispute. While Hyundai and Kia previously established strong positions through competitively priced sedans and SUVs, both brands struggled to keep pace with the rapid evolution of China's automotive market, particularly as local manufacturers increased their dominance in electrified vehicles and software-defined vehicles.

The decline has been substantial. Hyundai Motor Group's combined sales in China peaked at approximately 1.8 mn units around a decade ago but fell to roughly 210k units in 2025, consisting of just under 130k units for Hyundai and slightly over 80k units for Kia (Exhibit 143). This implies ten-year sales CAGRs of approximately -19% for Hyundai and -18% for Kia. As a result, the group's combined market share has fallen to below 1%, leaving both brands in a relatively minor position within the world's largest automotive market (Exhibit 144). Consequently, the strategic importance of China within Hyundai Motor Group's global portfolio has diminished considerably, with the market accounting for only a small portion of the group's global sales relative to its peak years.

A key challenge has been the rapid expansion of China's EV and NEV market. Domestic manufacturers have captured share through competitively priced BEVs and PHEVs, faster product development cycles, localized digital ecosystems, and close integration with leading battery and technology suppliers. By contrast, Hyundai and Kia remained more dependent on traditional ICE models and lacked sufficiently localized EV products to compete effectively against Chinese OEMs.

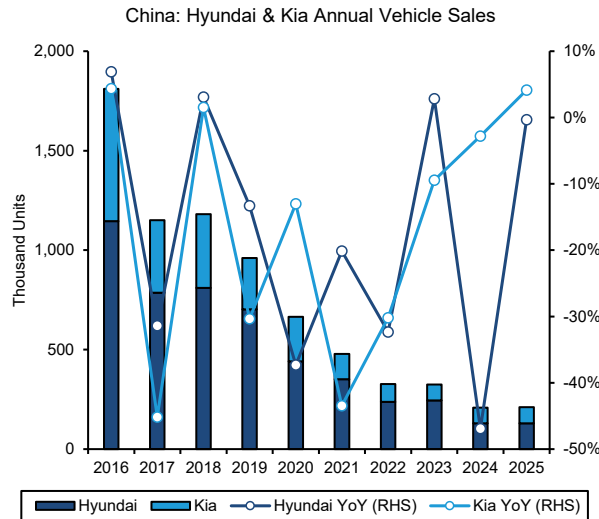
Recent sales momentum, however, has diverged between the two brands (Exhibit 145). Hyundai's sales declined 21.6% YoY in 2026 YTD, while Kia delivered growth of 18.2% YoY. Kia's performance has been supported by resilient demand for ICE models such as the KX1, Seltos, and K3, which continue to resonate with value-oriented consumers. While the company remains a relatively small player in China's EV market, its sales performance suggests that its product portfolio has stabilized better than Hyundai's in the near term.

Hyundai's performance, meanwhile, remained under pressure during H1, with sales declining at a pace exceeding overall market weakness. The company's aging ICE lineup, limited exposure to China's most competitive EV segments, and continued pricing pressure from domestic manufacturers have weighed on volumes. As a result, Hyundai has faced greater difficulty maintaining relevance in a market increasingly dominated by local brands.

However, Hyundai is now pursuing a significantly more localized strategy under its "In China, For China, To Global" initiative. The company recently unveiled the Ioniq V, its first dedicated Ionic production model developed specifically for Chinese customers, and is expected to strengthen its local EV lineup further with other China-focused products. Hyundai plans to introduce a

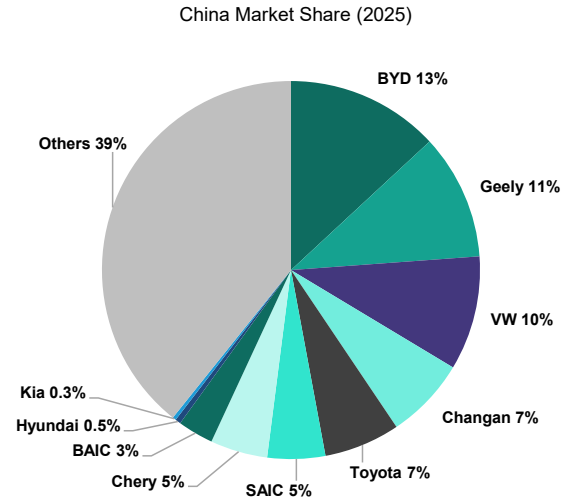
large number of new models in China over the next five years, spanning BEVs and EREVs, while deepening collaboration with local partners across batteries, software, and autonomous driving technologies. While a return to historical peak volumes appears unlikely in the near term, these new launches could help stabilize sales trends and improve the group's long-term competitiveness in the Chinese market.

EXHIBIT 143: China group sales have declined significantly over the past decade



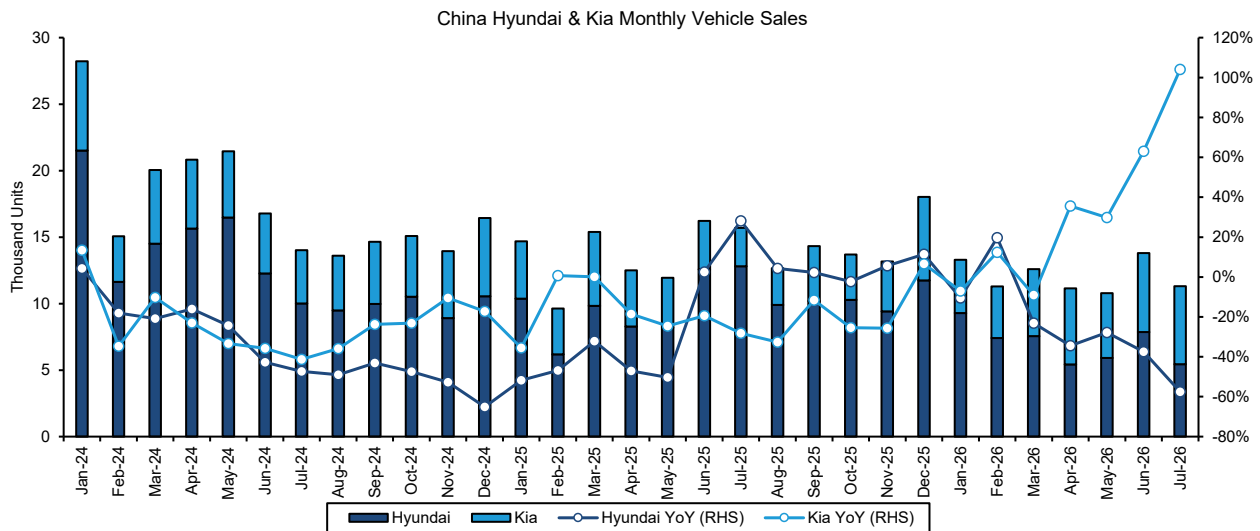
Source: IHS, Bernstein analysis

EXHIBIT 144: The group's combined market share has fallen to below 1%



Source: IHS, Bernstein analysis

EXHIBIT 145: Recent sales momentum has diverged between the two brands



Source: C.A.D., Bernstein analysis

India: Rising strategic importance within Hyundai Motor Group

Among major global automotive groups, Hyundai Motor Group is relatively well positioned in India, one of the world's fastest-growing automotive markets. Hyundai entered India in 1996 and has established itself as one of the country's leading passenger vehicle manufacturers, while Kia entered the market in 2019 and rapidly gained scale through a series of successful product launches. Hyundai's long-standing brand presence, combined with Kia's strong market entry, has enabled the group to build a meaningful and growing position in a market that is becoming increasingly important to global automakers.

Over the past decade, Hyundai Motor Group's sales in India have expanded at a CAGR of approximately 6%, supported by favorable demographic trends, rising vehicle ownership, and a product lineup well aligned with local consumer preferences (Exhibit 146). Hyundai's sales have been underpinned by key models such as the Creta, Venue, Exter, and i20, while Kia has benefited from the strong performance of the Seltos, Sonet, and Carens. SUVs have been a major growth driver for both brands, allowing them to capitalize on one of the most important structural trends in the Indian passenger vehicle market.

Electrification is also emerging as an increasingly important opportunity. While India's EV penetration remains limited, both Hyundai and Kia have continued to expand their electrified vehicle offerings in anticipation of growing demand. Hyundai was among the earlier global OEMs to establish an EV presence in India, while Kia has begun strengthening its electrification strategy through a combination of EV imports and locally produced EV models. Over time, the transition toward electrified vehicles should provide an additional avenue for growth and market share expansion.

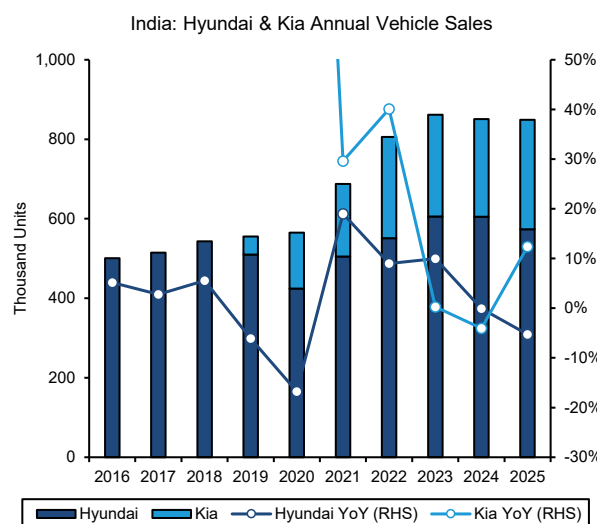
Combined sales in India reached approximately 850k units in 2025, consisting of more than 570k units for Hyundai and over 270k units for Kia. As a result, Hyundai Motor Group has established itself as the third-largest automotive group in India, with a combined market share of approximately 16%, behind only Maruti Suzuki and Mahindra & Mahindra (Exhibit 147). The scale of the group's operations highlights India as one of Hyundai Motor Group's most important growth markets globally.

Recent sales momentum, however, has favored Kia over Hyundai. Hyundai's sales increased 9.1% YoY in 2026 YTD, a solid result but one that lagged overall market growth (Exhibit 148). Kia, by contrast, delivered 24.4% YoY growth, supported by the successful launch of the new-generation Seltos and continued strong demand for the Sonet. The company has also benefited from growing consumer interest in electrified vehicles, supported by the rollout of new EV products including the PV5 and locally produced EV2. As a result, Kia has been gaining momentum across both the SUV and EV segments.

Hyundai's recent performance has been impacted by aggressive incentive-led competition from domestic automakers, particularly Tata Motors and Mahindra & Mahindra. In addition, supply constraints in certain models have limited the company's ability to fully capitalize on underlying market demand. Nevertheless, Hyundai's sales trajectory could improve in H2 as capacity availability increases and the company introduces new products. Continued refreshes of core SUV models and a stronger electrified vehicle lineup should help Hyundai defend market share and improve competitiveness against local rivals.

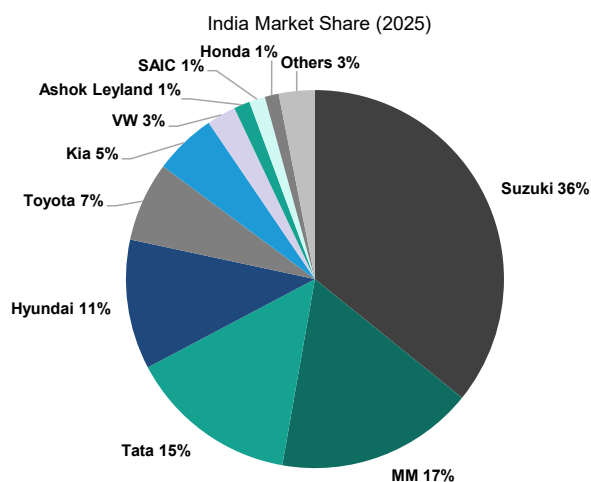
Looking ahead, both Hyundai and Kia appear well positioned to benefit from the continued growth of the Indian passenger vehicle market. Kia's strong product momentum should support further expansion, while Hyundai's scale, brand recognition, and upcoming model launches provide a pathway toward improved sales performance. Regardless of near-term fluctuations, India is likely to become an increasingly important market within Hyundai Motor Group's global portfolio, supported by favorable industry growth, rising motorization rates, and expanding opportunities in both SUVs and electrified vehicles.

EXHIBIT 146: Hyundai Motor Group's sales in India have grown steadily over the past decade

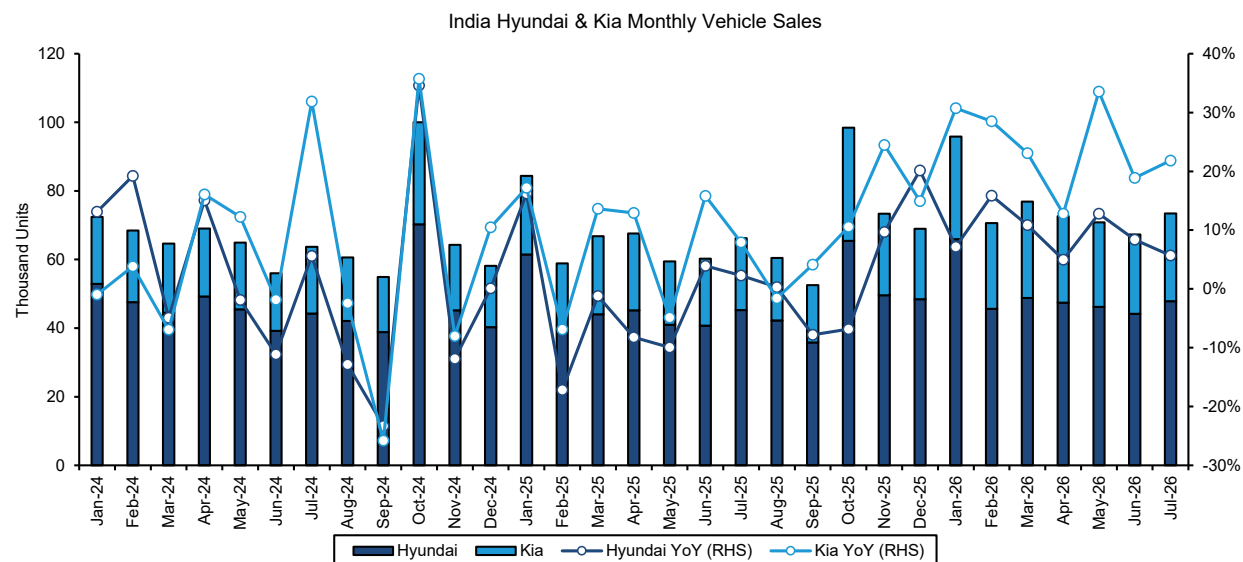


Source: IHS, Bernstein analysis

EXHIBIT 147: 16% combined market share, ranking 3rd in India



Source: IHS, Bernstein analysis

EXHIBIT 148: **Recent sales momentum has favored Kia over Hyundai**

Source: FADA, Bernstein analysis

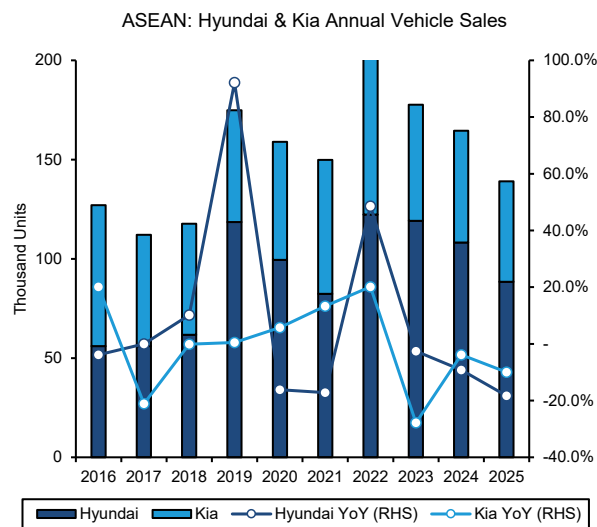
ASEAN: Limited exposure, but competitive pressures are intensifying

Compared with Korea, the US, Europe, and India, Hyundai Motor Group's exposure to ASEAN remains relatively modest. The group's sales growth in ASEAN has been limited over the past decade, with combined volumes growing at a CAGR of less than 1% (Exhibit 149). While Hyundai and Kia have gradually expanded their presence across several ASEAN countries, they have yet to establish the scale or market position enjoyed by Japanese manufacturers in the region. Combined ASEAN sales totaled slightly more than 120k units in 2025, consisting of over 70k units for Hyundai and more than 50k units for Kia. As a result, Hyundai Motor Group's combined market share in the region remains relatively low at around 4%, highlighting its limited exposure (Exhibit 150).

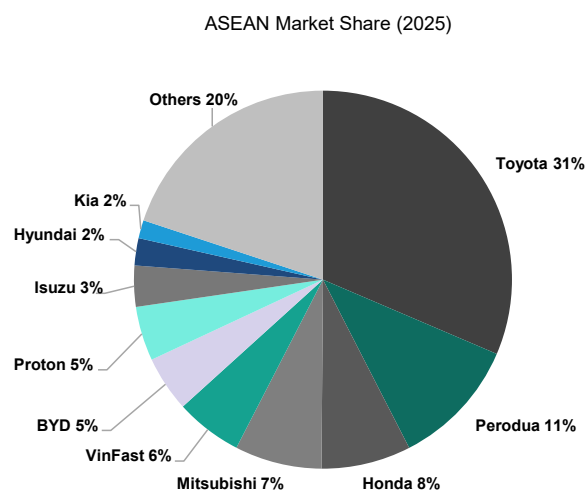
From a country perspective, Hyundai Motor Group's presence is most meaningful in Vietnam and Indonesia, where the group has established local production operations and invested in manufacturing capacity. Hyundai has built a relatively strong position in Vietnam through its joint venture operations, while Indonesia has become an increasingly important production hub for the group's ICE and EV ambitions in Southeast Asia. Elsewhere in ASEAN, the group's market presence remains relatively limited compared with leading Japanese brands such as Toyota.

Electrification is gradually reshaping the competitive landscape across the region. While Chinese manufacturers have expanded aggressively throughout ASEAN, Hyundai Motor Group's challenges have been particularly evident in Vietnam, where local EV champion VinFast has rapidly increased its market presence. The rise of VinFast has intensified competition not only in EVs but also across the broader passenger vehicle market, creating additional pressure on Hyundai's historically strong position in the country.

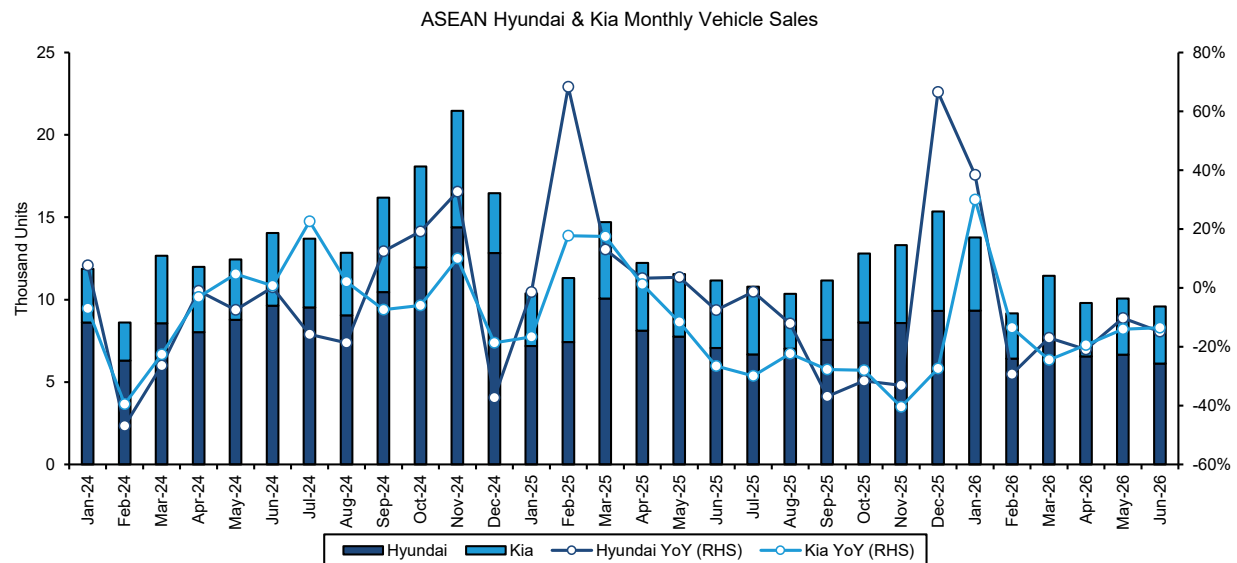
Recent sales momentum has weakened for both Hyundai and Kia. Hyundai's ASEAN sales declined 10.4% YoY in 2026 YTD, while Kia's sales fell 10.8% YoY (Exhibit 151). The decline reflects increasing competitive pressure from both Chinese manufacturers and local players, as well as intensifying competition across the region's key ICE and EV segments. In addition, slowing demand in several ASEAN markets has weighed on volume growth, resulting in a more challenging operating environment than in recent years.

EXHIBIT 149: The group's sales growth in ASEAN has been limited over the past decade

Source: IHS, Bernstein analysis

EXHIBIT 150: Combined market share in the region remains relatively low at around 4%

Source: IHS, Bernstein analysis

EXHIBIT 151: Recent sales momentum has remained positive, driven by SUVs and HEVs

Note: Including Indonesia, Malaysia, Philippines, Singapore, Thailand, Vietnam

Source: Marklines, Bernstein analysis

EARNINGS OUTLOOK, HYUNDAI AND MOBIS SET TO LEAD FY12/27 EARNINGS GROWTH

Hyundai: Earnings momentum recovery expected as new product cycle begins

For our estimates, we forecast Hyundai's FY12/26 revenue to increase 4.3% YoY to KRW 194,233 bn (Exhibit 152), operating profit to rise 5.0% YoY to KRW 12,042 bn (Exhibit 153), and net profit to grow 9.7% YoY to KRW 10,366 bn. While we expect wholesale volume to fall short of the company's guidance of 4.16 mn units (Exhibit 154), we believe Hyundai can still achieve an operating margin close to the lower end of its guidance range. Notably, our FY12/26 earnings forecast is above current market consensus.

Hyundai delivered record 2Q26 revenue of KRW 49,215 bn despite a difficult operating backdrop, demonstrating the resilience of its product portfolio and geographic diversification. While operating profit declined 20.8% YoY and operating margin remained subdued at 5.8%, earnings were affected by a combination of external headwinds, including supply chain disruptions stemming from supplier and component plant fires in Korea and India, and geopolitical uncertainty.

From a sales perspective, global wholesale volume declined 6.9% YoY to 992k units, underperforming global industry demand. Nevertheless, Hyundai continued to gain share in its most important market, the US, where market share remained above 6% for a fifth consecutive quarter. US wholesale and retail sales both increased despite slowing industry demand, supported by strong SUV demand and accelerating HEV adoption.

The most notable positive in the quarter was the continued improvement in Hyundai's electrified vehicle mix. HEV wholesale volume increased 11.2% YoY, with HEVs accounting for 18.9% of global wholesale sales, a record high (Exhibit 155). In the US, the HEV mix reached 26.2%, reflecting robust consumer demand for fuel-efficient vehicles. By contrast, BEV and PHEV sales remained under pressure, highlighting the company's growing reliance on hybrid vehicles as a key earnings driver.

Regional performance was mixed. North America remained a source of strength, while Europe experienced intensified competition, particularly from Chinese manufacturers, and Korea was negatively affected by temporary supply chain disruptions and model-cycle timing. India also faced mounting competitive pressure from domestic manufacturers such as Tata Motors (not covered) and Mahindra & Mahindra (covered by Venu Garre), resulting in market share erosion.

The company emphasized that supply chain disruptions have already normalized and should have no material impact in 2H26. As a result, Hyundai expects both sales momentum and profitability to improve meaningfully in the second half of the year.

From 2H, we believe Hyundai will enter a new product cycle that should support a gradual recovery in earnings momentum during FY12/26. While the company's wholesale volume target of 4.16 mn units may prove challenging to achieve given soft demand in several regions, Hyundai appears capable of delivering an operating margin near the lower end of its 6.3-7.3% guidance range.

The key earnings recovery driver is likely to be product renewal. Hyundai plans to launch refreshed versions of its core Tucson and Elantra models in major markets including Korea and the US during 2H26. In addition, the company will introduce the first Genesis hybrid models, which should enhance both mix and profitability given the premium brand's higher margins and the superior economics of HEVs relative to ICE vehicles.

The HEV business remains a particularly important growth pillar. HEVs likely generate higher margins than conventional ICE vehicles due to a favorable pricing premium relative to incremental production costs. Hyundai's next-generation hybrid system expands HEV applicability to larger vehicles and Genesis models, allowing the company to significantly broaden its hybrid lineup. This strategy should support a further increase in HEV penetration and contribute positively to earnings quality over the coming years.

Regionally, Hyundai expects several currently underperforming markets to improve. In Europe, the launch of the Ioniq 3 and new Tucson variants should help defend market share against Chinese competitors. In India, increased production capacity and new model introductions are expected to support a market share recovery following recent weakness. While China remains a structurally challenged market, Hyundai continues to invest selectively through locally developed EV models such as the Ioniq E to maintain a presence in the world's largest EV market.

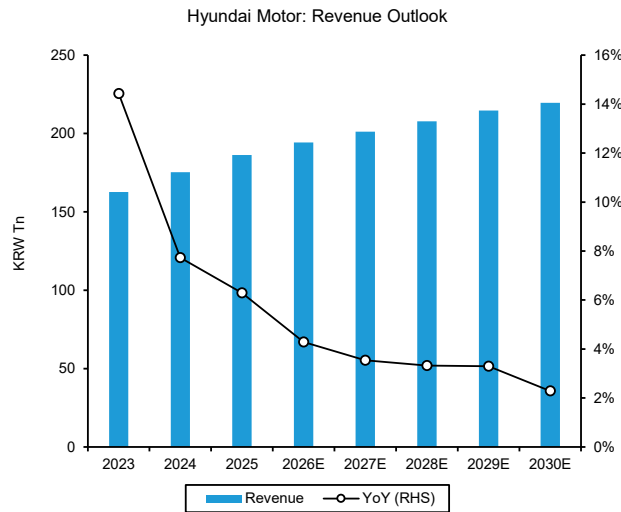
Looking beyond FY12/26, Hyundai's recently announced long-term strategy reinforces management's commitment to electrification, hybrids, and capacity expansion. The company's emphasis on HEV growth, premium Genesis expansion, and disciplined shareholder returns suggests that earnings growth can gradually reaccelerate despite persistent macroeconomic

and competitive challenges.

Accordingly, we forecast Hyundai's FY12/27 revenue to increase 3.5% YoY to KRW 201,106 bn, operating profit to rise 18.6% YoY to KRW 14,279 bn, and net profit to grow 15.6% YoY to KRW 11,985 bn. Notably, we believe Hyundai can achieve an operating margin of 7.1% in FY12/27, in line with its stated target range of 7-8%.

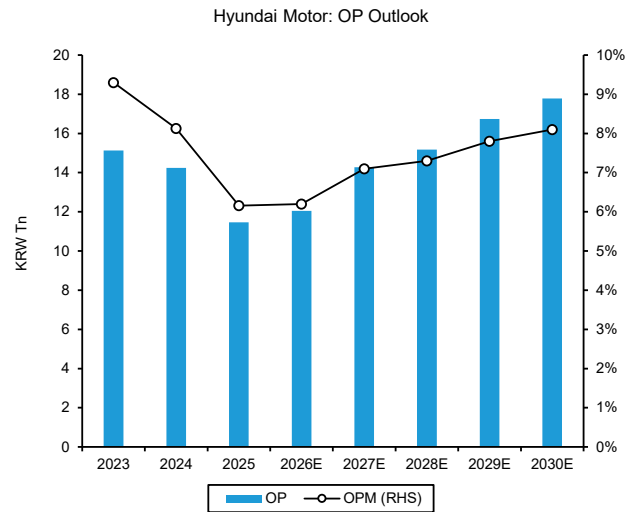
Overall, while Hyundai has lagged Kia in recent years due to weaker product-cycle timing and slower sales momentum, we believe the company is now positioned for a more favorable earnings trajectory as new models launch, HEV penetration rises, supply chain issues fade, and margin recovery gathers pace.

EXHIBIT 152: We forecast Hyundai's FY12/26 revenue to increase 4.3% YoY to KRW 194 tn and 3.5% YoY to KRW 201 tn in FY12/27



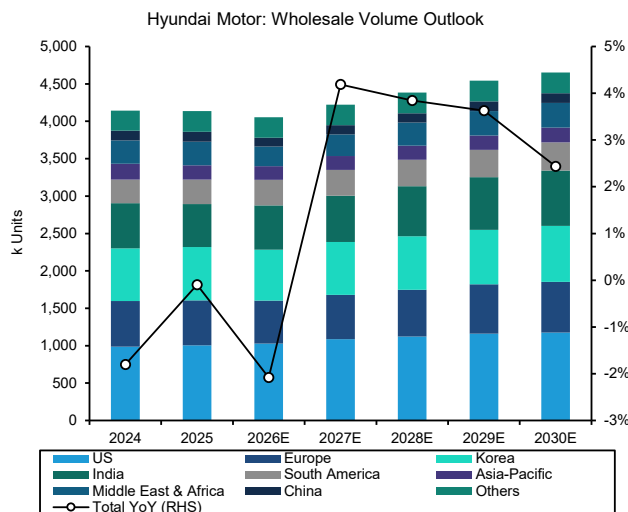
Source: Company reports, Bernstein analysis and estimates

EXHIBIT 153: We expect Hyundai's OP to have bottomed out in 2025 and to improve steadily, reaching KRW 12 tn (OPM: 6.2%) in 2026 and KRW 14 tn (7.1%) in 2027



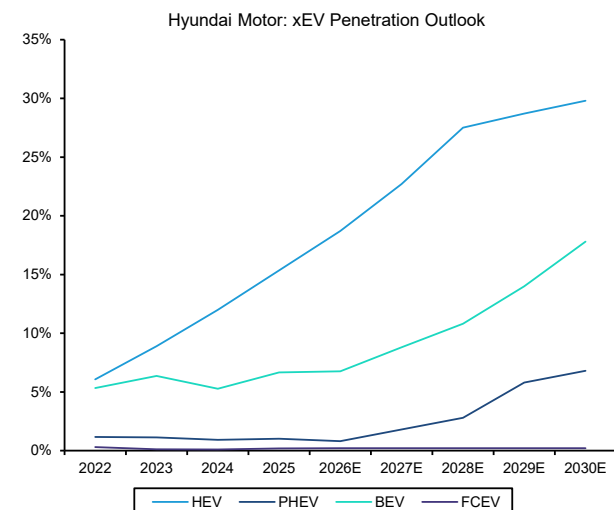
Source: Company reports, Bernstein analysis and estimates

EXHIBIT 154: We expect Hyundai's wholesale volume to grow at a 2.4% CAGR ('25-'30), driven primarily by India, the US, and LATAM



Source: Company reports, Bernstein analysis and estimates

EXHIBIT 155: We expect Hyundai's profitability improvement to be driven by a rising HEV mix, which we forecast will increase from ~15% in 2025 to ~30% by 2030.



Source: Company reports, Bernstein analysis and estimates

Kia: Riding strong xEV momentum into a stronger 2H

We forecast Kia's FY12/26 revenue to increase 9.5% YoY to KRW 124,947 bn (Exhibit 156), operating profit to rise 12.2% YoY to KRW 10,188 bn (Exhibit 157), and net profit to grow 14% YoY to KRW 8,620 bn. We expect the company to outperform its full-year revenue guidance, while operating profit and operating margin should remain broadly in line with guidance despite headwinds including the Middle East conflict and higher raw material prices.

Kia reported a resilient 2Q26 despite a challenging industry backdrop, with global retail sales rising 5.8% YoY to 839k units against a 3.8% decline in global auto demand, lifting global market share by 50bp YoY to 4.0% (Exhibit 158). Growth was driven by a broad-based product portfolio, including the Telluride, Carnival, Sorento and Sportage HEVs in North America, the new Seltos, and accelerating BEV sales in Europe led by the EV4, EV2 and EV5. Western Europe stood out with retail sales growth of 12.9% YoY, significantly outpacing market demand growth of 4.8%, while Korea also delivered strong performance supported by expanding BEV sales.

Electrified vehicles remained the key growth driver, with global xEV retail sales surging 60% YoY and reaching 35.3% of total sales, reflecting strong growth in both HEVs (+61% YoY) and BEVs (+88.4% YoY) (Exhibit 159).

Despite solid volume growth, 2Q operating profit declined 4.9% YoY as higher incentives and pricing pressure, particularly in Europe, weighed on profitability. Management indicated that incentives were increased from 2Q to defend market share amid intensifying competition from Chinese automakers and European incumbents in the fleet market, although further deterioration appears unlikely. A richer BEV mix in Korea and Europe also negatively affected profitability, while favorable FX, volume growth and cost reductions partly offset these headwinds.

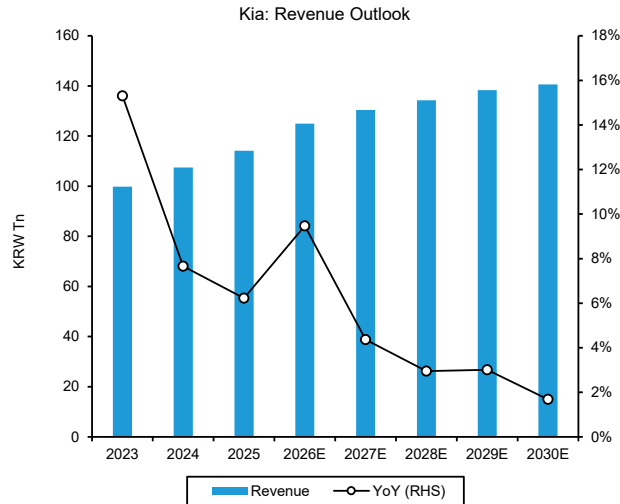
We expect Kia's earnings momentum to improve in 2H26, supported by stronger sales volumes, a rising HEV mix, and recoveries in several key markets. Although 1H wholesale sales increased only 2.8% YoY to 1.63 mn units and operating profit fell 16.3% YoY to KRW 4.8tn, the company noted that its annual plan had always assumed a more back-end loaded performance, particularly in the US and Western Europe.

In 2H, sales growth should benefit from higher HEV availability in the US, recovering demand in Africa and the Middle East, and continued expansion of the electrified vehicle lineup. The company also expects the global HEV mix to increase further, providing a positive margin tailwind that should help offset BEV-related profitability pressure.

Regionally, growth is expected to be driven by EV3, EV5 and PBV expansion in Korea, Telluride HEV, Seltos HEV and HMGMA HEV production ramp-up in the US, locally produced EV2 and EV4 models in Europe, and continued Seltos-led growth in India. As a result, we believe stronger volumes and a richer product mix should support Kia's ability to achieve its full-year guidance despite a relatively weak 1H performance.

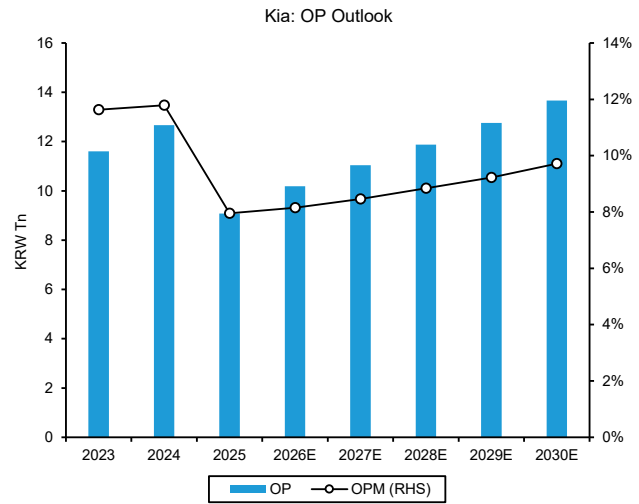
Going forward, we forecast Kia's FY12/27 revenue to increase 4.4% YoY to KRW 130,406 bn, operating profit to rise 8.3% YoY to KRW 11,038 bn, and net profit to grow 9.9% YoY to KRW 9,473 bn. While we expect the company's earnings growth to remain on a solid and sustainable trajectory, the pace of expansion is likely to moderate somewhat from FY12/26 levels.

EXHIBIT 156: We forecast Kia's FY12/26 revenue to increase 9.5% YoY to KRW 125 tn and 4.4% YoY to KRW 130 tn in FY12/27



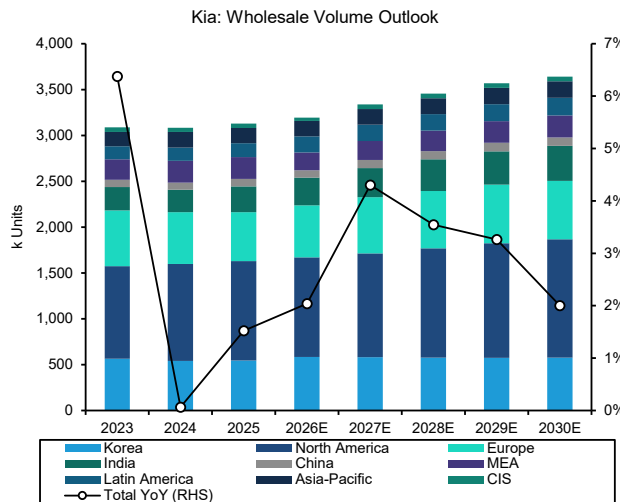
Source: Company reports, Bernstein analysis and estimates

EXHIBIT 157: We expect Kia's OP to improve steadily, reaching KRW 10 tn (OPM: 8.2%) in 2026 and KRW 11 tn (8.5%) in 2027



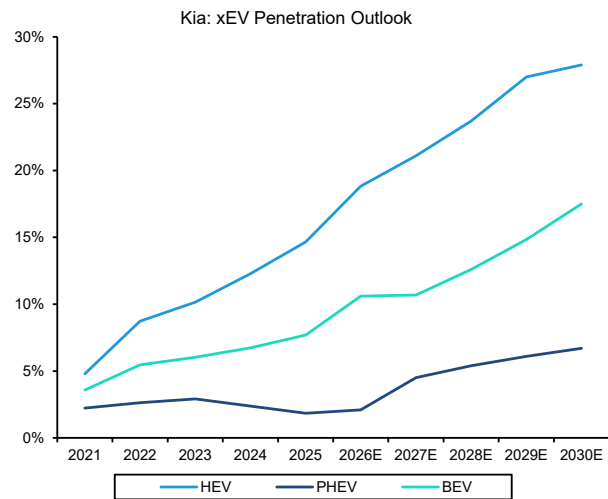
Source: Company reports, Bernstein analysis and estimates

EXHIBIT 158: We expect Hyundai's wholesale volume to grow at a 3.0% CAGR ('25-'30), driven by India and Europe



Source: Company reports, Bernstein analysis and estimates

EXHIBIT 159: Kia's faster electrification to drive xEV penetration to 52.1% by 2030



Source: Company reports, Bernstein analysis and estimates

Hyundai Mobis: Core Parts and A/S strength underpin earnings expansion, electrification recovery ahead

We forecast Hyundai Mobis's FY12/26 revenue to increase 6.5% YoY to KRW 65,081 bn (Exhibit 160), operating profit to rise 13.9% YoY to KRW 3,823 bn (Exhibit 161), and net profit to grow 15.8% YoY to KRW 4,234 bn.

Hyundai Mobis delivered a solid 2Q26 despite weaker Hyundai and Kia production volumes, with revenue increasing 2.4% YoY and operating profit rising 12.1% YoY, supported by growth in both Core Parts and A/S businesses. Module and Core Parts revenue grew 2.3% YoY to KRW 12,894 bn despite a 11.3% decline in Electrification sales, as strong growth in high-value electronics and expanding sales to non-Hyundai Motor Group customers lifted Core Parts revenue by 9.7% YoY.

While Module and Core Parts profitability remained modest at KRW 22bn (0.2% margin), pressured by lower customer production volumes and KRW 61.5 bn of higher memory costs, the business remained profitable due to an improved product

mix and ongoing profitability enhancement initiatives.

The A/S business continued to be the key earnings driver, generating revenue of KRW 3,430 bn (+3.0% YoY) and operating profit of KRW 953 bn (+15.1% YoY), benefiting from favorable FX, higher ASPs driven by premiumization of replacement parts, and one-off tariff refunds.

Regional profitability also improved across major markets, supported by stronger product mix in Korea, robust xEV demand in Europe, and expanding safety-related business with GM and Stellantis in China.

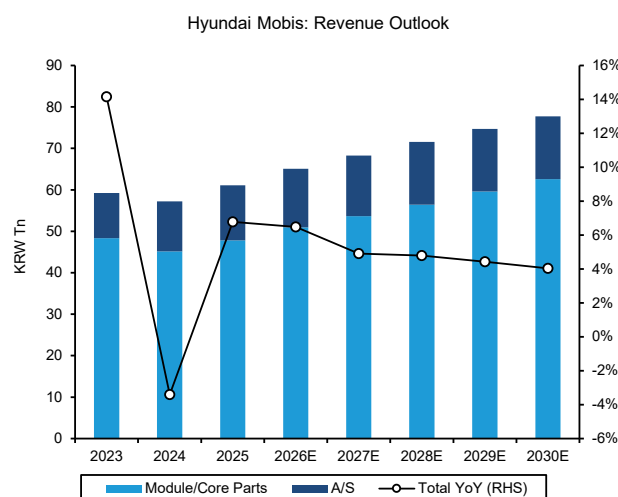
Looking into 2H26, the company's outlook has become more constructive than at the time of the 1Q results, and we expect earnings momentum to improve further. Electrification revenue should recover with the launches of Kia's EV2 and Hyundai's Ioniq 3 in Europe, while increased production of the Telluride HEV and Sportage HEV in the US should support both volume and mix (Exhibit 162).

In addition, the gradual pass-through of higher memory costs to customers is likely to contribute to margin recovery. Although memory price inflation and potential labor disruptions remain near-term risks, particularly in 3Q, management expects profitability to strengthen further in 4Q.

Going forward, Hyundai Mobis continues to expand its non-HMG customer base, as evidenced by recent order wins for products such as EPBs, airbags, and OLED displays. However, management acknowledged that achieving its full-year non-HMG order target may prove challenging amid project delays and slower decision-making by global automakers.

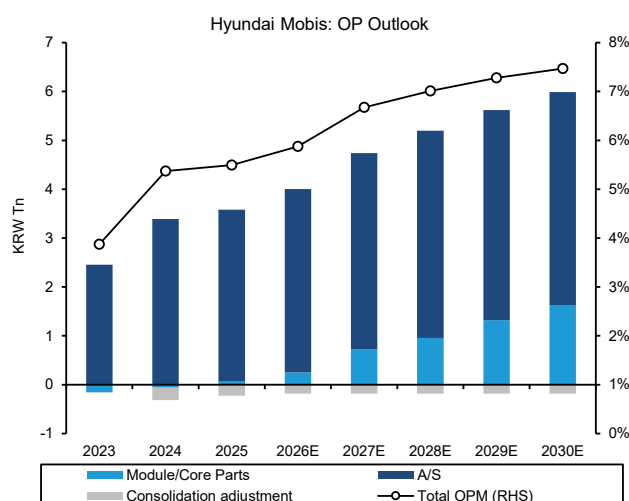
Nevertheless, we believe continued growth in high-value electronics, rising HEV demand, recovering electrification sales, and the structurally resilient A/S business should support further earnings growth in 2H26 and beyond. Accordingly, we forecast Hyundai Mobis's FY12/27 revenue to increase 4.9% YoY to KRW 68,276 bn, operating profit to rise 19.2% YoY to KRW 4,557 bn, and net profit to grow 16.7% YoY to KRW 4,940 bn.

EXHIBIT 160: We forecast Hyundai Mobis's FY12/26 revenue to increase 6.5% YoY to KRW 65 tn and 4.9% YoY to KRW 68 tn in FY12/27



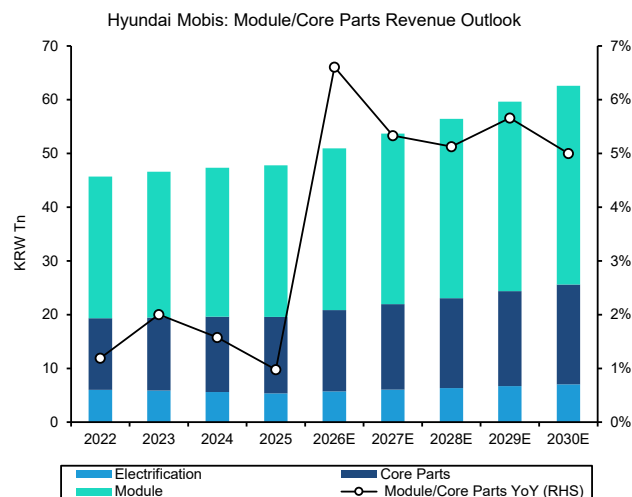
Source: Company reports, Bernstein analysis and estimates

EXHIBIT 161: We expect Hyundai Mobis' OP to grow steadily, reaching KRW 3.8 tn (OPM: 5.9%) in 2026 and KRW 4.6 tn (6.7%) in 2027



Source: Company reports, Bernstein analysis and estimates

EXHIBIT 162: Module/Core Parts revenue to grow at a 5.5% CAGR over the next five years, supported by Hyundai and Kia's xEV volume growth



Source: Company reports, Bernstein analysis and estimates

VALUATION, SEPARATELY EVALUATING CORE AUTOMOTIVE BUSINESSES AND PHYSICAL AI OPTIONALITY

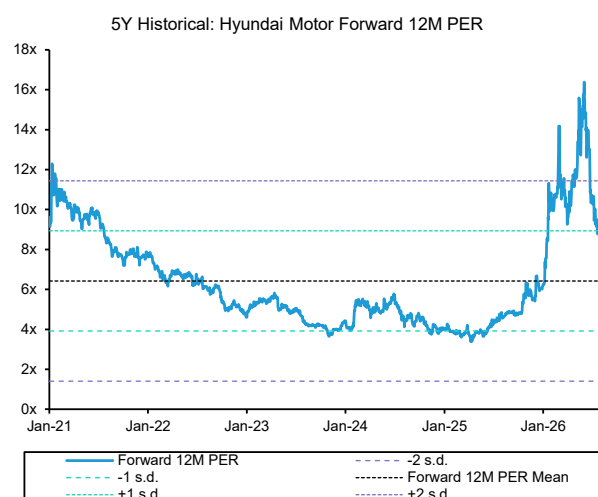
Historical PER suggests a transition from automotive valuation to Physical AI optionality

The valuation trajectories of Hyundai Motor, Kia, and Hyundai Mobis have been broadly similar over the past five years, reflecting both their shared exposure to common industry drivers. Forward PERs declined steadily from 2021 through 2024 despite robust earnings growth, with Hyundai Motor's forward PER falling from more than 10x in early 2021 to approximately 4x by early 2025. Kia and Hyundai Mobis experienced similar de-ratings over the same period. In our view, this reflected growing investor concerns over the sustainability of peak-cycle automotive earnings, slowing industry growth, increasing competition from Chinese automakers, and uncertainty surrounding the global electrification transition. In particular, the rapid expansion of Chinese automakers in both domestic and export markets raised concerns regarding the long-term market share and profitability outlook for incumbent global automakers.

Valuation sentiment began to improve during 2025 as investor focus shifted toward HMG's resilient earnings profile, strong HEV competitiveness, and increasingly shareholder-friendly capital allocation. While global BEV adoption proved more uneven than previously anticipated, Hyundai and Kia's multi-pathway strategy, supported by strong HEV portfolios, allowed both companies to maintain profitability and gain share in several key markets. Record hybrid sales, growing North American exposure, and continued shareholder returns helped improve confidence.

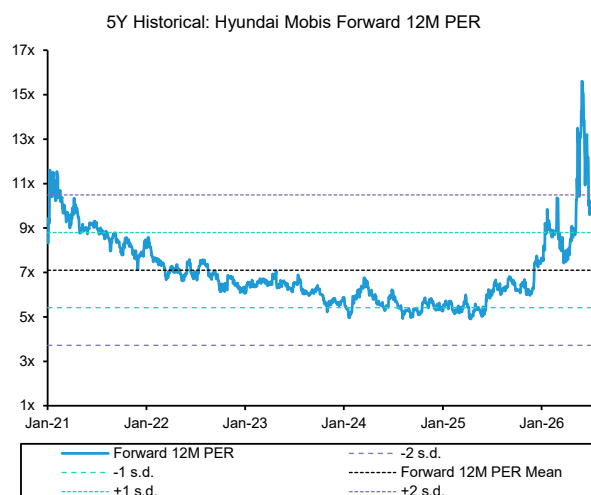
The most significant valuation expansion occurred during 2026, when investor attention increasingly shifted beyond automotive earnings toward Hyundai Motor Group's exposure to robotics, software-defined vehicles, and Physical AI. At the same time, Hyundai Motor Group articulated clearer commercialization roadmaps for Atlas and broader robotics deployment across its manufacturing footprint. As a result, Hyundai Motor, Kia, and particularly Hyundai Mobis experienced a meaningful valuation re-rating as investors began attributing value not only to their automotive operations, but also to their indirect exposure to Boston Dynamics and the group's emerging Physical AI ecosystem. Notably, Hyundai Mobis has experienced the most significant re-rating among the three companies. Hyundai Motor is currently trading slightly above its average forward PER between January 2021 and 2026 YTD plus one standard deviation (Exhibit 163). Hyundai Mobis, meanwhile, is trading at 9.9x, above its five-year average plus two standard deviations, reflecting growing investor expectations for its actuator business, in addition to BD's value (Exhibit 164). Kia also benefited from the initial re-rating, but the stock is currently trading at 5.6x, only modestly above its five-year average valuation (Exhibit 165).

EXHIBIT 163: Hyundai Motor trading at 9.1x P/E, above its five-year average +1 σ , driven by robotics and Physical AI expectations



Note: Market data covers the 5-year period from Jan-2021 to Dec-2025
Source: Bloomberg, Bernstein analysis

EXHIBIT 164: Hyundai Mobis also experienced a similar re-rating, supported in part by expectations for its actuator business, and trades at 9.9x P/E, above its 5Y average +2 σ



Note: Market data covers the 5-year period from Jan-2021 to Dec-2025
Source: Bloomberg, Bernstein analysis

EXHIBIT 165: Kia also benefited from the initial re-rating, but is currently trading at 5.6x, only modestly above its five-year average



Note: Market data covers the 5-year period from Jan-2021 to Dec-2025

Source: Bloomberg, Bernstein analysis

Valuation methodology overview

Historically, we have observed a strong correlation between share prices and BPS growth across our three newly initiated companies, suggesting that equity markets have historically placed greater emphasis on BPS growth than EPS growth (Exhibit 166-Exhibit 171). Plotting forward 12-month P/B against forward 12-month ROE for the three companies also reveals a strong relationship between the two variables, indicating that the market largely values companies based on their earnings power relative to shareholders' equity (Exhibit 172). Considering these observations, we adopt P/B as our primary valuation methodology and derive our target prices by applying target P/B multiples to our FY12/28 BPS estimates for each company's core automotive business.

Notably, Hyundai Mobis differs from Hyundai Motor and Kia in that its share price has historically exhibited a weaker correlation with both BPS growth and EPS growth. We believe this reflects the nature of Mobis' business model, with most of its revenue generated from captive sales to Hyundai Motor and Kia, resulting in relatively stable earnings and limited sensitivity to changes in operating fundamentals. In addition, Hyundai Mobis has long been viewed as the key entity for potential HMG ownership restructuring. In particular, the company's central role in HMG's proposed 2018 restructuring plan elevated its importance beyond its standalone operating performance. Consistent with this view, we observe a particularly strong correlation between the share prices of Hyundai Mobis and Hyundai Motor (Exhibit 173).

Our target P/B is derived by multiplying the historical forward 12-month P/E, based on data through December 31, 2025, by our forecast FY3/28 ROE. This approach allows us to incorporate a company's growth outlook, earnings power relative to shareholders' equity, and historical valuation into our target multiple. We use valuation data only through December 31, 2025, as we believe the market began to incorporate the value of Boston Dynamics and broader robotics-related optionality into Hyundai Motor Group companies from January 2026 onward. As such, historical trading multiples prior to this period provide a cleaner reference point for valuing the companies' core automotive operations.

For Hyundai Motor's automotive business, we apply a +0.5 s.d. premium to its forward 12-month P/E multiple (Exhibit 174). While the company is currently facing temporary earnings headwinds, including weaker sales momentum resulting from the fire at its India plant and disruptions at key supplier facilities in Korea, as well as being at a relatively weak point in its product cycle, we expect fundamentals to improve meaningfully in 2H26. Upcoming refreshes of key models, including Tucson and Ioniq 3, should support volume growth and mix improvement. In addition, Hyundai Motor could benefit from the commercialization of robotics through Boston Dynamics and potential Hyundai Motor Group ownership restructuring.

For Hyundai Mobis' automotive business, we also apply a +0.5 s.d. premium to its forward 12-month P/E multiple (Exhibit 175). In addition to benefiting from volume growth at both Hyundai Motor and Kia, we believe Mobis offers one of the most

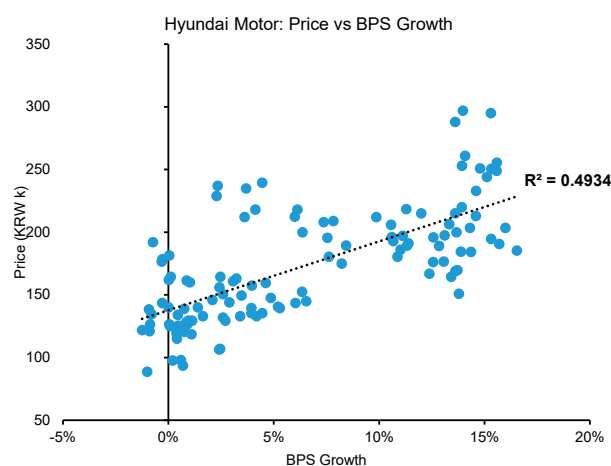
attractive robotics exposures within the group. Beyond its indirect exposure to Boston Dynamics, the company is positioned to benefit from the growth of its actuator business, supplying not only Atlas within HMG but potentially a broader range of robotics applications across the industry.

By contrast, we apply a -0.5 s.d. discount to Kia forward 12-month P/E multiple for its automotive business (Exhibit 176). Unlike Hyundai Motor, Kia appears to be closer to the peak of its current product cycle, supported by the strong performance of recently launched models such as the Telluride HEV and Seltos. In addition, Kia appears less leveraged to a potential Hyundai Motor Group ownership restructuring than Hyundai Motor and Hyundai Mobis. As a result, we believe a modest discount to historical valuation levels is warranted.

To this automotive business valuation, we separately add the value of robotics-related assets, primarily Boston Dynamics. For Boston Dynamics, we assume a base-case valuation of KRW 130tn. We then allocate this value to Hyundai Motor, Kia, and Hyundai Mobis based on their economic interests in Boston Dynamics, calculated as each company's ownership stake in HMG Global multiplied by HMG Global's effective ownership of Boston Dynamics (assumed at 62.6%, including a pro-rata allocation of SoftBank's 9.7% stake). On this basis, we estimate attributable Boston Dynamics value of approximately KRW 28tn for Hyundai Motor, KRW 17tn for Kia, and KRW 11tn for Hyundai Mobis. In addition, for Hyundai Mobis, we incorporate the value of its actuator business for Atlas. We estimate this value based on our base-case 2030 revenue forecast of KRW 826 bn and apply a target P/S multiple of YY.Yx, resulting in an implied valuation of ~KRW 17tn.

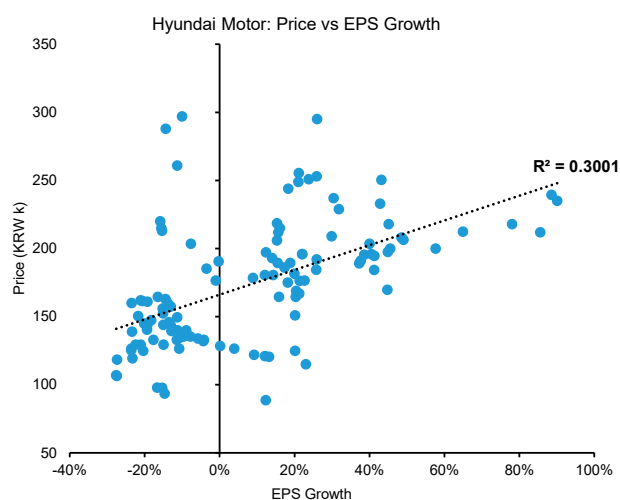
Taking these factors together, we set our price target for **Hyundai Motor** at **KRW 570,000**, implying ~39% upside from the August 26 closing price of KRW 412,500, and initiate coverage with an **Outperform** rating (Exhibit 177). We also set our price target for **Hyundai Mobis** at **KRW 640,000**, implying ~37% upside from the August 26 closing price of KRW 131,300, and initiate coverage with an **Outperform** rating. For Kia, we set a price target of **KRW 150,000**, representing a 14% difference relative to the August 26 closing price of KRW 131,300, and initiate coverage with a **Market-Perform** rating.

EXHIBIT 166: Hyundai Motor's share price has shown a reasonably strong correlation with BPS growth, with R^2 at ~0.5



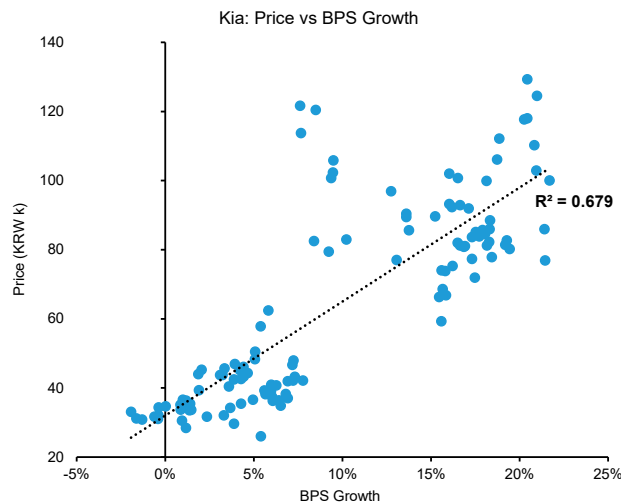
Note: Market data cover the 10-year period from Jan-2016 to Dec-2025
Source: Bloomberg, Bernstein analysis

EXHIBIT 167: Hyundai Motor's share price has exhibited a weaker correlation with EPS growth than with BPS growth ($R^2 \approx 0.3$)



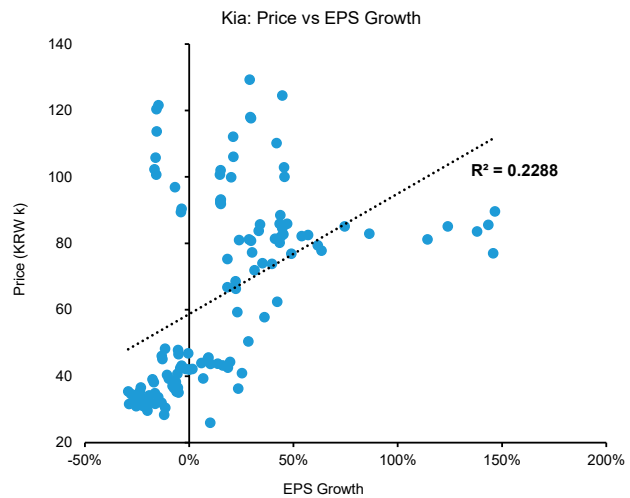
Note: Market data cover the 10-year period from Jan-2016 to Dec-2025
Source: Bloomberg, Bernstein analysis

EXHIBIT 168: Kia's share price has shown a fairly strong correlation with BPS growth, with R^2 at ~0.7



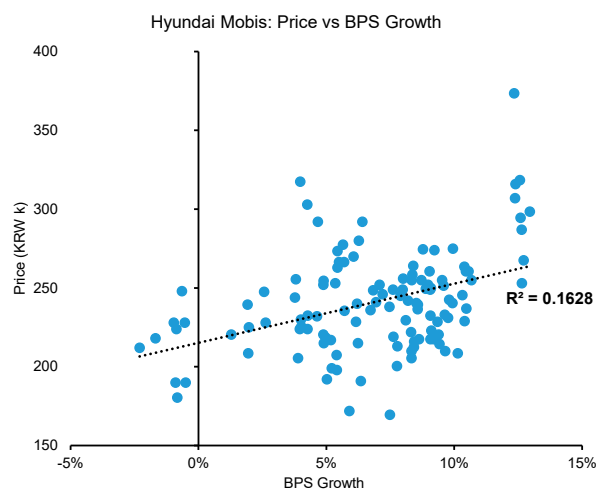
Note: Market data cover the 10-year period from Jan-2016 to Dec-2025
Source: Bloomberg, Bernstein analysis

EXHIBIT 169: Kia's share price has exhibited a weaker correlation with EPS growth than with BPS growth



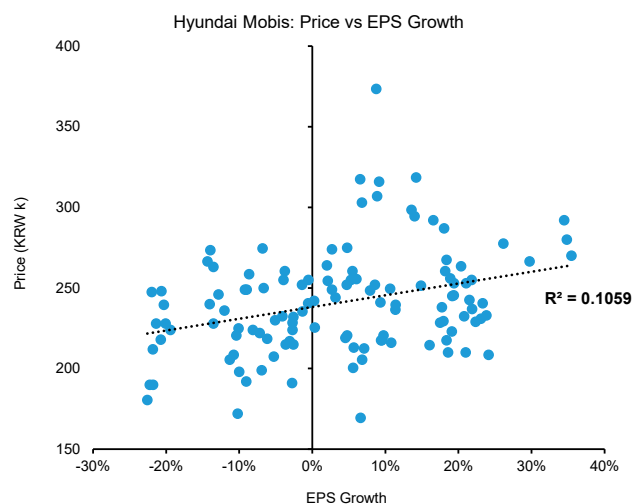
Note: Market data cover the 10-year period from Jan-2016 to Dec-2025
Source: Bloomberg, Bernstein analysis

EXHIBIT 170: Hyundai Mobis' share price has shown a much weaker correlation with BPS growth than Hyundai Motor and Kia ($R^2 = 0.2$)



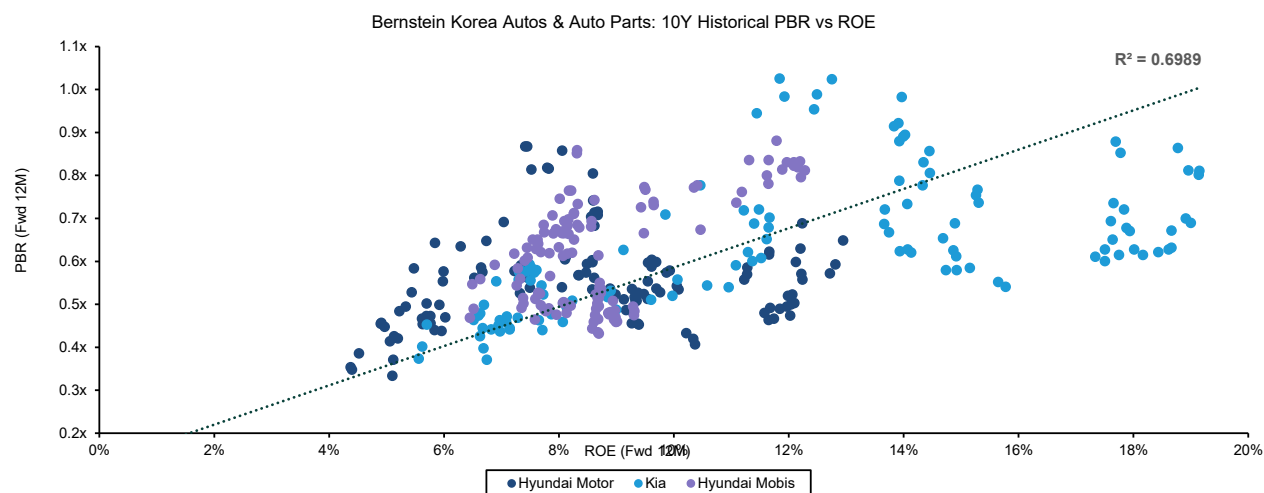
Note: Market data cover the 10-year period from Jan-2016 to Dec-2025
Source: Bloomberg, Bernstein analysis

EXHIBIT 171: Hyundai Mobis' share price has historically shown little relationship with EPS growth, even weaker than with BPS growth ($R^2 \approx 0.1$)



Note: Market data cover the 10-year period from Jan-2016 to Dec-2025
Source: Bloomberg, Bernstein analysis

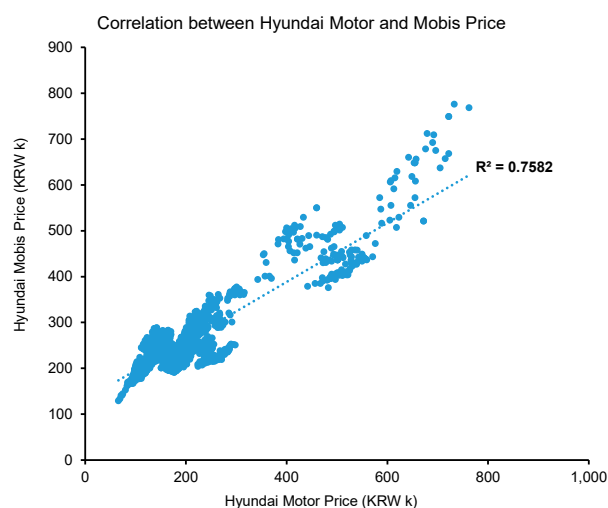
EXHIBIT 172: P/B and ROE for the three companies exhibited a strong relationship, indicating that the market largely values companies based on their earnings power relative to shareholders' equity



Note: Market data cover the 10-year period from Jan-2016 to Dec-2025

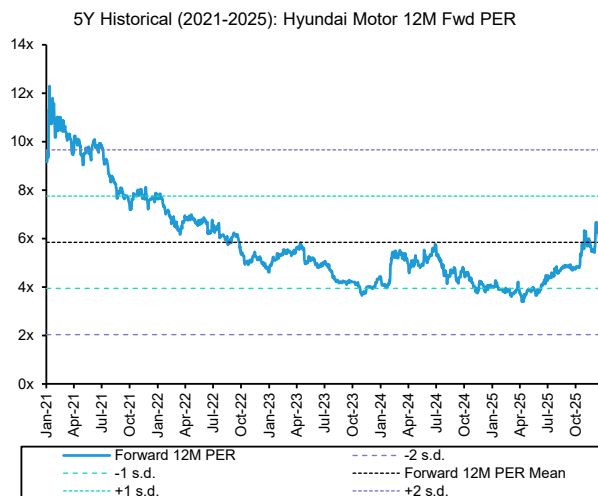
Source: Bloomberg, Bernstein analysis

EXHIBIT 173: Hyundai Motor and Hyundai Mobis have historically exhibited a very strong correlation in their share price

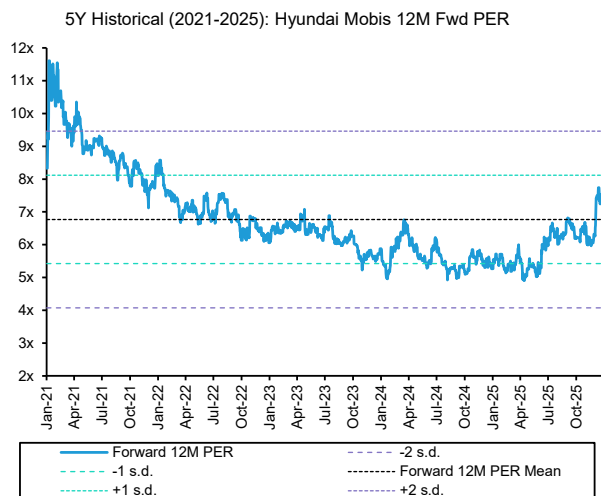


Note: Market data cover the 10-year period from Jan-2016 to Aug-2026

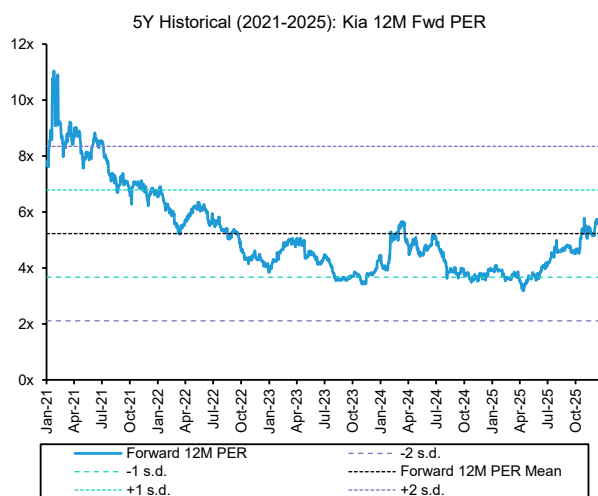
Source: Bloomberg, Bernstein analysis

EXHIBIT 174: Historical PER Trend: Hyundai Motor (2021-2025)

Note: Market data covers the 5-year period from Jan-2021 to Dec-2025
Source: Bloomberg, Bernstein analysis

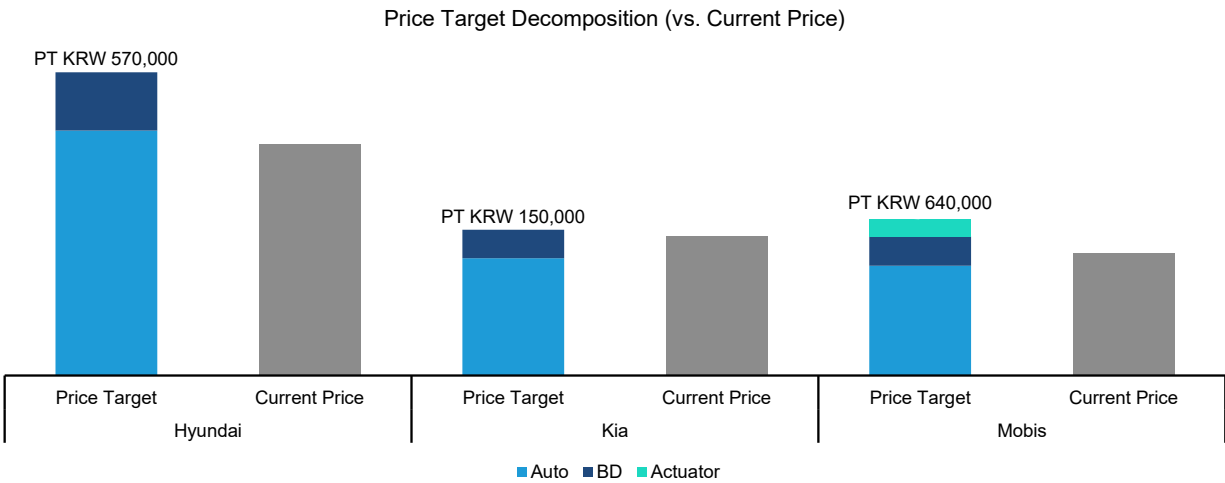
EXHIBIT 175: Historical PER Trend: Hyundai Mobis (2021-2025)

Note: Market data covers the 5-year period from Jan-2021 to Dec-2025
Source: Bloomberg, Bernstein analysis

EXHIBIT 176: Historical PER Trend: Kia (2021-2025)

Note: Market data covers the 5-year period from Jan-2021 to Dec-2025
Source: Bloomberg, Bernstein analysis

EXHIBIT 177: **Price target built on automotive business valuation, Boston Dynamics valuation and additional actuator revenue for Mobis**



Note: Market cap basis
Source: Bloomberg, Bernstein analysis

This report was prepared with significant contributions from Jouna Mackey.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 178: Hyundai Motor: Income Statement

Hyundai Motor: Income Statement						
(JPY bn)	FY12/25	FY12/26E	FY12/27E	FY12/28E	FY12/29E	FY12/30E
Revenue	186,254	194,233	201,106	207,792	214,650	219,555
% Growth	6.3%	4.3%	3.5%	3.3%	3.3%	2.3%
COGS	152,038	158,202	161,963	166,953	171,377	174,639
Gross Profit	34,217	36,031	39,144	40,839	43,273	44,916
% Margin	18.4%	18.6%	19.5%	19.7%	20.2%	20.5%
SG&A	22,749	23,989	24,865	25,670	26,531	27,132
Operating Profit	11,468	12,042	14,279	15,169	16,743	17,784
% Margin	6.2%	6.2%	7.1%	7.3%	7.8%	8.1%
D&A	5,016	5,457	5,834	6,249	6,649	7,046
EBITDA	16,484	17,499	20,112	21,418	23,392	24,830
% Margin	8.9%	9.0%	10.0%	10.3%	10.9%	11.3%
Non-operating income / (expense)	-2,642	-2,469	-2,668	-2,862	-3,262	-3,659
Profit before tax	13,842	15,029	17,444	18,556	20,130	21,171
Income tax expense	3,477	3,669	4,256	4,528	4,912	5,166
Net income before minority interest	10,365	11,360	13,188	14,028	15,218	16,005
Net Income	9,446	10,366	12,056	12,831	13,926	14,647
% Margin	5.1%	5.3%	6.0%	6.2%	6.5%	6.7%
EPS - diluted (JPY)	36,088	45,675	59,417	63,237	68,636	72,188
% Growth	-24.2%	26.6%	30.1%	6.4%	8.5%	5.2%
BPS (JPY)	568,396	586,741	622,360	654,091	688,486	720,358
% Growth	6.8%	3.2%	6.1%	5.1%	5.3%	4.6%

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 179: Hyundai Motor: Cash Flow Statement

Hyundai Motor: Cash Flow Statement						
(JPY bn)	FY12/25	FY12/26E	FY12/27E	FY12/28E	FY12/29E	FY12/30E
Net income before minority interest	10,365	11,360	13,188	14,028	15,218	16,005
D&A	5,016	5,457	5,834	6,249	6,649	7,046
Changes in working capital	-34,325	-23,242	-23,740	-24,968	-26,455	-27,735
Tax and other adjustments	12,953	17,471	17,992	18,160	18,398	18,556
Cash Flow from Operations	-5,991	11,046	13,273	13,470	13,811	13,873
Capex	-8,367	-9,118	-9,463	-9,763	-10,089	-10,330
Other	-1,980	-3,533	-3,102	-3,102	-3,102	-3,102
Cash Flow from Investments	-10,347	-12,651	-12,564	-12,865	-13,191	-13,432
Cash Flow from Financing	15,425	673	0	0	0	0
Effect of exchange rate changes	259	358	0	0	0	0
Net Change in Cash	-654	-574	709	605	620	441

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 180: **Hyundai Motor: Balance Sheet****Hyundai Motor: Balance Sheet**

(JPY bn)	FY12/25	FY12/26E	FY12/27E	FY12/28E	FY12/29E	FY12/30E
Cash and cash equivalents	18,361	17,786	18,495	19,100	19,720	20,162
Trade accounts and other receivables	13,191	11,038	11,897	11,882	12,497	12,718
Receivables related to financial services	55,808	58,129	58,129	58,129	58,129	58,129
Inventories	20,662	22,741	24,116	24,209	25,255	25,627
Other current assets	12,756	14,600	14,600	14,600	14,600	14,600
Total Current Assets	120,777	124,295	127,238	127,921	130,202	131,236
Property, plant and equipment, net	48,750	52,572	57,763	62,950	68,170	73,340
Intangible assets	9,268	10,600	11,931	13,263	14,594	15,926
Investments and other assets	190,050	198,912	198,912	198,912	198,912	198,912
Total Assets	368,845	386,379	395,844	403,045	411,878	419,414
Trade accounts and other payables	22,062	24,725	26,220	26,321	27,457	27,862
Provisions	6,855	6,990	6,990	6,990	6,990	6,990
ST debt & current portion of LT debt	44,149	50,637	50,637	50,637	50,637	50,637
Other current liabilities	15,512	17,275	17,275	17,275	17,275	17,275
Total Current Liabilities	88,579	99,627	101,122	101,223	102,359	102,764
LT debt	131,240	132,626	132,626	132,626	132,626	132,626
Others liabilities	21,377	22,835	22,835	22,835	22,835	22,835
Total Liabilities	241,197	255,088	256,583	256,684	257,821	258,225
Shareholders' equity	115,447	118,766	125,976	132,398	139,361	145,812
Others	12,202	12,525	13,285	13,962	14,697	15,377
Total Equity	127,648	131,291	139,261	146,361	154,057	161,189
Total Liabilities & Equity	368,845	386,379	395,844	403,045	411,878	419,414

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 181: **Kia: Income Statement****Kia: Income Statement**

(JPY bn)	FY12/25	FY12/26E	FY12/27E	FY12/28E	FY12/29E	FY12/30E
Revenue	114,141	124,947	129,607	133,457	137,477	139,811
% Growth	6.2%	9.5%	3.7%	3.0%	3.0%	1.7%
COGS	91,633	99,790	102,932	105,477	108,127	109,265
Gross Profit	22,508	25,157	26,675	27,980	29,350	30,546
% Margin	19.7%	20.1%	20.6%	21.0%	21.3%	21.8%
SG&A	13,430	8,820	9,165	9,449	9,732	9,905
Operating Profit	9,078	10,188	11,123	11,956	12,842	13,749
% Margin	8.0%	8.2%	8.6%	9.0%	9.3%	9.8%
D&A	2,714	3,233	3,514	3,804	4,077	4,340
EBITDA	11,792	13,421	14,637	15,760	16,919	18,089
% Margin	10.3%	10.7%	11.3%	11.8%	12.3%	12.9%
Non-operating income / (expense)	-1,551	-1,671	-1,711	-2,002	-2,274	-2,538
Profit before tax	10,241	11,750	12,926	13,759	14,644	15,552
Income tax expense	2,687	3,132	3,392	3,610	3,843	4,081
Net income before minority interest	7,554	8,618	9,534	10,149	10,802	11,471
Net Income	7,561	8,620	9,536	10,150	10,804	11,473
% Margin	6.6%	6.9%	7.4%	7.6%	7.9%	8.2%
EPS - diluted (JPY)	19,382	22,178	24,535	26,117	27,798	29,520
% Growth	-22.1%	14.4%	10.6%	6.4%	6.4%	6.2%
BPS (JPY)	157,456	172,213	188,203	198,120	208,219	216,051
% Growth	11.0%	9.4%	9.3%	5.3%	5.1%	3.8%

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 182: **Kia: Cash Flow Statement****Kia: Cash Flow Statement**

(JPY bn)	FY12/25	FY12/26E	FY12/27E	FY12/28E	FY12/29E	FY12/30E
Net income before minority interest	7,554	8,618	9,534	10,149	10,802	11,471
D&A	2,714	3,233	3,514	3,804	4,077	4,340
Changes in working capital	-4,328	-5,077	-7,210	-7,981	-8,492	-9,318
Tax and other adjustments	3,114	4,540	4,091	4,062	4,030	3,999
Cash Flow from Operations	9,054	11,314	9,929	10,033	10,417	10,492
Capex	-3,765	-4,382	-4,564	-4,677	-4,832	-4,911
Other	-1,195	-1,040	-812	-812	-812	-812
Cash Flow from Investments	-4,960	-5,422	-5,376	-5,489	-5,644	-5,723
Cash Flow from Financing	-4,175	-6,765	-3,814	-4,060	-4,322	-4,589
Effect of exchange rate changes	513	713	0	0	0	0
Net Change in Cash	432	-160	739	485	452	180

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 183: **Kia: Balance Sheet****Kia: Balance Sheet**

(JPY bn)	FY12/25	FY12/26E	FY12/27E	FY12/28E	FY12/29E	FY12/30E
Cash and cash equivalents	13,998	13,838	14,577	15,062	15,514	15,694
Trade accounts and other receivables	6,777	8,788	10,537	11,176	11,727	11,911
Inventories	14,666	17,477	19,268	20,015	21,798	22,905
Other current assets	8,984	8,386	8,386	8,386	8,386	8,386
Total Current Assets	44,426	48,489	52,769	54,639	57,425	58,896
Property, plant and equipment, net	20,304	22,248	24,209	26,067	27,878	29,574
Intangible assets	4,806	4,865	4,888	4,911	4,935	4,958
Investments and other assets	29,443	32,027	32,027	32,027	32,027	32,027
Total Assets	98,979	107,629	113,892	117,644	122,265	125,455
Trade accounts and other payables	10,662	11,651	11,824	11,748	12,261	12,369
Accrued expenses	3,081	4,698	4,698	4,698	4,698	4,698
ST debt & current portion of LT debt	1,365	1,311	1,311	1,311	1,311	1,311
Other current assets	13,270	13,250	13,127	13,100	13,282	13,321
Total Current Liabilities	28,378	30,910	30,959	30,857	31,552	31,698
LT debt	979	512	512	512	512	512
Others liabilities	8,431	9,273	9,273	9,273	9,273	9,273
Total Liabilities	37,789	40,695	40,744	40,642	41,337	41,483
Shareholders' equity	61,188	66,932	73,146	77,001	80,926	83,969
Others	3	2	2	2	2	2
Total Equity	61,190	66,933	73,148	77,003	80,928	83,972
Total Liabilities & Equity	98,979	107,629	113,892	117,644	122,265	125,455

Source: Company reports, Bernstein estimates and analysis

EXHIBIT 184: **Hyundai Mobis: Income Statement****Hyundai Mobis: Income Statement**

(JPY bn)	FY12/25	FY12/26E	FY12/27E	FY12/28E	FY12/29E	FY12/30E
Revenue	61,118	65,082	68,278	71,549	74,720	77,734
% Growth	6.8%	6.5%	4.9%	4.8%	4.4%	4.0%
COGS	-52,288	703	60,538	63,196	65,790	68,270
Gross Profit	8,830	9,719	7,741	8,353	8,930	9,464
% Margin	14.4%	14.9%	11.3%	11.7%	12.0%	12.2%
SG&A	-5,472	-3,039	-3,190	-3,339	-3,492	-3,654
Operating Profit	3,357	3,819	4,551	5,014	5,438	5,810
% Margin	5.5%	5.9%	6.7%	7.0%	7.3%	7.5%
D&A	1,065	1,181	1,238	1,292	1,347	1,406
EBITDA	4,423	5,000	5,789	6,306	6,786	7,215
% Margin	7.2%	7.7%	8.5%	8.8%	9.1%	9.3%
Non-operating income / (expense)	692	746	888	935	1,259	1,301
Profit before tax	5,115	5,746	6,678	7,241	8,045	8,517
Income tax expense	-1,450	-1,509	-1,736	-1,883	-2,092	-2,214
Net income before minority interest	3,665	4,236	4,942	5,358	5,953	6,302
Net Income	3,656	4,231	4,935	5,351	5,946	6,294
% Margin	6.0%	6.5%	7.2%	7.5%	8.0%	8.1%
EPS - diluted (JPY)	40,861	47,588	55,510	60,191	66,877	70,796
% Growth	-9.1%	16.5%	16.6%	8.4%	11.1%	5.9%
BPS (JPY)	551,349	583,532	596,516	610,598	623,429	636,725
% Growth	8.3%	5.8%	2.2%	2.4%	2.1%	2.1%

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 185: **Hyundai Mobis: Cash Flow Statement****Hyundai Mobis: Cash Flow Statement**

(JPY bn)	FY12/25	FY12/26E	FY12/27E	FY12/28E	FY12/29E	FY12/30E
Net income before minority interest	3,665	4,236	4,942	5,358	5,953	6,302
D&A	1,065	1,181	1,238	1,292	1,347	1,406
Changes in working capital	-708	-445	-726	-153	-746	-477
Tax and other adjustments	450	-1,279	-2,655	-2,926	-3,551	-3,792
Cash Flow from Operations	4,473	3,694	2,799	3,573	3,005	3,439
Capex	-1,348	-1,474	-1,547	-1,620	-1,693	-1,762
Other	-1,886	-1,331	-807	-824	-871	-905
Cash Flow from Investments	-3,234	-2,806	-2,354	-2,444	-2,564	-2,667
Cash Flow from Financing	-1,205	-1,355	-619	-664	-708	0
Effect of exchange rate changes	100	184	0	0	0	-752
Net Change in Cash	134	-282	-175	465	-267	0

Source: Company reports, Bernstein analysis and estimates

EXHIBIT 186: **Hyundai Mobis: Balance Sheet****Hyundai Mobis: Balance Sheet**

(JPY bn)	FY12/25	FY12/26E	FY12/27E	FY12/28E	FY12/29E	FY12/30E
Cash and cash equivalents	4,922	4,640	4,465	4,931	4,664	4,684
Trade accounts and other receivables	10,827	12,113	12,931	13,099	13,948	14,489
Inventories	6,862	7,744	8,238	8,321	8,873	9,211
Other current assets	7,755	7,883	7,883	7,883	7,883	7,883
Total Current Assets	30,366	32,379	33,517	34,233	35,368	36,266
Property, plant and equipment, net	12,347	13,099	13,655	14,241	14,856	15,493
Intangible assets	1,266	1,306	1,349	1,391	1,434	1,477
Investments and other assets	26,422	28,349	28,349	28,349	28,349	28,349
Total Assets	70,401	75,134	76,871	78,215	80,008	81,586
Trade accounts and other payables	8,128	9,196	9,783	9,881	10,537	10,937
ST debt & current portion of LT debt	1,307	1,761	1,761	1,761	1,761	1,761
Other current assets	3,623	4,404	4,404	4,404	4,404	4,404
Total Current Liabilities	13,058	15,361	15,948	16,046	16,702	17,103
LT debt	2,361	1,711	1,711	1,711	1,711	1,711
Others liabilities	5,768	6,391	6,391	6,391	6,391	6,391
Total Liabilities	21,188	23,463	24,050	24,148	24,804	25,205
Shareholders' equity	49,168	51,623	52,771	54,017	55,152	56,328
Others	45	48	49	51	52	53
Total Equity	49,213	51,671	52,821	54,068	55,204	56,381
Total Liabilities & Equity	70,401	75,134	76,871	78,215	80,008	81,586

Source: Company reports, Bernstein analysis and estimates

DISCLOSURE APPENDIX

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VALUATION METHODOLOGY**Hyundai Motor Company**

We set a KRW 570,000 price target based on the combined value of the core automotive business and its economic interest in Boston Dynamics. For the core automotive business, we apply a 0.68x P/B multiple to our FY28 BPS estimate of KRW 654,091. For Boston Dynamics, we apply a 21.2x P/S multiple to our FY30 revenue estimate of KRW 6.1tn, adjusted for Hyundai Motor's economic interest.

Kia Corporation

We set a price target of KRW 150,000 based on the combined value of the core automotive business and its economic interest in Boston Dynamics. For the core automotive business, we apply a 0.59x P/B applied to FY28 BPS estimates of KRW 198,120. For Boston Dynamics, we apply a 21.2x P/S multiple to our FY30 revenue estimate of KRW 6.1tn, adjusted for Kia's economic interest.

Hyundai Mobis Co., Ltd

We set a price target of KRW 640,000 based on the combined value of the core automotive business, Hyundai Mobis' economic interest in Boston Dynamics, and the actuator business. For the core automotive business, we apply a 0.72x P/B multiple to our FY28 BPS estimate of KRW 635,261. For Boston Dynamics, we apply a 21.2x P/S multiple to our FY30 revenue estimate of KRW 6.1tn, adjusted for Hyundai Mobis' economic interest. For the actuator business, we apply a 7.8x P/S multiple to our FY30 revenue estimate.

RISKS**Hyundai Motor Company**

Key downside risks would be 1) slowdown in HEV demand, 2) delays in new product rollout, 3) delays in Boston Dynamics product launch.

Kia Corporation

Key upside risks to our Kia price target would be 1) stronger than expected depreciation of Korean Won, 2) longer product life cycle than anticipated for core models, 3) greater realization of Hyundai Motor Group robotics ecosystem synergies. Key downside risks would be 1) slowdown in HEV demand, 2) stronger than expected material price hike, 3) delays in Boston Dynamics product launch.

Hyundai Mobis Co., Ltd

Key downside risks would be 1) delay of Hyundai's production recovery, 2) intensified competition in xEV systems and components, 3) delay in Boston Dynamics product launch.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

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Bernstein brand stock ratings are based on a 12-month time horizon.

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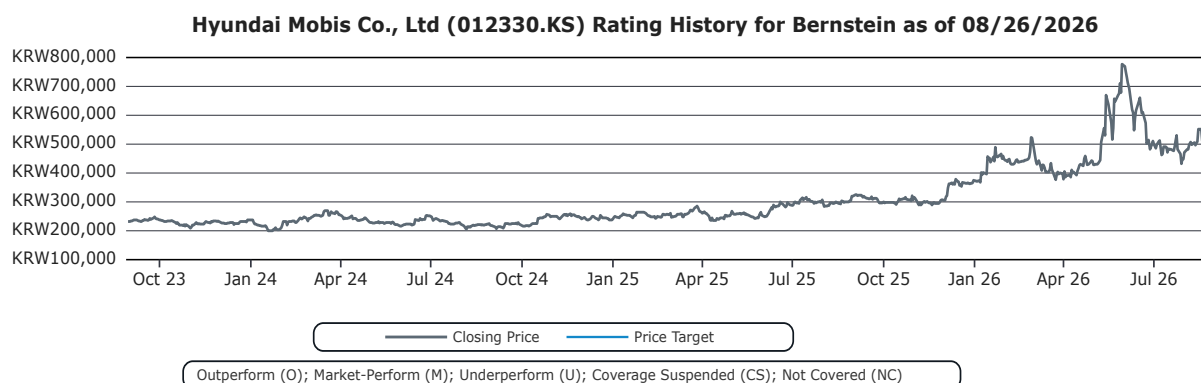
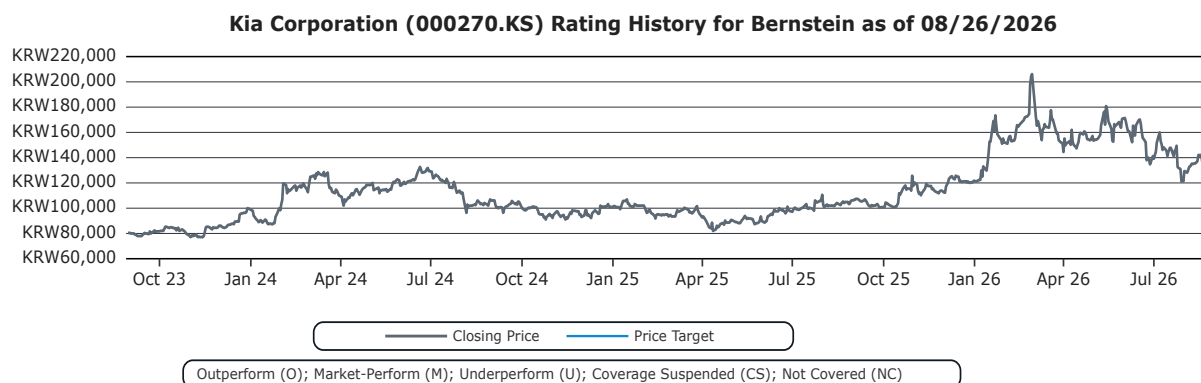
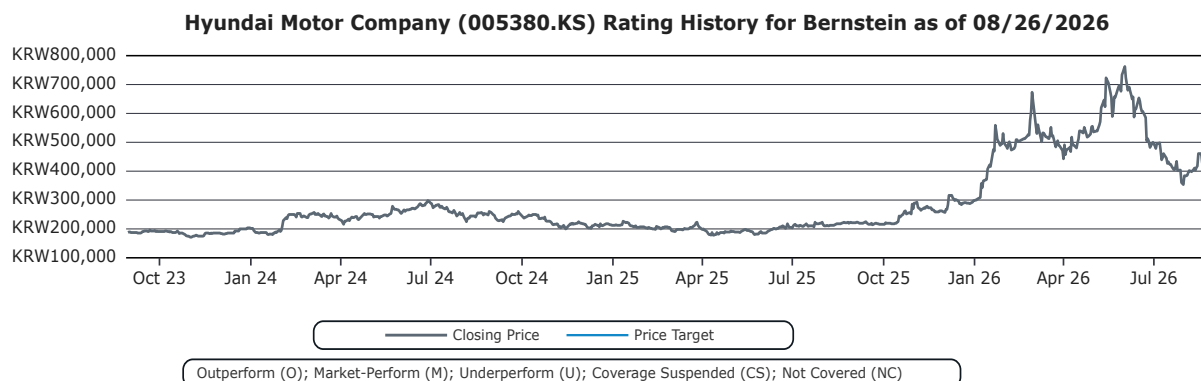
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Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
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